

COLLEGE OF BUSINESS EDUCATION

MAIN CAMPUS, DAR ES SALAAM

DEPARTMENT OF BUSINESS ADMINISTRATION (BA)

PROGRAMME (BIT II)

UNIT NAME&CODE

MANAGEMENT PRINCIPLES AND LEADERSHIP

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1.0 UNIT ONE: CONCEPT AND MEANING OF LEADERSHIP

I used to think that running an organization was equivalent to conducting a symphony orchestra. But I don't think that's quite it; it's more like jazz. There is more improvisation- Warren Bennis

Who are leaders?

Are good leaders made or born? Good leaders are made, not born. If you have the desire and willpower, you can become an effective leader. Good leaders develop through a never-ending process of self-study, education, training, and experience (Jago, 1982). This guide will help you through the journey.

To inspire your workers into higher levels of teamwork, there are certain things you must be, know, and do. These do not often come naturally, but are acquired through continual work and study. Good leaders are continually working and studying to improve their leadership skills; they are NOT resting on their past laurels.

1.1 Definitions of Leadership

"The meaning of a message is the change which it produces in the image." Kenneth Boulding in The Image: Knowledge in Life and Society

- Leadership is a process by which a person influences others to accomplish an objective and directs the organization in a way that makes it more cohesive and coherent.
- Leadership is a process whereby an individual influences a group of individuals to achieve a common goal (Northouse, 2007, p3).
- Leadership is inspiring others to pursue your vision within the parameters you set, to the extent that it becomes a shared effort, a shared vision, and a shared success (Zeitchik, 2012).
- Leadership is a process of social influence, which maximizes the efforts of others, towards the achievement of a goal (Kruse, 2013).

Note that all the definitions have a couple of processes in common.

While leadership is learned, a leader's skills and knowledge can be influenced by his or hers attributes or traits, such as beliefs, values, ethics, and character.

"Leadership is the capacity to translate vision into reality." - Warren G. Bennis

1.2. PETER F. Drucker says: A. "LEADERSHIP IS DOING THE RIGHT THINGS".

Leadership is about setting the right direction, making strategic decisions, and guiding the organization towards its long-term goals (doing the right things).

Key points that describe the significance of Drucker's statement on leadership:

Strategic Direction: Leadership entails setting a clear vision, defining strategic goals, and charting the course for the organization's future success. Leaders are responsible for making decisions that align with the organization's mission and values, and that contribute to its overall strategic direction.

Decision-Making: Effective leadership involves making informed and ethical decisions that have a significant impact on the organization. Leaders must consider the long-term consequences of their decisions, evaluate risks, and prioritize initiatives that are in the best interest of the organization and its stakeholders.

Inspiring and Motivating: Leaders inspire and motivate their teams to achieve excellence, embrace change, and strive for success. By setting a compelling vision, demonstrating empathy, and fostering a positive organizational culture, leaders can engage and empower their employees to perform at their best.

Innovation and Change Management: Leadership involves driving innovation, encouraging creativity, and navigating organizational change effectively. Leaders must be willing to challenge the status quo, experiment with new ideas, and adapt to evolving market trends to ensure the organization's relevance and competitiveness.

Building Relationships and Creating Alignment: Leaders focus on building strong relationships with stakeholders, fostering collaboration, and creating alignment across different parts of the organization. Effective leaders engage with employees, customers, partners, and communities to cultivate trust, mutual understanding, and a shared sense of purpose.

Personal Integrity and Values: Leadership is also about embodying personal integrity, ethical conduct, and values-based decision-making. Leaders set the tone for ethical behaviour, demonstrate accountability, and act as role models for others to follow in upholding the organization's principles and standards.

NOTE.

Overall, Peter F. Drucker's statement on leadership emphasizes the pivotal role that leaders play in setting the strategic direction, making sound decisions, inspiring others, and fostering innovation within an organization. By focusing on doing the right things and aligning actions with the organization's goals and values, leaders can steer the organization towards sustainable growth, adapt to change, and create a positive impact on the people and communities they serve.

B. "MANAGEMENT IS DOING THINGS RIGHT"

Peter F. Drucker, a renowned management consultant, educator, and author, is often credited as one of the most influential management thinkers of the 20th century. One of his famous quotes states, "Management is doing things right; leadership is doing the right things." This statement underscores the importance of effectiveness and efficiency in organizational management.

In the context of "management is doing things right," Drucker emphasizes the need for managers to focus on executing tasks and processes efficiently to achieve organizational goals and objectives.

Key points that describe the significance of this statement:

Emphasis on Execution: According to Drucker, the core function of management is to ensure that operational tasks and processes are executed effectively and efficiently. Managers are responsible for overseeing day-to-day activities, allocating resources, and monitoring performance to ensure that objectives are met through the proper execution of tasks.

Attention to Detail: "Doing things right" implies a focus on attention to detail, quality control, and adherence to standards and procedures. Managers must ensure that work is carried out in accordance with established norms, best practices, and organizational policies to achieve high-quality outcomes.

Operational Excellence: Drucker's statement highlights the importance of achieving operational excellence through efficient management practices. Managers are tasked with optimizing processes, eliminating inefficiencies, and continuously improving performance to deliver value to customers, stakeholders, and the organization as a whole.

Performance Management: Effective management involves setting clear performance expectations, monitoring progress, providing feedback, and taking corrective actions as needed. Managers must track key performance indicators, evaluate results against objectives, and make adjustments to ensure that goals are achieved in a timely and effective manner.

Resource Utilization: "Doing things right" also pertains to the optimal utilization of resources, including financial, human, and material resources. Managers are responsible for allocating resources efficiently, managing costs, and maximizing productivity to enhance organizational performance and sustainability.

Continuous Improvement: Drucker's statement underscores the importance of continuous improvement in management practices. Managers should foster a culture of learning, innovation, and adaptability to enhance efficiency, effectiveness, and competitiveness in a dynamic and evolving business environment.

1.3 ACCORDING TO ADEI (2005)

Leadership encompasses Six (06) critical functions that collectively define the role and effectiveness of a leader within an organization. Here's a description of each function:

1. Give Direction Leaders are responsible for providing a clear vision and direction for their teams or organizations. This involves articulating the organization's goals, objectives, and values, which serve as a guiding framework for decision-making and actions. A leader must ensure that all team members understand the overarching mission and how their individual contributions align with it. By setting strategic priorities and establishing a roadmap, leaders help to create a focused and motivated workforce.
2. Lead The function of leading goes beyond mere supervision; it involves inspiring and influencing others to achieve their best performance. Effective leaders foster a positive organizational culture, promote engagement, and encourage teamwork. They motivate employees through effective communication, emotional intelligence, and recognition of efforts. By exemplifying the values and behaviours they expect from their team members, leaders set the standard for others to follow.
3. Mobilize Mobilization is about bringing resources—human, financial, or material—together to initiate action toward achieving goals. A leader must effectively harness the skills and strengths of their team members, ensuring that everyone is working collaboratively towards common objectives. This function involves not just organizing and coordinating efforts but also fostering a sense of belonging and commitment among team members, making them feel valued and integral to the organization's success.

4. **Manage Change** In today's fast-paced environment, change is constant. Leaders must be adept at managing change processes to minimize resistance and anxiety among employees. This includes identifying the need for change, communicating its importance, and guiding the organization through transitions. Effective leaders help their teams navigate the uncertainties that come with change by providing support, maintaining open lines of communication, and demonstrating resilience. They also encourage adaptability and innovation, allowing the organization to evolve positively.
5. **Develop Other Leaders** A key function of effective leadership is to cultivate future leaders within the organization. This involves mentoring, coaching, and providing opportunities for professional development to team members. By investing in the growth of others, leaders not only enhance individual capabilities but also build a succession plan that strengthens the organization's resilience. Empowering employees to take on leadership roles fosters a culture of continuous learning and innovation and ensures the organization has a robust pipeline of talent.
6. **Take Hard Decisions and Solve Problems** Leaders often face complex situations that require difficult decision-making and effective problem-solving skills. This function involves analysing various options, weighing the potential outcomes, and making choices that align with the organization's objectives and ethical standards. Leaders must be able to address challenges head-on, utilizing critical thinking and sound judgment. Moreover, it is crucial for leaders to demonstrate confidence in their decisions and maintain communication with their teams regarding the reasoning behind those choices.

UNIT TWO: PRINCIPLES OF LEADERSHIP

2.1 Principles of Leadership

To help you *be*, *know*, and *do*, follow these eleven principles of leadership (U.S. Army, 1983):

- i) **Know yourself and seek self-improvement** - In order to know yourself, you have to understand your *be*, *know*, and *do* attributes. Seeking self-improvement means continually strengthening your attributes. This can be accomplished through self-study, formal classes, reflection, and interacting with others.
- ii) **Be technically proficient** - As a leader, you must know your job and have a solid familiarity with your employees' tasks.
- iii) **Seek responsibility and take responsibility for your actions** - Search for ways to guide your organization to new heights. And when things go wrong, as they often tend to do, sooner or later do not blame others. Analyze the situation, take corrective action, and move on to the next challenge.
- iv) **Make sound and timely decisions** - Use good problem solving, decision making, and planning tools.
- v) **Set the example** - Be a good role model for your employees. They must not only hear what they are expected to do, but also see. "*We must become the change we want to see.*" - Mahatma Gandhi
- vi) **Know your people and look out for their well-being** - Know human nature and the importance of sincerely caring for your workers.
- vii) **Keep your workers informed** - Know how to communicate with not only them, but also seniors and other key people.
- viii) **Develop a sense of responsibility in your workers** - Help to develop good character traits that will help them carry out their professional responsibilities.
- ix) **Ensure that tasks are understood, supervised, and accomplished** - Communication is the key to this responsibility.
- x) **Train as a team** - Although many so called leaders call their organization, department, section, etc. a team; they are not really teams... they are just a group of people doing their jobs.
- xi) **Use the full**

capabilities of your organization - By developing a team spirit, you will be able to employ your organization, department, section, etc. to its fullest capabilities.

2.2 PRINCIPLES OF LEADERSHIP ACCORDING TO "MARK SANBORN"

Leadership principles are fundamental guidelines or beliefs that guide a leader's actions and decisions. They are often rooted in a leader's personal values and philosophy.

Leadership principles serve as a foundation for leadership behavior and decision-making.

Mark Sanborn is a renowned author, speaker, and leadership expert known for his work on leadership development. He has written several books on leadership, including "The Fred Factor" and "You Don't Need a Title to Be a Leader." The following are some Principles of leadership as Proposed by "Mark Sanborn"

1. **Power of Self-Mastery** Self-mastery is the foundational pillar of authentic leadership. It involves cultivating emotional intelligence, self-awareness, resilience, and internal alignment. In a complex, rapidly changing world, leaders who master their own mindset, biases, and emotional responses can adapt more effectively and inspire trust. This principle emphasizes reflective practices such as mindfulness and deliberate self-development, enabling leaders to act with integrity and clarity. By aligning personal values with purpose, leaders set a compelling example that galvanizes others to follow authentically.
2. **Power of Focus** Focus extends beyond mere prioritization; it embodies strategic intent and cognitive discipline amidst information overload. Leaders must develop cognitive agility to discern vital signals from noise, enabling them to allocate mental and energetic resources effectively. The distinction between waiting and drifting underscores intentionality: purposeful waiting (e.g., strategic patience) versus passive drifting without direction. Modern leadership necessitates cultivating a growth mindset, managing distractions via digital discipline, and employing deliberate reflection to ensure actions align with long-term vision rather than fleeting trends.
3. **Power with People** Moving from a hierarchical "power over" to a collaborative "power with" paradigm involves fostering psychological safety, shared purpose, and collective intelligence. Effective leaders leverage inclusive decision-making, empower team members, and recognize interdependence. This principle also resonates with systems thinking—understanding how individual contributions integrate into broader organizational dynamics. Cultivating emotional authenticity and vulnerability enhances trust, enabling high-performing teams to innovate and adapt collectively, rather than merely executing directives.
4. **The Power of Persuasive Communication** Effective leadership communication transcends information dissemination—it's about facilitating understanding, empathy, and shared meaning. Contemporary leaders utilize active listening, storytelling, and contextual intelligence to resonate with diverse audiences. They leverage multiple channels, including digital media, to craft compelling narratives that inspire action. The focus on understanding emphasizes emotional resonance and cognitive engagement, which foster buy-in and commitment. Mastery in persuasive communication also entails cultural competence and the ability to navigate ambiguity with clarity.
5. **The Power of Execution** Transforming nouns into verbs symbolizes shifting from static intentions to dynamic action. Modern leaders embrace agility, iterative experimentation, and proactive problem-solving. Instead of merely setting visions, they embed a mindset of "visioning" continually envisioning future states and adjusting strategies accordingly. This involves cultivating a culture of

accountability, learning from failures, and maintaining momentum through habits and routines. Execution is thus an active, ongoing process that requires resilience, feedback loops, and a growth-oriented approach.

6. The Power of Giving Generosity in leadership—whether through mentorship, resource sharing, or empowering others—creates a ripple effect that enhances organizational resilience and societal impact. This principle aligns with the concept of servant leadership, emphasizing purpose-driven actions that prioritize the well-being of others. In a hyper-connected world, giving also involves leveraging networks, fostering collaboration, and contributing to collective success. As Sanborn notes, making a positive difference for others engenders a sense of fulfilment and amplifies a leader's influence, creating a virtuous cycle of trust, loyalty, and shared prosperity.

NOTE

Mark Sanborn's principles, when viewed through a contemporary lens, emphasize that effective leadership is a dynamic interplay of inner mastery, strategic focus, collaborative engagement, empathetic communication, proactive execution, and altruistic giving. Leaders who internalize and practice these principles cultivate adaptive, resilient, and impactful organizations capable of thriving amidst complexity and change.

UNIT #03#

CHARACTERISTICS AND QUALITIES OF GOOD LEADERS.

Leadership attributes are the qualities and characteristics that make someone an effective leader. These attributes can vary depending on the context and the type of leadership, but some common leadership attributes include:

1. Physical appearance- A leader must have a pleasing appearance. Physique and health are very important for a good leader.
2. Vision and foresight- A leader cannot maintain influence unless he exhibits that he is forward looking. He has to visualize situations and thereby has to frame logical programmes.
3. Intelligence- A leader should be intelligent enough to examine problems and difficult situations. He should be analytical who weighs pros and cons and then summarizes the situation. Therefore, a positive bent of mind and mature outlook is very important.
4. Communicative skills- A leader must be able to communicate the policies and procedures clearly, precisely and effectively. This can be helpful in persuasion and stimulation.
5. Objective- A leader has to be having a fair outlook which is free from bias and which does not reflect his willingness towards a particular individual. He should develop his own opinion and should base his judgement on facts and logic.
6. Knowledge of work- A leader should be very precisely knowing the nature of work of his subordinates because it is then he can win the trust and confidence of his subordinates.
7. Sense of responsibility- Responsibility and accountability towards an individual's work is very important to bring a sense of influence. A leader must have a sense of responsibility towards organizational goals because only then he can get maximum of capabilities

exploited in a real sense. For this, he has to motivate himself and arouse and urge to give best of his abilities. Only then he can motivate the subordinates to the best.

8. Self-confidence and will-power- Confidence in himself is important to earn the confidence of the subordinates. He should be trustworthy and should handle the situations with full will power.
9. Humanist- This trait to be present in a leader is essential because he deals with human beings and is in personal contact with them. He has to handle the personal problems of his subordinates with great care and attention. Therefore, treating the human beings on humanitarian grounds is essential for building a congenial environment.
10. Empathy- It is an old adage "Stepping into the shoes of others". This is very important because fair judgement and objectivity comes only then. A leader should understand the problems and complaints of employees and should also have a complete view of the needs and aspirations of the employees. This helps in improving human relations and personal contacts with the employees.

UNIT #04#

A COMPARISON OF MANAGEMENT AND LEADERSHIP

Scholars such as Bass (1990), Hickman (1990), Kotter (1988), Mintzberg (1973) and Rost(1991) view leading and managing as distinct processes, but they do not assume that leaders and managers are different types of people. However, these scholars differ somewhat in how they define the two processes.

Mintzberg (1973) developed a list of ten managerial roles to be observed in his study of executives. The ten roles account for all of management activities, and each activity can be explained in terms of at least one role, although many activities involve more than one role. Three roles deal with the interpersonal behavior of managers (leader, liaison, and figurehead); three roles deal with information-processing behavior (monitor, disseminator, and spokesman) and four roles deal with decision making behavior (entrepreneur, conflict solver, resource allocator, and negotiator).

Based on the finding of his research, Mintzberg (1973) reached the conclusion that the roles of a manager are largely predetermined by the nature of the managerial position, but that managers do have flexibility in the way each role is interpreted and enacted. Kotter (1990) differentiated between management and leadership in terms of the core processes and intended outcomes. According to Kotter (1990) management seeks to produce predictability and order by:

- Setting operational goals, establishing action plans with timetables, and allocating resources;
- Organizing and staffing e.g. establishing structure, assigning resources and tasks; and
- Monitoring results and solving problems.

Leadership seeks to produce organizational change by:

- Developing a vision of the future and strategies for making necessary changes;
- Communicating and explaining the vision; and
- Motivating and inspiring people to attain the vision.

Management and leadership are both involved in creating networks or relationships in order to facilitate the taking of action. However, the two processes have some incompatible elements. Strong leadership can disrupt order and efficiency and too strong a focus on management can discourage risk-taking and innovation. According to Kotter (1990), both processes are necessary for the success of an organization. Effective management on its own can create a bureaucracy without purpose, while effective leadership on its own can create change that is impractical. The relative importance of the two processes and the best way to integrate them depend on the situation that prevails.

Rost (1991) describes management as a relationship based on authority that exists between managers and subordinates in order to produce and sell goods and services. He defined leadership as a relationship based on influence between a leader and followers with the mutual purpose of accomplishing real change. Leaders and followers influence each other as they interact in non-coercive ways to decide what changes they wish to make. Managers may be leaders, but only if they succeed to build a relationship based on influence with their followers. Rost proposes that the ability to lead is not necessary for a manager to be effective in producing and selling goods and services. However, even when authority is a sufficient basis for downward influence over subordinates, good relationships is necessary for influencing people over whom the leader has no authority, e.g. peers. In organizations where change has become a constant part of the business environment, good relationships based on influence with subordinates seems necessary (Rost, 1991).

Table 4.1 Comparison of Management and Leadership

Management	Leadership
• Planning and budgeting • Keeping eye on bottom line • Minimizing risk • Reading and controlling • Create boundaries • Focuses on objects - producing/selling goods and services • Based on position power • Acting as boss • Emotional distance • Expert mind • Talking • Conformity • Insight into organization	• Creating vision and strategy • Keeping eye on the horizon • Creating shared culture and values • Helping others grow • Minimize boundaries • Focuses on people - inspiring and motivating followers • Based on personal power • Acting as coach, facilitator, servant • Emotional connections (heartly) • Open mind (mindfulness) • Listening (communication) • Non-conformity (courage) • Insight into self (integrity)
• Implementation of the leader's vision and changes introduced by leaders, and the maintenance and administration of organizational infrastructures.	• Articulation of an organizational vision and the introduction of major organizational changes; provides inspiration and deals with highly stressful and troublesome aspects of the external environments of organizations.
• Focuses on the tasks (things) when performing the management functions of planning, organization, and controlling.	• Focuses on the interpersonal relationships (people).

Management

- Planning: Establishes detailed objectives and plans for achieving them.
- Organizing and staffing: Sets up structure for employees to do the job the way the manager expects it to be done.
- Controlling: Monitors results against plans and takes corrective action.
- Predictable: Stays consistent and controls with consistent behavior. Prefers stability.
- Managers do things right.
- Focus is on a short-term view, avoiding risks, maintaining and imitating.
- Maintains stability.

Leadership

- Establishes direction; develops a vision and the strategies needed for its achievement.
- Innovates and allows employees to do the job any way they want, as long as they get results that relate to the vision.
- Motivates and inspires employees to accomplish the vision in creative ways.
- Makes innovative, quick changes that are not very predictable. Prefers change.
- Leaders do the right things.
- The focus is on a long-term view, taking risks, innovating, and originating.
- Creates change.

UNIT #05#

LEADERSHIP STYLES AND THEORIES

Leadership styles are the patterns of behavior that leaders use to influence others. There are many different leadership styles, and the best style for a given situation will depend on a variety of factors, such as the task at hand, the experience and skills of the followers, and the organizational culture.

5.1. Types of Leadership Styles

There are several types of leadership styles:

1. **Autocratic Leadership Style** This is a leadership style where the leader makes all the decisions and has complete control over the team. The leader tells the team what to do and how to do it, and there is little room for input or feedback from team members. This style can be effective in situations where quick decisions need to be made or when the team lacks experience and needs clear direction.
2. **Democratic/Participative Leadership Style** This is a leadership style where the leader involves the team in the decision-making process. The leader encourages team members to share their ideas and opinions, and decisions are made collectively. This style can be effective in fostering a sense of ownership and commitment among team members and can lead to more creative and innovative solutions.
3. **Laissez-faire Leadership Style** This is a leadership style where the leader gives the team complete freedom to make their own decisions and manage their own work. The leader provides little guidance or support and is only involved when necessary. This style can be effective with highly experienced and self-motivated teams but can lead to a lack of direction and accountability if the team is not properly managed.

4. **Bureaucratic Leadership Style** This is a leadership style where the leader follows strict rules and procedures. The leader ensures that everything is done by the book and there is little room for flexibility or creativity. This style can be effective in organizations where safety and compliance are critical, but it can lead to a lack of innovation and slow decision-making.
5. **Transformational Leadership Style** This is a leadership style where the leader inspires and motivates the team to achieve a common goal. The leader focuses on building relationships and empowering team members to reach their full potential. This style can be effective in creating a positive and high-performing team culture and can lead to long-term success.
6. **Transactional Leadership Style** This is a leadership style where the leader focuses on rewards and punishments to motivate the team. The leader sets clear goals and expectations and provides rewards for meeting them and punishments for failing to meet them. This style can be effective in achieving short-term goals but can lead to a lack of motivation and commitment in the long run.
7. **Servant Leadership Style** This is a leadership style where the leader focuses on serving the needs of the team. The leader prioritizes the well-being and development of team members and works to create a supportive and inclusive team culture. This style can be effective in building trust and loyalty among team members and can lead to a more engaged and productive workforce.
8. **Situational Leadership Style** This is a leadership style where the leader adapts their style to the situation at hand. The leader considers the task at hand, the experience and skills of the team members, and the organizational culture to determine the most effective leadership style. This style can be effective in managing a diverse team and responding to changing circumstances.

5.2. LEADERSHIP THEORIES

Leadership theories are schools of thought proposed to explain how and why certain individuals become leaders. They emphasize the traits and behaviors that individuals can adopt to boost their own leadership abilities.

1. **The Great Man Theory (1840s)** The Great Man theory evolved around the mid-19th century. Even though no one was able to identify with any scientific certainty which human characteristic or combination of, were responsible for identifying a leader. Everyone was in agreement that "leaders are born, not made." These individuals come into the world with certain characteristics which sets them apart from everyone else.
2. **Trait Theory (1930s-1940s)** The trait theory is very similar to the Great Man theory. It is founded on the characteristics of different leaders, both the successful and unsuccessful ones. The theory is used to predict leadership effectiveness. The identified traits are then compared to those of potential leaders to determine their likelihood of leading effectively.
3. **Behavioral Theory (1940s-1950s)** In reaction to the trait theory, the behavioral theory offers a new perspective, one that focuses on the behaviors of the leaders as opposed to their mental, physical or social characteristics. With the help of psychometrics, researchers were able to measure the cause and effects of certain behaviors from leaders. From this, they were able to identify which behaviors were most effective and which ones were not.

4. Contingency Theory (1960s) The contingency theory emphasizes different variables in a specific setting that determine which leadership style will be most effective for the situation. It is founded on the principle that no single leadership style is applicable to all situations.
5. Situational Theory (1970s) The situational theory is similar to the contingency theory as it also proposes that no one leadership style is superseded by others. As its name implies, the theory believes that the leader should adapt his style to the situation they are in.
6. Transactional Theory (1970s) The transactional theory, also known as the management theory, focuses on the exchange between the leader and the followers. It is founded on the principle that the leader provides rewards for good performance and punishments for bad performance.
7. Transformational Theory (1970s) The transformational theory, also known as the relationship theory, focuses on the connection between the leader and the followers. It is founded on the principle that the leader inspires and motivates the followers to achieve a common goal.

Source: University of Pretoria (Date n.d) To be edited, Do not contained in Lecture Notes

UNIT #06#

BASES OF LEADERSHIP POWER

Leaders influence people to do things through the use of power and authority. Power is the ability or potential to influence decisions and control resources.

Powerful people have the potential to exercise influence, and they exercise it frequently. For example, a powerful executive might influence an executive from another company to do business with his or her company.

Authority is the formal right to get people to do things or the formal right to control resources. Factors within a person, such as talent or charm, help them achieve power. Only the organization, however, can grant authority. To understand how leaders use power and authority, we examine the various types of power, influence tactics, and how leaders share power with team members. Understanding these different approaches to exerting influence can help a manager become a more effective leader.

What is Power?

Power is the capacity to influence the behaviour of others. The term power may be applied to individuals, groups, teams, departments, organizations, and countries. For example, a certain team within an organization might be labeled as powerful, which suggests that it has the ability to influence the behaviour of individuals in other teams or departments.

According to R. A. Dahl, power is the ability of one person or group to cause another person or group to do something they otherwise might not have done. It is the ability to influence others successfully in the desired fashion. Power resides in individuals (such as managers, and informal leaders), in formal groups (such as department and committees) and in informal groups.

A) INTERPERSONAL SOURCES OF POWER

Power issues in organizations often focus on interpersonal relationships between managers and subordinates, or leaders and followers. French and Raven identified five interpersonal sources of power: reward power, coercive power, legitimate power, expert power, and referent power.

i) **Reward power** Reward power is just the opposite of coercive power. The reward can be tangible or intangible both. It is the power to give promotion, praise, raise, projects and other kinds of rewards to one subordinate. It also includes friendly colleagues, important information, and preferred work shifts. One who distributes rewards and that others view it as valuable will have power over them. The power is relevant, till the subordinates value the rewards. However, persons having reward power may find it difficult to motivate subordinates when he/she needs tangible rewards. Interestingly, the degree to which an individual seeks such rewards, it influences the ability of managers to give or withhold them and accordingly enjoy the power over that individual.

ii) **Coercive power** This is dependent on fear. It is the power to give punishment or withhold it. Out of fear of negative results that might occur if one failed to comply, people respond with this power. Through the use of coercive power, one can demote, terminate and suspend others. It involves frustrating others through restriction of movement or controlling by force the basic physiological or safety needs, withholding praise and goodwill. Infact, coercive power is possibly most often used, most often condemned, and most difficult to control. An individual may exercise coercive power because of his physical strength, high tones, filthy languages, or the ability to grant or withhold emotional support from others.

iii) **Legitimate Power** It may be defined as the power to control and use the organizational resources to achieve organizational goals. Legitimate power provides the legal authority to the person over the organizational resources. In true sense, legitimate power is the most powerful and ultimate source of an individual's power in the organization. It is also broader than the power to coerce and reward. Specifically, it includes acceptance of positional authority by members of an organization. Through this power, a manager not only controls the organizational resources but also can control the behavior of their subordinates.

iv) **Expert Power:** Expert power is informal power and does exist in every organization. Expert power is influenced and wielded as a result of expertise, special skill, or knowledge possessed by the individuals. Expertise has become one of the most powerful sources of influence. The significance of expert power has increased manifold because the world has become more technologically oriented. As a result, in every organization, in every branch of knowledge, individuals possessing unique knowledge and skills are able to wield power as a result of their expertise.

v) **Referent Power:** By giving some one's reference or getting identified with some person with position and power, some individual in the organization get the things done as they wish. Thus, referent power is based on identification with a person who has desirable position, power, resources or personal traits. When someone admires and identifies with a political leader or an influential person in the locality or the state, he/she can exercise power over others. This type of power develops out of admiration of some powerful person. The referent power has a lot of similarity with charismatic power.

(B) STRUCTURAL SOURCES OF POWER

Structural sources of power are related to the division of labor and position in different teams and departments work assignments, locations and roles. The positions in hierarchy naturally result in a variety of situations in which there is unequal access to information, resources, and decision making. Any of the situational factors could be a source of power in an organization, which includes:

(i) **Knowledge Power** Knowledge power stems from possessing specialized, unique, or valuable information that others need to perform their tasks or make informed decisions. Individuals or groups with expertise, technical skills, or extensive understanding in certain areas hold significant influence because they can guide actions, influence outcomes, and shape strategies based on their insights. For example, a technical expert in an organization can sway project directions or problem-solving efforts due to their specialized knowledge. This type of power is particularly important in environments where information is crucial for success, and those who control or possess critical knowledge can exert considerable influence over processes and decisions.

(ii) **Resources Power** Resources power is derived from the control over essential assets such as money, materials, equipment, or human resources. Those who control these resources have the capacity to influence others by granting or restricting access, which can affect the ability of individuals or departments to achieve their goals. For instance, a manager who controls the organizational budget can prioritize certain projects over others, thereby shaping organizational priorities and outcomes. Control over resources often translates into leverage, enabling the holder to influence decisions, motivate or restrict actions, and shape organizational strategies based on resource availability.

(iii) **Decision-Making Power** Decision-making power refers to the authority to make choices that impact the direction, policies, or operations within an organization or social setting. Individuals or bodies with this power have the capacity to approve, modify, or reject proposals, set priorities, and establish rules or procedures. This form of power is central to leadership roles, such as managers, executives, or governing councils, who have the formal authority to make significant decisions. Their influence extends beyond their immediate scope, affecting the overall functioning and success of the organization, as their decisions often determine resource allocation, strategic direction, and operational efficiency.

(iv) **Network Power** Network power arises from the strength and breadth of an individual's or group's social and professional connections. It is based on the ability to access resources, information, support, and influence through relationships within a network of contacts. Those who are well-connected can mobilize support, gather intelligence, and negotiate more effectively because of their extensive relationships with various stakeholders. This type of power enables influence beyond formal authority, as it relies on social capital. Effective network power allows individuals to coordinate efforts across different groups, leverage alliances, and enhance their overall influence within complex organizational or social systems.

TYPES OF POWER

(A) **VISIBLE POWER** Visible power is the power that you can see. It is called visible because it is based on rules and laws which you can get information about so that you know why a decision was made. Visible power is exercised through formal rules and laws, structures and procedures and Policies.

Example of Visible power

- The constitution,
- Parliaments,
- Local governments,
- Councils of elders and chiefs

(B) HIDDEN POWER Hidden power is about decisions made secretly by powerful people at the top of society. Hidden power is often exercised by more powerful people, both at the local and national levels. The decisions are usually to further their own interests. Decisions may be illegal or morally questionable & that's why they want to keep them secret. Very powerful people often make sure that the rules are not enforced and that the interests of people living in poverty tend to get pushed back. Hidden power is about decisions made secretly by powerful people at the top of society. Hidden power is often exercised by more powerful people, both at the local and national levels. The decisions are usually to further their own interests. Decisions may be illegal or morally questionable & that's why they want to keep them secret. Very powerful people often make sure that the rules are not enforced and that the interests of people living in poverty tend to get pushed back. For this reason, we usually regard the exercise of hidden power as illegitimate. However, there are occasions when this would not be the case.

For example if a leader instructs his officer not provide emergency aid to a group of people because they do not support him and the officer does provide the aid anyway by using his hidden influence, then we would not regard then we will not regard it as illegitimate. It was rather the order that was illegitimate.

(C) CONDITIONED POWER Conditioned power is about how our cultural inheritance shapes our beliefs in the society. Its one of the most widespread forms of global inequality namely unequal power relations between men and women which are justified in terms of traditions, beliefs and habits. Many powerful people and traditional leaders use this form of conditioned power to justify their domination and control society.

Examples of Conditioned power

- That women are inferior to men
- Unequal opportunities between girl & boy child
- Older men are wiser than younger men
- Conditioned power shapes the way we see the world
- This kind of power marginalizes people living in poverty, and particularly women and girls

PROCESS OF OBTAINING POWER

To obtain power, individuals and different groups in the organizations use variety of power tactics. Following is some of the popular tactics, which are being used by individuals to gain power in the organization:

(i) Friendliness: In order to be powerful in the organization, even some individuals take the help of flattery, creation of goodwill, acting humble, and being friendly with many people with position and power to create a power base for them.

They may make request to those powerful people to give him/her the favour. By identifying with them these individuals become powerful in the organization.

(ii) Making oneself Irreplaceable To gain power, individuals have to develop their specialized knowledge, skill and relationship so deep and broader that it will be difficult for the organization to find a substitute for their replacement. It can also be done by deliberately accepting responsibilities which automatically brings them into the contact of many managers, who ultimately may favour them for promotion, reward etc.

(iii) Networking with Powerful People It is not important that how many people do you know in the organization, but whom you know. To gain power some individuals try to identify with powerful individuals in terms of their influence in the organization, higher level of authority, status symbol, position, control over resources, expertise etc. By identifying and establishing themselves with those persons one tries to become powerful in the organization.

(iv) Building Coalition In order to get their work done individuals form alliance and coalition with each other over the issue based matter. But in this case, as interests of individual's changes from time to time, therefore, coalition has to be actively managed by their members. In case of coalition, each group tries to get the greater share of the power. Normally, more coalitions are created in the organization where there is a great deal of task and resource interdependence. However, when there is less interdependence among subunits, naturally there is less coalition formation among the subunits. Especially, when they are largely self-sufficient or there exist plenty of resources.

(v) Being Assertive and Establishing Credibility Assertiveness also refers to making orders clear. One should know what one is supposed to know. To be powerful, one has to assert oneself by using direct and forceful approach such as demanding compliance with requests, repeating reminders, citing rules that require compliance. Moreover, one has to establish one's credibility in terms of sincerity, honesty, and punctuality in words and deals.

(vi) Building Pressure This is a hostile method of gaining power. Normally trade unions in organization use this power. They might threaten a strike or show down if the management does not accept their demands. The use of threats may provoke counter-threats rather than concession. However, pressure tactics are a part of power struggle in organization. Some individuals become member or leader of unions / associations to build pressure on organization to gain power.

(vii) Leading by example It means that the leader influences group members by serving as a positive model of desirable behavior. A manager who leads by example shows consistency between actions and words.

For example, suppose a firm has a strict policy on punctuality. The manager explains the policy and is always punctual. The manager's words and actions provide a consistent model.

KEY POWER ACTORS/INSTITUTIONS

In societies where hidden illegitimate power is predominant, the heads of the key institutions in society usually have to compete keenly for resources for their institutions. When resources are scarce powerful people at the top of local or national institution or simply their own interests, with other influential People. In this part we are going to look number of key institutions, common to most country which powerful people are interested in influencing and controlling.

The Police Play an important role in all societies by maintaining Law and order. They have mandate to use force in accordance with laws, rules and guidelines for their work.

The Military The military's role is to protect the country from external threats and they have a legitimate mandate to use military force.

The bureaucracy is often a huge administrative entity. Policy and budgeting decisions are often made in the sector ministries in the capital without consultation with related departments or lower levels.

Local governments Local government represents an important interface to dialogue for dialogue between citizens and governments.

The political parties The political parties often have a well-organized structure from the national to the local level and are important actors.

Religion Organizations Organized religion often plays an important role in relation to invisible power as it is closely associated with beliefs and values.

Traditional Leaders Traditional leaders are kings, queens, chiefs or village headmen. In many countries they still play a significant role in terms of invisible power. They are respected, part of the local or National identity and have emotional ties with the people.

5.3.1: DISCUSS GENERAL PRINCIPLES OF MGT. FOR SUCCESSFUL OPERATION OF ORG.

1.0 Describe Background to Principles of Management

1.1 What is Management? The study would be of interest to the general public and private sectors development practitioners, scholars, researchers, and all those who wish to expand their frontier knowledge in the field of business and organizational Management for innovation and creativity.

The term Management can often be used to mean a discipline, or an activity or in reference to corporate leadership. When used to mean a corporate leadership the term refers to a body or group of people who assumes joint responsibility of formulating, interpreting and implementing the broad objectives and/or policies of an organization.

F.W. Taylor defines; management as the art of knowing what you want to do and then seeing that it is done the best and cheapest way.

William Spriegal; "Management" is that function of an enterprise which concerns itself with the direction and control over the various activities to attain the business to attain the business objectives.

Harold Koontz and O' Donnel, "Management" is the creation and maintenance of an internal environment in an enterprise where individuals, working in groups, can perform efficiently and effectively toward the attainment of group goals.

Also "Management" is defined as a process of overseeing and coordinating resources efficiently and effectively in line with the goals of the organization.

Therefore, the term "Management" refers to the process of getting things done, effectively and efficiently, through and with other people.

Generally the term “Management” is basically concerned with the performance of planning, organizing, directing, co-coordinating and controlling, which in fact, are its main functions.

Peter F. Drucker; a renowned management consultant, educator, and author, is often credited as one of the most influential management thinkers of the 20th century. One of his famous quotes states, "Management is doing things right; leadership is doing the right things.". This statement underscores the importance of effectiveness and efficiency in organizational management.

A; PETER F. Drucker says: “LEADERSHIP IS DOING THE RIGHT THING” Leadership is about setting the right direction, making strategic decisions, and guiding an organization towards its long-term goals (doing the right things).

Key points that describe the significance of Drucker’s statement on leadership:

- **Strategic Direction:** Leadership entails setting a clear vision, defining strategic goals, and charting a course for the organization’s future success. Leaders are responsible for making decisions that align with the organization’s mission and values, and that contribute to its overall strategic direction.
- **Decision-Making:** Effective leadership involves making informed and ethical decisions that have a significant impact on the organization. Leaders must consider the long-term consequences of their decisions, evaluate risks, and prioritize initiatives that are in the best interest of the organization and its stakeholders.
- **Inspiring and Motivating:** Leaders inspire and motivate their teams to achieve excellence, embrace change, and strive for success. By setting a compelling vision, demonstrating empathy, and fostering a positive organizational culture, leaders can engage and empower their employees to perform at their best.
- **Innovation and Change Management:** Leadership involves driving innovation, encouraging creativity, and navigating organizational change effectively. Leaders must be willing to challenge the status quo, experiment with new ideas, and adapt to evolving market trends to ensure the organization’s relevance and competitiveness.
- **Building Relationship and Creating Alignment:** Leaders focus on building strong relationships with stakeholders, fostering collaboration, and creating alignment across different parts of the organization. Effective leaders engage with employees, customers, partners, and communities to cultivate trust, mutual understanding, and a shared sense of purpose.
- **Personal Integrity and Values:** Leadership is also about embodying personal integrity, ethical conduct, and values-based decision-making. Leaders set the tone for ethical behaviour, demonstrate accountability, and act as role models for others to follow in upholding the organization’s principles and standards.

NOTE.

Overall, Peter F. Drucker’s statement on leadership emphasizes the pivotal role that leaders play in setting the strategic direction, making sound decisions, inspiring others, and fostering innovation within an organization. By focusing on doing the right things and aligning actions with the organization's goals and values, leaders can steer the organization towards sustainable growth, adapt to change, and create a positive impact on the people and communities they serve.

B. "MANAGEMENT IS DOING THINGS RIGHT"

In the context of "management is doing things right," Drucker emphasizes the need for managers to focus on executing tasks and processes efficiently to achieve organizational goals and objectives.

Key points that describe the significance of this statement:

- **Emphasis on Execution:** According to Drucker, the core function of management is to ensure that operational tasks and processes are executed effectively and efficiently. Managers are responsible for overseeing day-to-day activities, allocating resources, and monitoring performance to ensure that objectives are met through the proper execution of tasks.
- **Attention to Detail:** "Doing things right" implies a focus on attention to detail, quality control, and adherence to standards and procedures. Managers must ensure that work is carried out in accordance with established norms, best practices, and organizational policies to achieve high-quality outcomes.
- **Operational Excellence:** Drucker's statement highlights the importance of achieving operational excellence through efficient management practices. Managers are tasked with optimizing processes, eliminating inefficiencies, and continuously improving performance to deliver value to customers, stakeholders, and the organization as a whole.
- **Performance Management:** Effective management involves setting clear performance expectations, monitoring progress, providing feedback, and taking corrective actions as needed. Managers must track key performance indicators, evaluate results against objectives, and make adjustments to ensure that goals are achieved in a timely and effective manner.
- **Resource Utilization:** "Doing things right" also pertains to the optimal utilization of resources, including financial, human, and material resources. Managers are responsible for allocating resources efficiently, managing costs, and maximizing productivity to enhance organizational performance and sustainability.
- **Continuous Improvement:** Drucker's statement underscores the importance of continuous improvement in management practices. Managers should foster a culture of learning, innovation, and adaptability to enhance efficiency, effectiveness, and competitiveness in a dynamic and evolving business environment.

MANAGEMENT ACCORDING TO Frenchman Henri Fayol (1919) considered management to forecast and plan, to command and organize and to co-ordinate and control. He considered management comprises seven essential functions that must be carried out effectively in order to achieve the organization's goals and objectives:

I. **Planning:** Involves setting goals and objectives, developing strategies to achieve them, determining the resources and actions needed to implement those strategies.

II. **Organizing:** Involves creating a structure for the organization, defining responsibilities, and establishing communication channels to ensure coordination and cooperation among employees.

III. Leading: Involves guiding and motivating employees to work towards the achievement of organizational goals, providing direction, support, and inspiration.

IV. Coordinating: Involves ensuring that different parts of the organization work harmoniously towards a common goal, aligning activities, resources, and efforts, maximizing efficiency and effectiveness.

V. Controlling: Involves monitoring progress towards goals, identifying deviations from plan, and taking corrective actions to ensure that the organization stays on track and achieves its objectives.

VI. Staffing: Involves recruiting, selecting, training, and developing employees with necessary skills and competencies to perform their roles effectively and contribute to the organization's success.

VII. Motivating: Involves encouraging and incentivizing employees to perform at their best, recognizing and rewarding their achievements, and creating a positive work environment fosters motivation, engagement, and commitment.

1.2 THE ORIGIN OF MANAGEMENT PRINCIPLES

Introduction

A principle is a fundamental truth, or what is believed to be truth at a given time. Principles are management are considered as fundamental truths existing at a given time, and which explain the relationships that exist between two or more sets of variables. The principles prepare human beings for the tasks of analysing management issues and appreciating their values society.

Management principles have been practiced since human beings began to live and work together in groups. The earliest recorded document of mankind was found in the Sumerian Civilization. In 5000 B.C. Sumerian priests developed a formal system of writing (scripts) that allowed them to record and keep track of the goods, flocks and herds of animals, coins, land, and buildings that were contributed to their temples. Furthermore, to encourage honesty in such dealings, the Sumerians instituted managerial controls that required all priests to give written accounts of the transactions, donations, and payments they handled to the chief priest in stone tablets and animal-skins. These scripts were first used to manage the business of Sumerian temples

The Egyptians recognized the need for planning, organizing, and controlling, for submitting written requests, and for consulting staff for advice before making decisions. The practical problems they encountered while building the great pyramids no doubt led to the development of these management ideas. The construction of a single pyramid at 5,000BC engaged more than 100,000 workers for 20 years and the good example is the great pyramid of Giza in about 2560BC. The largest of the pyramids contained more than 2 million blocks, each weighing several tons.

Another example is that of King Hammurabi, who established controls and King Cyrus, emphasized the importance of human relations and used motion study to eliminate wasteful steps and improve productivity. Both King Hammurabi and King Cyrus understood the importance of making things happen through (planning, managing, information, decision making, and control). Furthermore King Nebuchadnezzar, pioneered techniques for producing goods and used wages to motivate workers.

The Roman Catholic Church: This also represents fine model of the application of management in olden times. There are numerous theories and principles under which the discipline operated; for example the Bible (Old Testament) has referred that Moses had hired his father-in-law Jethro as the first management consultant to formulate a strategy to lead the Hebrews out of Egypt and then organized them into a nation. Jethro helped design the organization through which Moses ruled the Hebrews in the desert. Exodus, Chapter 18, describes how Moses "chose able men out of all Israel and made them heads over the people, and differentiated between rulers of thousands, rulers of hundreds, rulers of fifties and rulers of tens."

Diocletian, a Roman emperor, mastered the art of delegation by dividing the widespread Roman Empire into 101 provinces, which were then grouped into 13 dioceses, which were in turn grouped into four geographic divisions.

The Great China Wall: built in the time period of 956 years (688 BC – 1644 AD). It is 6000 km long. Its base is 20 feet wide and top 11 feet wide. The height of China Wall is from 7 to 37 feet. The whole China wall is made by hands. This example from the ancient times demonstrates that management has been practiced for thousands of years due to the fact that, it was not possible to complete such a complex project without proper management of all activities associated with the accomplishment of this project. About five centuries BC the Chinese extensively practiced the management functions of what is today known as planning and directing. Sun Tzu, the famous Chinese military leader, wrote nearly 500 BC concerning his opinions on principles of leadership ideas, similarly to those that are being practiced today.

The Arsenal of Venice: city illustrates an example of ancient management practices which took place in the city of Venice, Italy. The history shows that by 1400s, the city was the world's most famous in industrial activities and was occupied by about 3,000

1.3 NATURE AND SCOPE OF MANAGEMENT

A) NATURE OF MANAGEMENT: The nature of management refers to the fundamental characteristics, principles, and underlying concepts that define the practice of management. It involves understanding the essential qualities and features that distinguish management discipline and guide managerial behaviour and decision-making. Some key aspects of the nature of management include:

- 1) Management is Universal: Management is required in every form of group activity whether it is a family, a club, a government, an army or a business enterprise. The approach and style of management may differ from one organisation to another but the application of principles and theories are the same all over the world.
- 2) Management is Purposeful: Management exists for the achievement of specific objectives a means towards the accomplishment of pre-determined goals. All activities of management goal-oriented.
- 3) Management is An Integrative Force: The essence of management lies in the co-ordination of individual efforts into a team. Management reconciles the individual goals with organisational goals. It integrates human and other resources.
- 4) Management is a Social Process: Management is done by people, through people and people. It is a social process because it is concerned with interpersonal relation. Human factors most important element in management.

5) Management is Multidisciplinary: Management has to deal with human behavior under dynamic conditions. Therefore, it depends upon wide knowledge derived from disciplines like engineering, sociology, psychology, economics, anthropology, etc.

6) Management is a Continuous Process: Management is a dynamic and ongoing process. The Cycle of management continues to operate so long as there is organization for the achievement of group goals.

7) Management is Intangible: Management is an unseen or invisible force. It cannot be seen but its presence can be felt everywhere in the form of results. However, the managers who perform the functions of management are very much tangible and visible.

8) Management is goal-oriented: Management is not an end in itself. It is a means to achieve certain goals. Management has no justification to exist without goals. The success of management is measured by the extent to which the established goals are achieved. Thus, management is purposeful.

9) Management Is an Art as Well as a Science:

a) Management is a Science; A Science is a systematized body of knowledge pertaining to a particular field of enquiry. Science is characterized by following main features:

i. Universally acceptance principles – Scientific principles represent basic truth about a particular field of enquiry. These principles may be applied in all situations, at all time & at all places.

ii. Experimentation & Observation – Scientific principles are derived through scientific investigation & researching i.e. Management principles have been developed through experiments & practical experiences of large no. of managers.

iii. Cause & Effect Relationship– Principles of science lay down cause and effect relationship between various variables. The same is true for management; therefore it also establishes cause and effect relationship.

iv. Test of Validity & Predictability – Validity of scientific principles can be tested at any time or any number of times i.e. they stand the test of time. Each time these tests will give same result.

b) Management is an art; it involves the practical application of personal skills and knowledge to achieve concrete results. Art is the following characters –

i. Practical Knowledge: Every art requires practical knowledge therefore learning of theory is not sufficient. It is very important to know practical application of theoretical principles.

ii. Personal Skill: Every manager has his own way of managing things based on his knowledge, experience and personality.

iii. Creativity: Every artist has an element of creativity in line. That is why he aims at producing something that has never existed before which requires combination of intelligence & imagination.

iv. Perfection through practice: Every artist becomes more and more proficient through constant practice. Similarly managers learn through an art of trial and error initially but application of management principles over the years makes them perfect in the job of managing.

v. Goal-Oriented: Every art is result oriented as it seeks to achieve concrete results. In the same manner, management is also directed towards accomplishment of pre-determined goals.

B. SCOPE OF MANAGEMENT:

The scope of management refers to the various functions, roles, and responsibilities that fall under the purview of management. It encompasses the range of activities that managers undertake to ensure the efficient and effective functioning of an organization.

scope of management includes:

1) *Planning:*

Planning is a fundamental function of management that involves setting goals, establishing strategies, developing action plans, and allocating resources to achieve organizational objectives. Forecasting future conditions, identifying potential opportunities and challenges, and creating roadmaps for guiding organizational activities. The planning process enables managers to anticipate and prepare for contingencies, make informed decisions, and ensure the effective utilization of resources towards goal attainment.

2) *Organizing:*

Organizing involves structuring resources, defining roles and responsibilities, establishing relationships, and coordinating activities to facilitate the efficient functioning of the organization. It includes designing the organizational structure, establishing communication channels, delegating authority, and creating systems and procedures to achieve coordination and synergy among different parts of the organization. Organizing ensures that resources are allocated effectively, tasks are allocated appropriately, and workflows are streamlined to achieve organizational goals.

3) *Leading:*

Leading focuses on motivating, influencing, and guiding individuals and teams to perform at their best and contribute to the achievement of organizational objectives. Effective leadership involves inspiring vision, fostering teamwork, developing talents, resolving conflicts, and providing direction to employees. Leaders communicate goals, provide feedback, offer support, and lead by example to inspire commitment and engagement among employees. Leading is essential for creating a positive organizational culture, driving performance, and fostering innovation and change.

4) *Controlling:*

Controlling is a management function that involves monitoring performance, comparing actual results against planned goals, identifying deviations, and taking corrective actions to ensure that organizational objectives are met. Through control mechanisms such as budgeting, performance metrics, quality standards, and feedback systems, managers evaluate progress, diagnose problems, and implement adjustments to address variances and improve performance. Controlling helps maintain accountability, promote efficiency, and enhance organizational effectiveness by ensuring that activities align with planned outcomes.

5) *Decision-making:*

Decision-making is a critical managerial process that involves analyzing information, evaluating alternatives, and making choices that impact organizational outcomes. Managers routinely face complex and uncertain situations that require selecting the best course of action among competing options. Decision-making involves defining problems, gathering data, generating alternatives, assessing risks, considering implications, and making informed decisions based on rationality,

intuition, experience, and judgment. Effective decision-making is essential for problem-solving, innovation, resource allocation, and strategic planning.

6) Human resource management:

Human resource management (HRM) is a specialized function of management that focuses on recruiting, selecting, training, developing, motivating, and managing employees to maximize their potential and contribute to organizational success. HRM involves designing job roles, conducting performance appraisals, implementing compensation and benefits programs, resolving employee conflicts, fostering employee engagement, and promoting a positive work environment. Human resource managers play a crucial role in attracting and retaining talent, managing employee relations, enhancing organizational culture, and aligning human capital with strategic goals.

7) Strategic management:

Strategic management is a comprehensive process that involves formulating, implementing, and evaluating long-term plans and initiatives to achieve competitive advantage and sustain organizational success. It entails analysing the internal and external environment, setting strategic goals and objectives, developing strategies and tactics, allocating resources, monitoring performance, and adapting to changes in the business landscape. Strategic management requires a holistic and forward-thinking approach to align organizational capabilities with market opportunities, anticipate future trends, innovate, and differentiate the organization from competitors. It is focused on creating value, driving growth, and ensuring the long-term viability of the organization.

Levels of Management

The term "Levels of Management" refers to a line of demarcation between various managerial positions in an organization. The number of levels in management increases when the size of the business and workforce increases and vice versa. The level of management determines a chain of command, the amount of authority & status enjoyed by any managerial position.

Levels of management also refer to the hierarchical arrangement of managerial positions within an organization, from the highest to the lowest. Each level is characterized by varying degrees of authority, responsibility, and decision-making power. These levels ensure the efficient flow of information, coordination of activities, and effective implementation of organizational strategies.

Levels of Management and Their Characteristics

- A. Top-Level Management (Strategic Level):

- **Meaning:** Consists of the highest-ranking executives responsible for setting the overall strategic direction of organization.

Main Features:

- Strategic decision-making.
- Long-term planning.
- Policy formulation.
- External environment analysis.

Common Names: Chief Executive Officer (CEO), Chief Operating Officer (COO), Chief Financial Officer (CFO), President, Vice President, Board of Directors.¹

Responsibilities:

- Formulating organizational goals and strategies.
- Making major policy decisions.
- Representing the organization to external stakeholders.
- Allocating resources.
- Ensuring long-term sustainability.

Important Skills:

- High Conceptual Skills: Ability to think strategically and understand big picture.
- High Human Relations Skills: Ability to build relationships and communicate effectively with diverse stakeholders.
- Low Technical Skills: Less emphasis on specific technical expertise.

Applicability: Crucial for long-term organizational success, strategic planning, and adapting to external changes.

B. Middle-Level Management (Tactical Level):

Meaning: Consists of managers responsible for implementing the strategies and policies developed by top management.

Main Features:

- Tactical planning.
- Departmental coordination.
- Resource management.
- Supervision of lower-level managers.
- Implementation of strategic plans.

Common Names: Department Heads, Branch Managers, Regional Managers, Division Managers, Plant Managers.

Responsibilities:

- Translating strategic plans into tactical plans.
- Coordinating departmental activities.
- Allocating departmental resources.
- Motivating and supervising lower-level managers.
- Reporting to top management.

Important Skills:

- Balanced Conceptual Skills: Ability to understand strategic goals and translate them into tactical plans.

- High Human Relations Skills: Essential for motivating and coordinating teams.

- Moderate Technical Skills: Understanding of departmental operations.

Applicability: Essential for efficient departmental operations, resource management, and effective communication between top and lower levels.

C. Lower-Level Management (Operational Level):

- Meaning: Consists of supervisors and team leaders responsible for overseeing day-to-day operations.

- Main Features:

- Operational planning.

- Direct supervision of employees.

- Task allocation.

- Performance monitoring.

- Problem-solving.

- Common Names: Supervisors, Foremen, Team Leaders, Office Managers, Section Heads.

- Responsibilities:

- Assigning tasks to employees.

- Monitoring employee performance.

- Providing training and guidance.

- Resolving operational problems.

- Ensuring quality and efficiency.

- Important Skills:

- High Technical Skills: Expertise in specific operational processes.

- High Human Relations Skills: Ability to motivate and communicate with employees.

- Low Conceptual Skills: Less emphasis on strategic thinking.

- Applicability: Vital for ensuring efficient day-to-day operations, employee productivity, and quality control.

Skills Required at Each Level

- Conceptual Skills: The ability to think strategically, understand complex relationships, and develop long-term plans.

- Human Relations Skills: The ability to communicate effectively, build relationships, motivate others, and work collaboratively.

- Technical Skills: The ability to apply specialized knowledge and expertise to perform specific tasks.

Applicability and Importance

- The hierarchical structure ensures that organizational goals are translated into actionable plans and implemented effectively.
- Each level contributes to the overall success of the organization by fulfilling its specific responsibilities.
- Effective communication and coordination between levels are crucial for smooth operations.
- Understanding the skills required at each level helps in developing effective leadership and management.

Considerations

- The specific names and responsibilities of each level may vary depending on the size and structure of the organization.
- Modern organizations are increasingly moving towards flatter structures, but the fundamental functions of each level remain relevant.
- Effective managers must possess a combination of skills and be able to adapt their approach to different situations.

The Management Pyramid

- Top level Managers
 - CEOs - Have the most power and take overall responsibility for the organization. Make long-range plans, establish major policies, and represent the company to the outside world.
- Middle level Managers
 - Develop plans for implementing the broad goals set by top managers, and coordinate the work of first-line managers. Are plant managers, division managers, branch managers, and other similar positions.
- First-line Managers
 - Oversee the work of operating employees, put into action the plans developed at higher levels. Include supervisor, department head, and office manager.

1.5 Significance and Importance of Management to The Business, Industry, Society & Economy

- Management Meets the Challenges of Changes
- Effective, efficient and profitable utilisation of the seven M's [i.e. Methods, Markets, men, materials, money, machines and management]
- Development of resources
- Management directs the organisation to achieve the desired goals
- Management integrates various interests

- Management provides stability
- Management provides innovation
- Management provides coordination and establishes team spirit
- Management tackles business problems
- Management is a tool of personality development
- History of business reveals the fact that, the complexity and sophistication of a business need professional management.

2.0 DISTINCTION BETWEEN MANAGEMENT AND ADMINISTRATION:

Administration is the function of industry concerned in the determination of corporate policy, the co-ordination of finance, production, and distribution, the settlement of the compass of the organization, and the ultimate control of the executive.

Management is the function in industry concerned in the execution of policy, within the limits set up by administration, and the employment of the organization for the particular objects set before it.

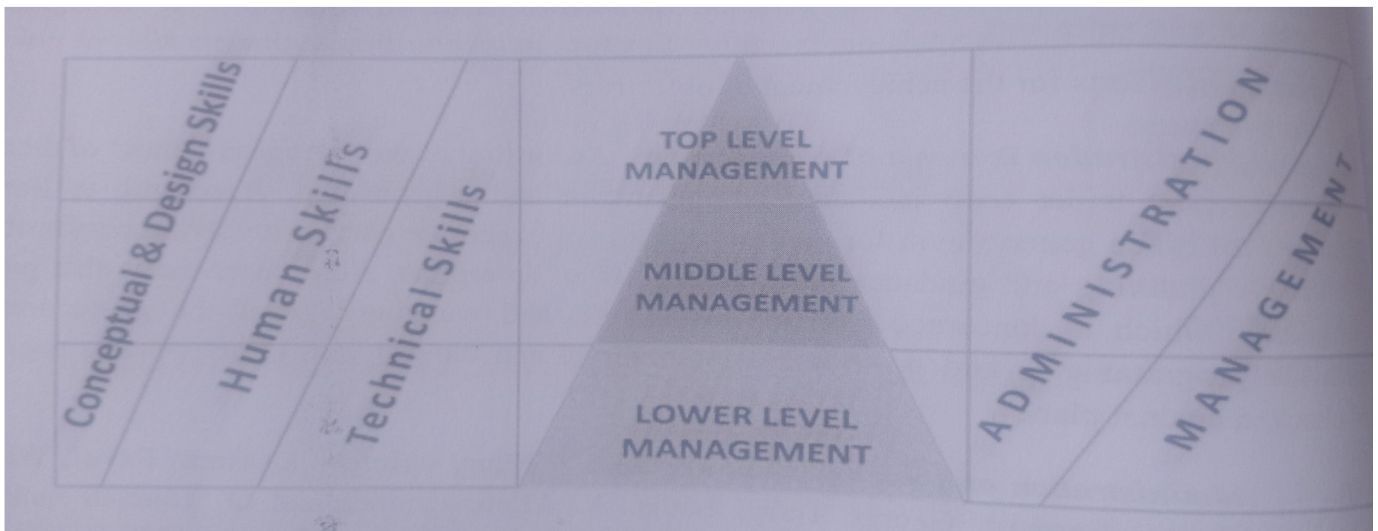
Although in our daily conversation we use the two terms interchangeably, they are actually different. "Administration" is concerned with laying down suitable policies for the whole concern whereas "Management" will simply execute these. There are three viewpoints to substantiate this as follows:-

- Administration is different from management: According to this view point, administration is a higher level activity while management is a lower level function. Administration is a determinative function concerned with the determination of objectives and policies while management is an executive function involving the implementation of policies and direction of efforts for the achievement of objectives.
- Administration is a part of management: According to the European School of thought, management is a wider term including administration and organisation. According to Breach, "Management is the generic term for the total process of executive control involving responsibility for effective planning and guidance of operations of an enterprise. Administration is that part of management which is concerned with the installation and carrying out of the procedures by which the programme is laid down and communicated and the progress of activities is regulated and checked against plans".
- Administration and management are one: Many writers like Henri Fayol, William Newman, Chester Barnard, George Terry, Louis. A. Allen, Koontz and O' Donnell make no distinction between management and administration. According to Newman, Management or administration is "the guidance, leadership and control of the efforts of a group of individuals towards some common goals". According to Fayol, all undertakings require the same functions and all must observe the same principles.

Basis	Management	Administration
Meaning	Management is an art of getting things done through others by directing their efforts	It is concerned with formulation of broad objectives, plans & policies.

Basis	Management	Administration
	towards achievement of pre-determined goals.	
Nature	Management is an executing function.	Administration is a decision-making function.
Process	Management decides who should do it & how should he do it.	Administration decides what is to be done & when it is to be done.
Function	Management is a doing function because managers get work done under their supervision.	Administration is a thinking function because plans & policies are determined under it.
Skills	Technical and Human skills	Conceptual and Human skills
Level	Middle & lower level function	Top level function
Applicability	It is applicable to business concerns i.e. profit-making organization.	It is applicable to non-business concerns i.e. clubs, schools, hospitals etc.
Influence	The management decisions are influenced by the values, opinions, beliefs & decisions of the managers.	The administration is influenced by public opinion, government policies, religious factors, customs etc.
Status	Management constitutes the employees of the organization who are paid remuneration (in the form of salaries & wages).	Administration represents owners of the enterprise who earn profits in the form of dividends.

Administration is a thinking function because plans & policies are determined under it.



ADMINISTRATORS ARE THE OWNERS OF THE BUSINESS. MANAGERS, ON THE OTHER HAND, ARE THE SALARIES EMPLOYEES OF THE CONCERN. THE BASIC DIFFERENCE BETWEEN ADMINISTRATION AND MANAGEMENT IS HIGHLIGHTED BY MEANS OF A POPULAR DIAGRAM WHICH IS GIVEN ABOVE.

3.0 Explain Management Theories and Theorist

The development of management thought dates back to the days when people first attempted to accomplish goals by working together. However, serious thinking and theorizing about managing

became increasingly significant during the period of industrial revolution in Western Europe in the 18th and 19th centuries.

3.1 EVOLUTION OF MANAGEMENT THEORY/THOUGHT

Evolution is an endless process that works from a start of more or less randomness towards increasing coherence, and that moves from shapelessness towards definiteness, from fumbling trial-and-errors to purposeful decision.

The evolution of management theories and principles can be traced back from the Sumerians in 5000 B.C. to sixteenth-century. There are historical antecedents for each of the functions of management and the need for making things happen; meeting the competition; organizing people, projects, and processes; and leading.

Despite these early examples of management ideas, there was no compelling need for managers until systematic changes in the nature of work and organizations occurred during the last two centuries.

As work shifted from families to factories, from skilled labourers to specialized, unskilled labourers, from small, self-organized groups to large factories employing thousands under one roof, and from unique, small batches of production to large standardized mass production, managers were needed to impose order and structure, to motivate and direct large groups of workers, and to plan and make decisions that optimized overall company performance by effectively coordinating the different parts of organizational systems.

3.2 Major Approaches to Management Theories

- 1) *Pre-classical approach*
- 2) *Classical or Empirical Approach*
 - a) *Scientific management*
 - b) *Administrative management*
 - c) *Bureaucratic management*
- 3) *Neo-classical management theories*
 - a) *Human Relations Approach*
 - b) *Behavioural*
- 4) *Modern management theories*
 - a) *Management Science or Quantitative Approach*
 - b) *Systems Approach*
 - c) *Contingency or Situational Approach*
 - d) *Total quality management*

3.2.1 Pre-Scientific/Classical Approach (Before 1880s)

The pre-classical management era, spanning from ancient civilizations through the early modern century, laid the groundwork for the more structured and scientific approaches that would emerge later. This period, preceding the formalization of scientific management observed in earlier eras, included contributions from various sectors, including churches, military organizations, and influential writers. It was a time of gradual development of management concepts, where practical

applications and philosophical insights shaped the emerging understanding of organizational efficiency and leadership.

Early Influences:

Before assessing the individual contributors, it's crucial to acknowledge the foundational influences from **ancient civilizations**, the Egyptian pyramids, and the administrative systems of the Roman Empire which demonstrated early forms of planning, control, and hierarchy. The medieval period saw the rise of structured organizations like the Catholic Church, which developed hierarchical systems and administrative procedures. Guilds also played a role in standardizing craft practices and regulating trade. These early examples highlighted the necessity of organized effort to achieve collective goals. The following are Key individual Contributors and their contributions:

i. Robert Owen (1771-1858): The Humanist Reformer

Robert Owen, a pioneering social reformer and utopian socialist of the early 19th century, fundamentally believed that **human character is shaped by the environment and the conditions in which people live and work**. This core belief led him to argue that workers would be naturally inclined to work diligently and productively if their needs were met and they found their work environment conducive to their well-being, rather than solely because of external pressure or coercion from management.

Interest in Management: Robert Owen's interest in management stemmed from his deep concern for the welfare of industrial workers. He believed that the harsh conditions prevalent in early factories were detrimental to both workers and productivity. He saw management as a tool to improve the overall environment and create a more humane workplace.

Here's a breakdown of how Owen's ideas support this perspective:

- **Emphasis on Humane Working Conditions:** Owen was a strong advocate for improving the lives of workers, particularly during the harsh realities of the Industrial Revolution. His New Lanark mills in Scotland, he implemented radical reforms such as:

- Reducing working hours.
- Improving factory sanitation and safety.
- Providing decent housing for workers and their families.
- Establishing schools for children, ensuring they didn't have to work at a young age.
- Opening a company store selling goods at fair prices.
- Prohibiting corporal punishment.

Beliefs: Owen fundamentally believed that workers were "vital machines" whose well-being was as important as that of the physical machinery they operated. He advocated for a holistic approach, recognizing that a worker's performance was influenced by their environment. He believed that investing solely in physical assets. He was ahead of his time in understanding that motivation and positive working conditions were crucial for productivity.

Contributions to Management Thought: Owen contributed significantly to the development of human relations in management. He implemented social reforms, including shorter working hours, improved housing, education for children, and provisions for canteens and rest periods. His emphasis on creating a positive work environment and his belief that workers should "want to

work" rather than "have to work" laid the groundwork for future human-centered management approaches.

ii. Varnum Poor: The Organizational Architect

-Interest in Management: Henry Varnum Poor's interest in management arose from his observation of the rapidly expanding American railroad system. He recognized the need for effective management to coordinate the complex operations of large-scale enterprises.

-Beliefs: Poor believed in the importance of clear organizational structures, defined responsibilities, and accountability. He advocated for a systematic approach to management, emphasizing the need for planning and control.

- Contributions to Management Thought: As editor of the "American Railroad Journal," Poor played a crucial role in shaping early management thought. He advocated for the development of managerial systems that could effectively manage large organizations. His insights were vital to the development of modern organizational structures.

iv. Henry R. Towne (1844-1924): The Advocate for a Management Science

-Interest in Management: Henry R. Towne was deeply interested in establishing management as a distinct field of study. He recognized the need for a systematic approach to management that could be applied across various industries.

- Beliefs: Towne believed that management should be considered a science, with principles and theories that could be developed and applied. He emphasized the importance of business skills in running an organization.

- Contributions to Management Thought: Towne's work was a catalyst for the formalization of management as a distinct discipline. He called for the establishment of a "science of management," advocating for the development of management principles that could be applied across various situations.

v. James Watt (1766-1819) and Mathew Robinson Boulton (1770-1842): The Practical Innovators

- Interest in Management: James Watt and Mathew Robinson Boulton were interested in applying effective management techniques to improve the operations of their engineering factory. They sought to optimize production processes and enhance efficiency.

- Beliefs: They believed in the importance of planning, standardization, and data analysis. They also recognized the value of employee welfare and executive development.

- Contributions to Management Thought: They implemented various management techniques, including market research and forecasting, standardization of components, production planning, and planned machine layout. They also implemented elaborate statistical records, cost accounting procedures, and employee welfare programs. Their systematic approach to factory management demonstrated the practical application of emerging management principles.

vi. Sun Tzu (500 BC): The Strategic Thinker

- Interest in Management: Sun Tzu's interest in management was focused on the strategic aspects of leadership and organization. Although his work primarily addressed military strategy, his principles apply to various organizational contexts.

- Beliefs: Sun Tzu believed in the importance of planning, understanding strengths and weaknesses, and adapting to changing circumstances. He emphasized the value of communication and hierarchy.

- Contributions to Management Thought: His work, "The Art of War," offered valuable insights into strategic thinking and organizational leadership. His principles remain relevant in modern management, particularly in the areas of strategic planning and competitive analysis.

vii. Adam Smith (1776): The Economic Visionary

Interest in Management: Adam Smith's interest in management was rooted in economic theories. He sought to understand how to increase productivity and efficiency in manufacturing.

Beliefs: Smith believed in the power of the division of labor and specialization. He argued that breaking down complex tasks into smaller, specialized processes could significantly boost output.

Contributions to Management Thought: In "The Wealth of Nations," Smith advocated for the division of labor and specialization, demonstrating how these principles could increase productivity. His economic theories had a profound impact on the development of industrial management.

viii. Niccolò Machiavelli (1513): The Pragmatic Leader

- Interest in Management: Niccolò Machiavelli's interest in management was focused on practical aspects of leadership and power. He sought to provide advice on how leaders could maintain control and achieve their objectives.

- Beliefs: Machiavelli believed that leaders should be pragmatic and willing to use whatever means necessary to maintain order and achieve their goals. He believed that people were motivated by self-interest and that leaders should use fear, but not hatred, to maintain control.

- Contributions to Management Thought: In "The Prince," Machiavelli offered insights into leadership and power, emphasizing the importance of pragmatism and strategic thinking. His work, while controversial, highlighted the complexities of leadership and the need for effective control.

Kautilya (c. 4th Century BC)

Interest in Management: Kautilya, also known as Chanakya, was deeply invested in the art and science of governance. His primary focus was on effective statecraft, which inherently involved managing resources, people, and processes on a grand scale. His work, although primarily focused on administration, emphasized the importance of rational decision-making, meticulous planning, and strong leadership. He advocated for a well-organized state with a strong central authority, efficient bureaucracy, and a robust system of checks and balances. He recognized the importance of economic stability and believed that a prosperous state required sound financial management and effective resource allocation.

Contributions to Management Thought: Governance and Administration: The Arthashastra provides detailed guidance on how to manage a state, including organization of government departments, the appointment of officials, and the implementation of policies. Kautilya addressed issues related to revenue collection, taxation, and economic development. He understood the need to manage resources efficiently to ensure the prosperity of the state. He emphasized the importance of organizing activities of officials and maintaining order. The Arthashastra provides insights into strategic planning, including military strategy, diplomacy, and the management of foreign relations.

He understood the need to anticipate future challenges and development of contingency plans.

Confucius (551-479 BC)

Interest in Management: Confucius's interest in management stemmed from his broader concern for social harmony and effective governance. He believed that a well-organized society required ethical leadership and a clear understanding of social roles and responsibilities. While not directly focused on business management, his teachings had a profound impact on the development of bureaucratic systems and organizational ethics in China.

Beliefs: Confucius emphasized the importance of ethical behavior, social harmony, and hierarchical order. He believed that individuals should fulfill their duties and responsibilities according to their social position. He advocated for a merit-based system of governance, where officials were selected based on their abilities and moral character. He stressed the importance of education and self-cultivation as means of developing ethical leaders.

Contributions to Management Thought: Confucius's teachings emphasized the importance of moral leadership and the role of leaders as role models. His emphasis on hierarchical order influenced the development of bureaucratic systems in China, providing a framework for organizing large organizations. Confucius's focus on social harmony has relevance to modern concepts of organizational culture and teamwork. He stressed the importance of fulfilling your role in society.

Luca Pacioli (c. 1447-1517)

Interest in Management: Pacioli's interest in management was primarily focused on financial management. As a mathematician and friar, he recognized the importance of accurate record-keeping and financial control for the effective management of businesses and organizations. His work directly influenced how businesses kept track of their finances.

Beliefs: Pacioli believed in the importance of systematic accounting practices for ensuring financial transparency and accountability. He advocated for the use of double-entry bookkeeping as a means of providing a comprehensive and accurate record of financial transactions.

Contributions to Management Thought: Double-Entry Bookkeeping: Pacioli's work on double-entry bookkeeping revolutionized financial management, providing a foundation for modern accounting practices. His contributions enhanced the ability of businesses and organizations to monitor their financial performance and make informed decisions. Pacioli's work contributed to the standardization of accounting practices, facilitating the comparison of financial information across different organizations.

Ibn Khaldun (1332-1406)

Interest in Management: Ibn Khaldun's interest in management was rooted in his broader study of social organization and the rise and fall of civilizations. He sought to understand the factors that contributed to the success and decline of societies, including the role of leadership and governance. His work is very applicable to the management of large organizations.

Beliefs: Ibn Khaldun believed that social organization was shaped by a combination of economic, political, and cultural factors. He emphasized the importance of social cohesion and strong leadership in maintaining stability and prosperity. He recognized the cyclical nature of civilizations, arguing that societies tend to rise and fall based on their ability to adapt to changing circumstances.

Contributions to Management Thought: Ibn Khaldun's *Muqaddimah* provides insights into the dynamics of social organization, including the role of leadership, governance, and social cohesion.

He explored the qualities of effective leaders and the challenges of maintaining authority. His analysis of rise and fall of civilizations has relevance modern concepts of organizational change and adaptation. He called this “asabiyyah” and it is very important for a groups success.

Overall Developments

The pre-classical era was characterized by a gradual evolution of management thought, driven by practical needs and emerging industrial practices. The contributions of individuals like Adam Smith laid the foundation for the more systematic approaches that would define the classical management era. This period highlighted the importance of human relations, efficiency, planning, and leadership, shaping the future of management as a discipline.

The key features of the pre-classical management era that distinguish it from other approaches include:

- Lack of Formal Theories: There were no established management theories or frameworks to guide practices. Instead, management relied on tradition and experience rather than systematic study.
- Small and Simple Organizations: Most organizations were small, often consisting of family-run businesses or guilds, which limited complexity in management structures.
- Focus on Division of Labor: Emphasis was placed on dividing tasks among craftsmen and artisans, leading to specialization but without formal management oversight.
- Informal Structures: Management practices were informal, relying heavily on personal relationships and direct supervision rather than structured hierarchies.
- Emphasis on Craftsmanship: The era valued skilled craftsmanship over efficiency and productivity metrics, with workers often taking pride in their individual skills.
- Limited Use of Technology: Technological advancements were minimal, and most work was done manually without the aid of modern machinery or processes.
- Absence of Scientific Methods: Decision-making was largely intuitive and based on personal judgment rather than data-driven analysis or scientific methods.
- Guild Systems as Organizational Models: The guild system served as a primary organizational model, regulating production and trade among craftsmen without formal management roles.

3.2.2 The Classical or Empirical Approach

By 1890, previous management methods were no longer applicable in mass production industries. No longer could managers make on-the-spot decisions and maintain records in their corporations had become large scale, with wide national markets. Communication and transportation had expanded and stimulated great industrial growth. Technological innovation contributed to industrial growth: The invention of the internal combustion engine and the electricity as a power source greatly increased industrial development.

However, despite what seemed to be an ideal climate for prosperity and productivity, wages were low. Production methods were crude, and worker training was almost non-existent. There were no methods or standards for measuring work. Work had not been studied to determine the most desirable way to complete a task. The psychological and physical aspects of a job such as boredom, repetitiveness, and fatigue were not studied or even considered in the design of most jobs. All these

factors necessitated the need for new proper methods of managing complex production environment hence emergence of classical management approach. The three approaches which falls under the classical perspective/approach are:-

- *Scientific Management,*
- *Administrative Management and*
- *Bureaucratic Management,*

1. Scientific Management,

Scientific management, also known as Taylorism, is a management approach developed by Frederick Winslow Taylor in the late 19th and early 20th centuries. It aimed to improve productivity and efficiency in industrial settings by applying scientific methods to analyze and optimize work processes. Taylor's scientific management principles revolutionized manufacturing and laid the foundation for modern management practices. Here's an overview of scientific management, its main contributors, principles, and techniques:

Scientific Management Approach:

- *Definition:*Scientific management involves the systematic analysis of work processes to identify the most efficient methods and standardize them for maximum productivity. It emphasizes the use of scientific principles, data-driven decision-making, and employee training to achieve organizational objectives.

Main Contributors to Scientific Management:

Frederick Winslow Taylor (1856-1915): Background and History

- Born in Philadelphia, USA.
 - Initially trained as a machinist.
- He worked at various steel companies, where he lost many engineering skills from work to foreman and then to chief engineer.
- His experiences at Midvale Steel were crucial in shaping his management theories.

Taylor's Observations and Challenges

- Observed:
 - Widespread inefficiency in industrial settings.
 - Workers used their methods ("rule of thumb"), leading to variations in output and quality.
 - "Soldiering" - workers deliberately working slowly to avoid having production quotas increased.
 - Lack of clear division of responsibility between management and workers.
- Challenges:
 - How to improve productivity and efficiency?
 - How to eliminate waste and inefficiency?

- How to harmonize the relationship between management and labor?

Management Practices Before Taylor

- Rule of Thumb: Decisions were based on tradition, intuition, and the manager's personal judgment, rather than on systematic analysis.
- Lack of Standardization: Work methods, tools, and processes varied widely, leading to inconsistency.
- Minimal Training: Workers were often left to learn jobs on their own, resulting in inefficiency and errors.
- > Adversarial Relationships: Management and workers often had conflicting interests, leading to distrust and low morale.

Taylor's Original Four Principles of Scientific Management (1911), Taylor outlined four principles in his seminal work, "The Principles of Scientific Management":

1. Develop a Science for Each Element of a Man's Work

Description:

- Replace rule-of-thumb methods with a scientific approach.
- Analyze and break down each job into its smallest, distinct tasks or elements.
- Determine the most efficient way to perform each element through observation, measurement, and experimentation.
- This "one best way" aims to optimize the process and eliminate wasted effort.

Reason:

- To replace arbitrary and inefficient methods with systematic and optimized procedures.
- To identify the most effective sequence of motions and actions for each task.
- To establish clear standards for task performance.

2. Problem to be Solved:

- Inconsistency and inefficiency caused by reliance on traditional, unexamined work methods.
- Lack of knowledge about the most effective way to perform tasks.
- Variations in output and quality due to differing work methods.

3. Scientifically Select and Then Train, Teach, and Develop the Workman

Description:

- Instead of passively accepting any worker, select employees based on their capabilities and potential to perform a specific job.
- Match workers to tasks for which they are best suited.
- Provide training and development to ensure workers are proficient in the "one best way" of performing their tasks.

- Continuously support worker development to maximize their efficiency and potential.

Reason:

- To ensure that workers have the right skills and abilities for their assigned tasks.
- To maximize worker productivity by placing them in roles that suit them.
- To reduce errors and improve quality through proper training.
- To foster a more skilled and motivated workforce.

Problem to be Solved:

- Misplacement of workers in jobs they are not suited for.
- Lack of worker skills and knowledge, leading to inefficiency.
- Inadequate training, resulting in poor performance and errors.
- High turnover due to worker frustration and lack of development.

4. Accurately Cooperate with the Principles of the Science All of the Work Being Done in

Description:

- Emphasize collaboration between management and workers.
- Management's role is to plan the work and provide clear instructions, while workers execute the tasks according to the scientific methods.
- Foster a spirit of mutual understanding and shared objectives.
- Eliminate the "us versus them" mentality.

Reason:

- To create a harmonious and productive work environment.
- To ensure that workers understand and accept the new scientific methods.
- To facilitate the implementation of scientific management principles.
- To improve communication and coordination between management and labor.

Problem to be Solved:

- Conflict and distrust between management and workers.
- Worker resistance to change and new methods.
- Lack of communication and coordination leading to inefficiency.
- Low morale and lack of commitment.

4. There is an Almost Equal Division of the Work and the Responsibility Between the Management and the Workmen

Description:

- Clearly define the roles and responsibilities of both management and workers.
- Management takes responsibility for planning, organizing, and directing the work.
- Workers are responsible for executing the tasks efficiently and effectively.
- This principle emphasizes interdependence and shared accountability.

Reason:

- To leverage the expertise of both management and workers.
- To ensure that work is planned and executed effectively.
- To promote specialization and efficiency.
- To create a system of shared accountability.

Problem to be Solved:

- Lack of clarity in roles and responsibilities.
- Management is overburdened with operational details.
- Workers lack resources and support to do their jobs effectively.
- Lack of accountability, leading to poor performance.

Summary of Taylor's Principles

- Taylor's scientific management sought to move away from traditional, Experience-based management to a more rational, science-based system.
- He emphasized the importance of analyzing and optimizing work processes, selecting and training workers, fostering cooperation, and establishing a clear division of labor.
- The goal was to increase efficiency, productivity, and profitability, while also improving worker wages.

Relevance and Criticism of Taylor's Principles

Relevance

- Many of Taylor's ideas are still relevant in modern management practices, including:
 - Process analysis and optimization.
 - Job design and specialization.
 - Performance standards and measurement.
- Training and development.
 - Lean manufacturing, Six Sigma, and other modern management methodologies draw on Taylor's concepts.

Criticism

- Taylor's approach has been criticized for:

- Dehumanizing work by treating workers like machines.
- Ignoring the social and psychological needs of workers.
- Leading to repetitive and monotonous jobs.
- Increasing the power of management at the expense of workers.
- Being more applicable to simple, repetitive tasks than to complex, knowledge-based work.

Frank B. Gilbreth:

- *Contribution:* Along with his wife Lillian M. Gilbreth, Frank B. Gilbreth pioneered motion studies to identify unnecessary movements and streamline work processes. They developed techniques such as time-and-motion studies and motion efficiency principles to optimize worker performance and reduce fatigue.

- Lillian M. Gilbreth:

- *Contribution:* Lillian Gilbreth made significant contributions to scientific management, particularly in the areas of human factors and workplace ergonomics. She focused on improving working conditions, reducing worker fatigue, and enhancing employee morale through better workplace design and management practices.

- Henry L. Gantt:

- *Contribution:* Henry Gantt developed the Gantt chart, a visual scheduling tool used to plan and track project tasks over time. Gantt charts became widely adopted in scientific management for scheduling production activities, coordinating resources, and monitoring progress.

Techniques of Scientific Management

Based on Taylor's Four Principles of Scientific Management, several techniques were developed to put these principles into action. Here are some of the key techniques:

1. Work Study

- *Description:* A systematic examination of the methods of carrying out activities to improve the effective use of resources and to set up standards of performance. It involves:

- *Method Study:* Analyzing the way a job is done to find the best possible sequence of operations and improve efficiency.
- *Motion Study:* Observing the movements of workers to identify and eliminate unnecessary or inefficient motions.
- *Time Study:* Measuring the time taken to complete each part of a task to set standard times for task completion.
- *Fatigue Study:* Determining the causes and effects of fatigue on worker performance and identifying optimal rest periods.
- *Purpose:* To increase productivity and reduce waste by optimizing work processes, minimizing unnecessary movements, setting efficient work schedules, and managing worker fatigue.

2. Standardization and Simplification of Work:

- *Description:*

- **Standardization:** Establishing standards for every part of the work process, including materials, tools, methods, and working conditions.

- **Simplification:** Reducing the variety of products, processes, and tasks to eliminate unnecessary complexity and waste.

- **Purpose:** To improve efficiency, reduce costs, enhance quality, and streamline operations by ensuring uniformity and eliminating unnecessary variations.

3. Scientific Selection, Training, and Development:

- *Description:*

- **Scientific Selection:** Choosing workers based on a thorough analysis of the job requirements and the applicants' skills, abilities, and potential.

- **Training and Development:** Providing workers with the necessary skills and knowledge to perform their jobs efficiently and effectively, and continuously improving their capabilities.

- **Purpose:** To ensure that the right people are placed in the right jobs, to maximize worker potential, improve performance, and foster a culture of continuous improvement.

4. Functional Foremanship:

- **Description:** Dividing management responsibilities so that workers have multiple specialized supervisors, each responsible for a specific function. Taylor proposed eight functional foremen:

Planning Department:

- **Route Clerk:** Determines the sequence of operations.
- **Instruction Card Clerk:** Provides written instructions for each job.
- **Time and Cost Clerk:** Records time and costs.
- **Disciplinarian:** Ensures rules and order are maintained.

Production Department:

- **Speed Boss:** Ensures machines are running at optimal speed.
- **Gang Boss:** Organizes and supervises the work crew.
- **Repair Boss:** Ensures machines are kept in working condition.

- Inspector: Checks the quality of work.

- *Purpose:* To improve supervision and efficiency by utilizing specialized knowledge and skills, ensuring that workers receive expert guidance and support for each aspect of their work.

5. Differential Piece-Rate System:

- *Description:* A wage system that pays workers based on their output, with higher rates for those who exceed the standard output and lower rates for those who fall below.

- *Purpose:* To motivate workers to increase productivity by rewarding efficiency and penalizing inefficiency, thereby increasing overall output.

6. Mental Revolution:

- *Description:* A fundamental change in attitudes and mindset of both management and workers.

- Management should focus on cooperation with workers rather than conflict.

- Workers should focus on increasing productivity rather than restricting output.

- *Purpose:* To create a harmonious and collaborative work environment, aligning interests of management and workers towards achieving organizational goals.

B) Henry Gantt (1861-1919)

> An American mechanical engineer and management consultant.

> Worked with Frederick Winslow Taylor, a key figure in scientific management.

> Made significant contributions to project management and worker motivation.

He was another advocate of scientific management who followed in Taylor's footsteps.

Gantt is best known for the *GANTT CHART*, but he also made significant contributions to management with respect to pay-for-performance plans and the training and development of planning information they provided to managers.

Key Contributions

1. Gantt Chart

- A horizontal bar chart used for project scheduling and control.

- Tasks are listed on the vertical axis, and the project timeline is on the horizontal axis.

- Bars represent the duration of each task.

Purpose and Benefits

- Visualizes project schedules, making it easier to understand project timelines.

- Helps in planning and sequencing tasks.

- Facilitates monitoring project progress.
- Identifies task dependencies and potential bottlenecks.
- Improves communication and coordination among project stakeholders.

2. Task and Bonus System

- A wage incentive system.
- Workers receive a guaranteed daily wage.
- Workers earn a bonus for completing their assigned task within the standard time or faster.

Comparison to Taylor's Differential Piece-Rate System

- Gantt's system is considered more worker-friendly.
- It provides a safety net (guaranteed wage) for workers who don't meet the standard.
- It emphasizes cooperation between workers and management.

3. Emphasis on Worker Welfare

- Gantt stressed the importance of considering the human side of production.
- He believed that management should focus on training and developing workers.
- He advocated for a more humane approach to management than some of his contemporaries.

4. Social Responsibility of Business

- Gantt argued that businesses have a responsibility to contribute to the well-being of society.
- He believed that businesses should not only pursue profit but also consider their impact on society.

C) Frank Gilbreth (1868-1924)

Gilbreth started as an apprentice bricklayer and later managed his own business. He became very interested in the "best way" of doing a job. This involved doing the job in the most comfortable position, in the fewest motions.

He emphasized that, in applying scientific management principles; one should look at workers first and understand their personal needs. Gilbreth's focused on handicapped as well as normal workers.

D) Lillian Gilbreth

Lillian, who was concerned with the human side of work, was one of the first contributors to industrial psychology, originating ways to improve office communication, incentive programs, job satisfaction, and management training. Her work also convinced the government to enact laws regarding workplace safety, ergonomics, and child labour.

Frank and Lillian Gilbreth (1868-1924 and 1878-1972 respectively)

- They did studies aimed at eliminating unnecessary motions and way of reducing task fatigue. In their conception, motion and fatigue were intertwined—every motion that was eliminated reduced fatigue.
- Together they provided the first vocabulary for identifying hand, arm, and body motions used at work—which they called "Therbligs."

- Focused on ways of promoting the individual worker's welfare.

E) Harrington Emerson (1853-1931)

Emerson wrote two important books on the subject of efficiency and emphasized the importance of correct organization to achieve higher productivity. He advocated the now popular 'line and staff' organization and set out his 'principles of efficiency' which are:-

- i. *Discipline*: Managers should set up the organisation so that employees can obey the rules.
- ii. *A fair deal*: Managers must seek out justice and fairness.
- iii. *Dispatching*: Manager should use scientific planning of each function so that the organization functions smoothly and achieve its goals.
- iv. *Common sense*: Managers must develop the ability to differentiate the woods from the trees. They should seek knowledge and advice wherever possible.
- v. *Competent counsel*: Managers should actively seek advice from knowledgeable others.
- vi. *A clearly defined ideal*: Managers must know what they want to accomplish and they must eliminate vagueness and uncertainty.
- vii. *Efficiency-reward*: Managers should reward employees for tasks successfully completed.
- viii. *Standards and schedules*: Managers must develop methods for performing their tasks and establish a time to perform each one.
- ix. *Written standard practice instructions*: Managers must maintain a uniformity of method.
- x. *Standardized conditions*: Managers should maintain a uniformity of environment.
- xi. *Standardized operations*: Managers must maintain a uniformity of method.
- xii. *Reliable, immediate, adequate and permanent records*: Managers should have the facts available to make decisions.

Criticisms of Scientific Management:

1. Unbalanced Approach: Scientific Management focuses much attention only on the problem of production management.
2. Mechanical Approach: i.e. workers are more or less "automated" and are expected to work similar to machines.
3. Pessimistic Assumption about human nature: It considers that humans basically lack ambition, are not hardworking and are lazy, do not like to take responsibility etc. Taylor stressed upon close supervision and tight control over workers.
4. Exploitation of Worker: The workers were exploited by not allowing them to share in the high productivity.
5. Problem of Monotony: Over-specialization under scientific management leads to monotony, since the worker is supposed to perform the same job repeatedly; hence, the work becomes dull and monotonous, which will lead to reduced efficiency.
6. Loss due to re-organization: Introduction of scientific mgt. requires a virtual re-organization of the whole industrial structure and because of the suspended work, there could be loss of production.
7. That workers were not allowed to express any individuality in their work.
8. This approach gave greater power to management and reduced workers to automatons.
9. Classical approach has been criticized on several other counts such as to be

- To formal,
- It is more appropriate for stable and simple organization than for today's dynamic and complex organizations.
- It often prescribed the universal procedures that are not appropriate in some setting.

2. Administrative Management

While the Scientific Management was focused primarily on the technical core; that is, the work performed on the shop floor by the frontline workers the Administrative Management focuses on managers and the functions they perform.

The Administrative Management approach examines an organization from the perspective of the managers and executives responsible for coordinating the activities of -diverse groups and units across the entire organization. It views management as a profession that can be learned by understanding basic principles and developed Emphasized the broad policy aspects of top-level managers.

A. Henry Fayol (1841-1925)

Fayol published his famous book *"Administration Industrielle et Generale"* in 1916 which was published in English in 1949 under the title 'General and Industrial Management' Fayol's contribution to the management movement can be analysed as follows:-

Classification of Business Activities.

According to Fayol, all activities of a business enterprise could be divided into six categories namely:-

- 1) *Technical* (manufacturing or production);
- 2) *Commercial* (buying, selling and exchange);
- 3) *Financial* (search for and optimum use of capital);
- 4) *Security* (protection of property and persons);
- 5) *Accounting* (including statistics); and
- 6) *Managerial*. (Coordination, control, organization, planning and command of people).

FUNCTIONS OF MANAGEMENT

MANAGEMENT PRINCIPLES

FAYOL IDENTIFIED THE FOLLOWING 14 PRINCIPLES OF MANAGEMENT:-

1. Division of Work

In practice, employees are specialized in different areas and they have different skills. Different levels of expertise can be distinguished within the knowledge areas (from generalist to specialist).

Personal and professional developments support this. According to Henri Fayol specialization promotes efficiency of the workforce and increases productivity. In addition, the specialization of the workforce increases their accuracy and speed. This management principle of the 14 principles of management is applicable to both technical and managerial activities.

2. Authority and Responsibility

In order to get things done in an organization, management has the authority to give orders to the employees. Ofcourse, with this authority comes responsibility. According to Henri Fayol, the accompanying power or authority gives the management the right to give orders to the subordinates.

The responsibility can be traced back from performance and it is therefore necessary to make agreements about this. In other words, authority and responsibility go together and they are two sides of the same coin.

3. Discipline

This third principle of the 14 principles of management is about obedience. It is often a part of the core values of a mission statement and vision in the form of good conduct and respectful interactions.

This management principle is essential and is seen as the oil to make the engine of an organization run smoothly.

4. Unity of Command

The management principle 'Unity of command' means that an individual employee should receive orders from one manager and that the employee is answerable to that manager.

If tasks and related responsibilities are given to the employee by more than one manager, this may lead to confusion which may lead to possible conflicts for employees. By using this principle, the responsibility for mistakes can be established more easily.

5. Unity of Direction

This management principle of the 14 principles of management is all about focus and unity. All employees deliver the same activities that can be linked to the same objectives. All activities must be carried out by one group that forms a team. These activities must be described in a plan of action. The manager is ultimately responsible for this plan and he monitors the progress of the defined and planned activities. Focus areas are the efforts made by the employees and coordination.

6. Subordination of Individual Interest

There are always all kinds of interests in an organization. In order to have an organization function well, Henri Fayol indicated that personal interests are subordinate to the interests of the organization (ethics). The primary focus is on the organizational objectives and not on those of the individual. This applies to all levels of the entire organization, including the managers.

In this Case, Managers and any individual in Organizations must be carefully with matters related to conflict of interests, which may include but not limited to the following as a way of avoiding ethical dilemma while executing their responsibility;

- Conduct transactions in which they have a personal interest: Conflict of interest may arise when an individual engages in business transactions on behalf of the company, in which they have a personal financial interest, potentially leading to biased decision-making that prioritizes personal gain over the best interests of the organization.
- Accept a position in a competing company/Organization: Conflict of interest can arise when an employee holds a position in a competing company or organization while still employed

by their current organization, potentially leading to a breach of loyalty and disclosure of confidential information.

- **Enter into contractual relations with a competing company/Organization:**
Conflict of interest may arise when an individual enters into contracts or agreements with a competing company or organization, creating a conflict between their duties to their current employer and their personal or financial interests.
- **Use the company's assets, facilities for personal use:**
Conflict of interest can occur when an employee uses the company's assets, resources, or facilities for personal use without proper authorization, potentially leading to misuse of company resources for personal gain.
- **Use information, business opportunities received in their official capacity for personal gain:**
Conflict of interest may arise when an individual uses confidential information or business opportunities obtained in their official capacity for personal gain, potentially violating confidentiality agreements and breaching trust with the organization.
- **Accept gifts:**
Conflict of interest can arise when an employee accepts gifts, favors, or other forms of benefits from third parties that may influence their decision-making or compromise their objectivity in carrying out their duties, potentially leading to conflicts between personal interests and the best interests of the organization.

7. Remuneration

Motivation and productivity are close to one another as far as the smooth running of an organization is concerned. This management principle of the 14 principles of management argues that the remuneration should be sufficient to keep employees motivated and productive. There are two types of remuneration namely non-monetary (a compliment, more responsibilities, credits) and monetary (compensation, bonus or other financial compensation). Ultimately, it is about rewarding the efforts that have been made.

8. The Degree of Centralization

Management and authority for decision-making process must be properly balanced in an organization. This depends on the volume and size of an organization including its hierarchy.

Centralization implies the concentration of decision-making authority at the top management (executive board). Sharing of authorities for the decision-making process with lower levels (middle and lower management), is referred to as decentralization by Henri Fayol. Henri Fayol indicated that an organization should strive for a good balance in this.

9. Scalar Chain

Hierarchy presents itself in any given organization. This varies from senior management (executive board) to the lowest levels in the organization. Henri Fayol's "hierarchy" management principle states that there should be a clear line in the area of authority (from top to bottom and all managers at all levels).

10. Order

According to this principle of the 14 principles of management, employees in an organization must have the right resources at their disposal so that they can function properly in an organization. In addition to social order (responsibility of the managers) the work environment must be safe, clean and tidy.

11. Equity

The management principle of equity often occurs in the core values of an organization. According to Henri Fayol, employees must be treated kindly and equally. Employees must be in the right place in the organization to do things right. Managers should supervise and monitor this process and they should treat employees fairly and impartially.

12. Stability of Tenure of Personnel

This management principle of the 14 principles of management represents deployment and managing of personnel and this should be in balance with the service that is provided from the organization. Management strives to minimize employee turnover and to have the right staff in the right place. Focus areas such as frequent change of position and sufficient development must be managed well.

13. Initiative

Henri Fayol argued that with this management principle employees should be allowed to express new ideas. This encourages interest and involvement and creates added value for the company. Employee initiatives are a source of strength for the organization according to Henri Fayol. This encourages the employees to be involved and interested.

14. Esprit de Corps

The management principle 'esprit de corps' of the 14 principles of management stands for striving for the involvement and unity of the employees. Managers are responsible for the development of morale in the workplace; individually and in the area of communication. Esprit de corps contributes to the development of the culture and creates an atmosphere of mutual trust and understanding.

Criticisms of Fayol's 14 Principles of Management

Fayol's principles of management have been criticized on several counts:

- His theory is too formal
- He did not pay adequate attention to workers
- There is a vagueness and superficiality about some of his terms and definitions
- He hinted but did not elaborate that management can and should be taught

3. Bureaucratic Management

Bureaucratic Management is the management approach that examines the entire organization as a rational entity, using impersonal rules and procedures for decision making. This approach emphasizes the need for organizations to operate in a rational manner rather than relying on the arbitrary whims of owners and managers.

Meanings of Bureaucracy according to Max Weber, bureaucracy refers to a specific set of structural arrangements with the following features:

- Bureaucrats are free as individuals, but not as employees.
- Hierarchy.
- Clearly specified functions.
- Freedom of hiring.
- Appointment by merit.
- Due compensation and due process.
- Sole occupation.
- Advancement by merit or seniority.
- Non-proprietary rights in position.
- Strict controls.

The pioneers of bureaucratic approach are:

A) Max Weber (1864-1920)

Weber is a German sociologist who introduced the concept of bureaucratic management as an "ideal" model. According to him, the ideal bureaucracy should use impersonal rules and procedures for decision making rather than custom, family connections, or social class. He suggested that a well-defined hierarchy with clearly delineated reporting relationships was an effective way to maintain accountability.

Key Characteristics of Weber's Ideal Bureaucracy

i. Specialization of labour

Jobs are broken down into routine, well-defined tasks so that members know what is expected of them and can become extremely competent at their particular subset of tasks.

ii. Formal rules and procedures.

Written rules and procedures specifying the behaviors desired from members facilitate coordination and ensure uniformity.

iii. Impersonality

Rules, procedures, and sanctions are applied uniformly regardless of individual personality and personal considerations.

iv. Well-defined hierarchy

Multiple levels of positions, with carefully determined reporting relationships among the members, provide supervision of lower offices by higher ones, a means of handling exceptions, and an ability to establish accountability of actions.

v. Career advancement based on merit.

Selection and promotion are based on the qualifications and performance of members.

vi. Centralization of authority;

For bureaucracy to operate efficiently there should be centralization.

Max Weber three types of legitimate authority namely:

- Charismatic authority
- Traditional authority
- Rational-legal authority

Advantages of bureaucracy

- A high degree of technical superiority over any other form of organization
- There is the rational interpretation of laws and regulations
- Promoting effective discipline
- Routine procedures are well defined and controlled
- Promotes the development of specialized fields of activity
- Enables decisions to be taken at appropriate functional areas. Only difficult decisions are referred upwards.
- Facilitates the effective control of large numbers of people (usually divided into small groups according to division of tasks)

Disadvantages of bureaucracy

- Red tape and delays
- Lack of creativity and innovation
- It develops conformity and groupthink
- It does not take into account an informal organization
- Organizational inflexibility and rigidity due to rules and procedures.
- Neglects the social and human processes within the organization.
- Belief in “one best way” to design an organization does not apply to all organizations and their environments.

Uses/importance of the Classical Approach

The classical approach offers a convenient framework for the education and training of managers.

- First, the observational method of case study is helpful in drawing common principles out of past experiences with some relevance for future application.
- The second use of this approach is that it focuses attention on what managers actually do.

- Thirdly, this approach highlights the universal nature of management.
- Fourthly, it provides a scientific basis for management practice.

Limitations of Classical Approach

- It makes little contribution to the development of management as a discipline because its generalizations are based on past experiences.
- It offers a mechanistic framework that overlooks the overwhelming role of the human factor in management. It is based on the concept of rational economic man.
- There is a positive danger in relying too much on past experiences because a principle or technique that has proved effective in the past may not fit a situation of the future.
- It places much emphasis on formal organization structure while paying no attention to the informal structure or its influence on organizational performance.
- Management principles lead to the development of a pyramidal organization structure which creates different categories and classes of people within the same process.
- The classical approach advocated universality of management concepts and principles while ignoring the fact that situations in which the application of the principles takes place differ from one place to another.
- It concentrated on the concept of a rational economic man while ignoring the social and psychological man.

3.2.3 Human Relations Approach / Behavioural

The Human perspective under the supervision of Elton Mayo traces its roots to the “Hawthorne studies” (A series of experiments conducted in 1927-32 at the Hawthorne plant of Western Electric in Cicero, Illinois) where Harvard Business School professor Elton Mayo examined productivity and work conditions. The aim was to study the effects of physical working conditions on employee productivity and fatigue. Human Relations aimed to understand how psychological and social processes interact with the work situation to influence performance.

George Elton Mayo is considered to be the founder of this school. The human relations (neo-classists) conducted some experiments to investigate informal groupings, informal relationships, patterns of communication, patterns of industrial leadership, etc. of industry. In light of these experiments, they emphasized the importance of human and social factors in industry. The Hawthorne experiments may be classified into four stages:

- i. Illumination experiments
- ii. Relay assembly test room experiments
- iii. Mass interviewing program
- iv. Bank wiring observation room study

The Hawthorne Studies

The Hawthorne Studies, conducted at Western Electric's Hawthorne plant in Cicero, Illinois, during the 1920s and early 1930s, were a series of experiments that had a profound impact on the development of organizational behavior and management theory. Here's a breakdown of each of the four main experiments:

I. Illumination Experiments

Aim:

To determine the effect of lighting levels on worker productivity.

Method:

Researchers manipulated the intensity of light in different work areas.

Procedure/Process:

- Two groups of workers were selected: an experimental group and a control group.
- The experimental group was subjected to varying levels of illumination.
- The control group worked under constant lighting conditions.
- Productivity (output) was measured for both groups.

Findings:

- Productivity increased in both the experimental and control groups, regardless of changes in illumination.
- In some cases, productivity continued to increase even when lighting levels were reduced to very low levels.

Suggestions/Conclusions:

- The study concluded that there was no simple relationship between lighting and productivity.
- Something else, other than the physical working conditions, was affecting productivity. It was suggested that worker attitudes were responsible.

II. Relay Assembly Test Room Experiments

Aim:

To examine the effects of changes in various working conditions on worker productivity.

Method:

Researchers manipulated several variables in a controlled setting.

Procedure/Process:

- A small group of women who assembled telephone relays was selected.
- They were placed in a separate test room.
- Various changes were introduced over time, including: changes in work hours, rest breaks (duration and frequency), meal provisions, wage incentives.

Findings:

- Productivity was measured throughout the study.
- Productivity tended to increase with each change, including some changes that were expected to decrease productivity.
- Even when the original conditions were reinstated, productivity remained high.

Suggestions/Conclusions:

- The research concluded that the increased productivity was not primarily due to the changes in physical working conditions.
- Factors such as increased attention from supervisors, the formation of a cohesive workgroup, and a sense of importance contributed to the improved performance.

III. Mass Interviewing Program

Aim:

To gather information about workers' attitudes, feelings, and experiences.

Method:

A large-scale interviewing program was implemented.

Procedure/Process:

- Thousands of employees were interviewed over several years.
- The interviews were initially structured but later became more unstructured to allow workers to speak freely.
- Interviewers listened to and recorded workers' responses about their jobs, working conditions, supervisors, and the company.

Findings:

- Workers' concerns were often related to social and psychological factors, such as feelings of being valued, relationships with supervisors, group dynamics, and communication.
- Workers wanted to talk about their feelings.

Suggestions/Conclusions:

- The program highlighted the importance of communication between workers and managers.
- It revealed that workers are not solely motivated by economic factors and that their social needs play a significant role in their well-being and productivity.

IV. Bank Wiring Observation Room Experiment

Aim:

To study the social dynamics and informal workgroup behavior.

Method:

Researchers observed a group of workers in their natural work setting.

Procedure/Process:

- A group of men who wired telephone switchboards was observed in a separate room.
- Observers did not manipulate any variables but simply recorded the workers' behavior, interactions, and output.

Findings:

- The workers developed their own informal norms and social structure.
- The group had its own standards for what constituted a fair day's work, and members enforced these norms through social pressure.
- Individual output was restricted by the group, regardless of financial incentives.
- The group displayed behaviors such as systematic slowdown of work, informal leadership, and use of sanctions to enforce group norms.

Suggestions/Conclusions:

- The study demonstrated the power of social groups in influencing individual behavior and productivity.
- Informal workgroup norms can be more influential than formal organizational rules or financial incentives.
- Managers need to understand and work with these informal groups to promote productivity.

The study findings suggest that:

- Group influences significantly affect individual behaviour.
- Group standards establish individual worker output.
- Money is less a factor in determining output than are group standards, group sentiments, and security.
- The influence of the work group may be as significant as that of the supervisor.
- Supervisors need the support of group members in establishing performance norms that converge with the work expectations of management.
- Cooperative attitudes between employees and management would result in a more productive organization.
- The study emphasized employee motivation and leadership style.
- Informal groups within an organization create a strong social control over the work habits.

Employee Motivation by Abraham Maslow (1908-1970)

Maslow, a clinical psychologist, developed a theory of motivation based on a hierarchy of needs, and assumed that unsatisfied human needs motivate behaviour. The most basic needs are:

1. The physiological needs (food, clothing, and shelter). According to Maslow, once a basic need is satisfied, a higher-level need takes its place.

2. The needs for security (protection, stability, regularity, job security and working conditions).
3. Social relations (good relationships with co-workers and managers).
4. Self-esteem needs (having one's accomplishments recognized, prestige, position, and success).
5. Self-actualization (experiencing personal growth and job challenge including responsibility, personal development, making the most of one's abilities). Self-actualization is the highest-level need and may never be totally satisfied, since personal growth is an open-ended process.

The hierarchy of needs model suggests that managers can motivate employees by providing an environment in which the employees can satisfy their most pressing needs. From a human relations perspective, this suggests that managers must develop good relations with subordinates in order to discover what their motivational needs are. For example, a manager who knows that employees are motivated by social relationships may be able to facilitate good co-worker relations that will be nurturing to work group productivity.

Leadership Style: Douglas McGregor (1908-1964)

Douglas, a professor at MIT, used a human relations perspective to compare the assumptions leaders make about employees, which he called Theory X and Theory Y.

Assumptions of Theory X

Leaders who operate under Theory X assumptions believe that:

1. The average human being has an inherent dislike of work and will avoid it if he can.
2. Because of this human characteristic of dislike of work, most people must be coerced, controlled, directed, or threatened with punishment to get them to put forth adequate effort toward the achievement of organizational objectives.
3. The average human being prefers to be directed, wishes to avoid responsibility, has relatively little ambition, and wants security above all.

Assumptions of Theory Y

Leaders who hold Theory Y assumptions believe that:

1. The expenditure of physical and mental effort in work is as natural as in play or rest – the typical human being does not inherently dislike work.
2. External control and threat of punishment are not the only means for bringing about effort toward a company's goals. A person will exercise self-direction and self-control in the pursuit of the objective to which he is committed.
3. The average person learns, under the right conditions, not only to accept but to seek responsibility.
4. The capacity to exercise a relatively high degree of imagination, ingenuity, and creativity in the solution of organizational problems is widely, not narrowly, distributed in the population.

Therefore, according to Theory X assumptions:

- People do not like work and try to avoid it, so managers have to control, direct, coerce, and threaten employees to get them to work toward organizational goals.
- People prefer to be directed, to avoid responsibility, and to want security; they have little ambition.

According to Theory Y assumptions:

- People do not dislike work; work is a natural part of their lives.
- People are internally motivated to reach objectives to which they are committed. People can be innovative in solving problems.
- People are committed to goals to the degree that they receive rewards when they reach their objectives.
- People both seek and accept responsibility under favorable conditions.
- People are bright, but under most organizational conditions their potentials are underutilized.

Criticism of Elton Mayo's Human Relations School

Elton Mayo's Human Relations school criticisms are:

- Examining human behaviour from the managerial point of view only
- Concentrating on the role of the organization in influencing the behaviour of employees while ignoring the wider economic and social forces that have a profound influence on human behaviour.
- Being an organizational strategy by which employees are manipulated to high productivity through false expression of esteem.
- Simplifying the complex industrial production process into a mere social factor.
- Not everyone wants a challenging job
- Complexity of individuals makes behaviour difficult to predict.
- Contemporary research findings are not often communicated to practicing managers in understandable form.

The main Features of Human Relations Approach

- An organization is more than a formal structure of positions. It is a social system of inter-personal and inter-group relationships.
- The effectiveness of any organization depends upon the quality of relationships among its members.
- Management must understand human behaviour to create good inter-personal relationships in the organization.
- Higher motivation and productivity can be obtained through good human relations, which can be developed through leadership, communication, employee participation and group dynamics.
- The study of management must draw upon the concepts and principles of behavioural sciences like psychology and sociology.
- Within a formal organization there exists an informal organization.
- Human beings do not always act rationally. They often behave irrationally in terms of rewards they seek from organizations.
- Team work is essential for efficient functioning of organizations.

- An organization is just a fiction.

3.2.4 Management Science / Quantitative Approach

Also known as management science approach, mathematical approach, decision theory approach, operations research approach, etc.

The main assumptions of the quantitative approach are as follows:

- The job of a manager is to secure the best solution out of a series of interrelated variables.
- These variables can be presented in the form of a mathematical model that consists of a set of functional equations which set out the quantitative inter-relationship of the variables.
- If the model is properly formulated and the equations are correctly solved, one can secure the best solution to the model.
- Organizations exist for the achievement of specific and measurable economic goals.
- In order to achieve these goals, optimal decisions must be made through scientific formal reasoning backed by quantification.
- Decision-making models should be evaluated in the light of set criteria like cost reduction, return on investment, meeting time schedules, etc.
- The quality of management is judged by the quality of decisions made in diverse situations.

Contributions to the management process

Quantitative management helps a manager make a decision by developing formal mathematical models of the problem. Computers have facilitated the development of specific quantitative methods such as statistical decision theory, linear programming, queuing theory, simulations, forecasting, inventory modelling, network modelling, and break-even analysis.

Cost-Benefit Analysis. Cost-Benefit Analysis is a systematic means of evaluating the costs and benefits of projects over their life-times. It aims to determine whether or not a particular program is justified, to rank various program alternatives relative to a given set of objectives, and to ascertain the optimal course of action to attain these objectives.

Forecasting. A forecast is a projection or prediction of future values. Forecasting models seek to explain or describe a cause-and-effect relationship between certain long term growth trends, established operational cycles, observed indications of the state of the operations environment, and freely specified management decisions (all as causes or independent variables) and future benefits of a particular type (the effect or dependent variable).

Regression analysis is a statistical technique that can be used to develop a mathematical equation showing how the two variables are related. When the relationships involve two or more independent variables the estimation is called multiple regression analysis.

Linear Programming. Linear Programming (LP) is one of a set of general mathematical modelling techniques that can be used to determine the optimal allocation of resources among competing activities. LP may be used to either maximize or minimize an objective within the limitations of a set of constraints.

Network Models. Network analysis is a managerial technique which focuses attention on significant program components, highlights potential problems, and monitors progress toward the attainment of program goals. In network analysis each component of the system is viewed in relation to the other parts or activities. The activities are arranged in a sequential order relative to the time required to complete each component. The total system and the relationships among its components can be seen from a schematic model in the form of a flow chart or diagram.

Critical Path Method (CPM). CPM is a network method for planning and controlling large, complex projects by identifying the relationships among the component parts and time.

Program Evaluation Review Technique (PERT) is an evaluation application used to study more efficient ways of scheduling activities, further planning, and better control.

Significance Testing: Refers to a group of statistical techniques used to make judgments on whether two sets of data could have been drawn from the same population and on the differences that arise by chance or from data that were drawn from different populations.

Simulation: A technique that uses a computerized model to recreate an actual situation and then studies the system's characteristics and behavior by experimenting with the model. The simulation model describes the operations of the system in terms of individual events in the individual components of the system.

- Organizations may apply these techniques in many areas, including production, quality control, marketing, human resources, finance, distribution, planning, research and development.
- Developed sophisticated quantitative techniques to assist in decision making.
- Application of models has increased our awareness and understanding of complex processes and situations.
- Has been useful in the planning and controlling processes

Quantitative Management: Uses mathematical techniques—such as linear and non-linear programming, modelling, simulation, queuing theory, and chaos theory—to help managers decide, for example, how much inventory to hold at different times of the year, where to build a new factory, and how best to invest an organization's financial capital.

Criticism of Quantitative Management

- Managers do not rely on these methods as the primary approach to decision making.
- Techniques are typically used as a supplement or tool in the decision process.
- Managers may use results consistent with their experience but reject results that contradict their beliefs.
- Quantitative management cannot fully explain or predict the behavior of people in organizations.
- Mathematical sophistication may come at the expense of other managerial skills.
- Models may require unrealistic or unfounded assumptions, limiting their general applicability.

3.2.5 Systems Approach

Two early pioneers in this effort, Daniel Kahneman and Robert Kahn, began viewing organizations as open systems with specialized and interdependent subsystems. The interdependence of these subsystems and processes of communication, feedback, and management thinking that emphasized the importance of organizational structure and culture were also central to the system's change as well.

Systems approach is a management theory that emphasizes the need for an organization to be flexible enough to adapt to changes in its environment. It views the organization as a set of interrelated parts that work together to achieve specific goals. The system's purpose is to create value for its stakeholders, which may include customers, employees, shareholders, and society at large. The system's success depends on how well it can meet the needs of all its stakeholders while maintaining its own integrity and stability.

The system approach has been applied in various fields, including business, healthcare, and government. For example, the military uses systems analysis to design and manage complex operations. In business, systems analysis helps companies identify opportunities and threats, assess risks, and develop strategies to improve efficiency and effectiveness. In healthcare, systems analysis is used to improve patient care and reduce costs. In government, systems analysis is used to design and implement policies and programs that address social and economic issues.

The system approach has also been criticized for being too focused on the external environment and neglecting the internal dynamics of the organization. Critics argue that focusing too much on the system can lead to a lack of attention to the needs of individual employees and stakeholders. However, proponents of the system approach argue that it provides a more holistic view of the organization and helps to ensure that the organization remains adaptable and responsive to changing conditions.

Key Points of Systems Approach

- Interdependence: The system approach recognizes that no part of the system is isolated from the others.
- Open Systems: The system approach views the organization as an open system, meaning that it interacts with its environment.
- Communication: The system approach emphasizes the importance of effective communication within and between the organization and its stakeholders.
- Feedback: The system approach encourages feedback loops to improve performance.
- Management: The system approach views management as a process rather than a set of tasks.
- Culture: The system approach promotes a culture of continuous improvement and learning.

Additional Notes on Systems Approach

- Quotations: These notes are taken from various sources and may not be entirely accurate or complete.
- Citations: References to other works are provided for further reading.

- Glossary: Definitions of key terms are included for quick reference.

Systems approach is a modern management theory that views the organization as a system of interrelated parts that function in a holistic way to achieve a common purpose. Systems theory views an organization as a complex set of dynamically intertwined and interconnected elements, including inputs, processes, outputs, feedback loops, and the environment. Any change in one element causes changes in other elements.

The systems approach to management is a concept which views a company as an interconnected purposive system that consists of several business sections. It is a management approach which enables the leadership to see the company as a unified part or a major section of the larger outside corporate environment.

The System Theory was developed by Ludwig Von Bertalanffy and others in the 1920s. It is an interdisciplinary theory about the nature of complex systems in nature, society, and science, and is a framework by which one can investigate and/or describe any group of objects that work together to produce some result.

The system takes inputs (resources) from the external environment and puts them through a transformation process (a technology) that converts them to outputs (finished products and services). The outputs are then put into the external environment.

The systems theory has the following main features:

Environment

The environment consists of market, technological, social, and political forces that surround the system, and it is a critical factor that managers must consider in order to achieve organizational goals and objectives. The manner in which the outputs are received determines organization survival. For example, if the environment rejects the outputs because quality is too low, the organization is likely to perish. The system receives feedback, information about how well the outputs were received, and uses the feedback to adjust the selection of inputs and the transformation process.

Open and closed systems

Open systems interact with the environment in order to survive. Closed systems do not need to interact with the environment. In reality, all organizations depend on the environment for inputs and for the purchase of outputs. Systems theory argues that the environment must always be taken into consideration in management decision making.

Subsystems

Subsystems are interdependent parts of a system. A change in one subsystem will affect the other subsystems. For example, when a company changes its reward system for sales representatives from salary to commission, the volume of sales revenues is likely to increase, which would also increase the level of output required from the manufacturing system.

Synergy

Synergy means that the whole is greater than the sum of its parts. Management of organizational subsystems can result in synergy. Synergy is the state in which the team 'takes off', working together as a whole to achieve far more than the individuals, working separately, could have done. For

example, Microsoft sells more business applications software because all its applications software products are compatible with the Windows operating system.

- The whole system (subsystems working together as one system) is more productive and efficient than the sum of its parts.
- Subsystems are more successful working together in a cooperative and coordinated fashion than working alone.

Equifinality

Equifinality means final equality - different initial causes may lead to equal, final outcome.

Equifinality or multi-causality has been a principle of systems, which states that the same final condition of a system (output) may be reached from different initial conditions (inputs) and in different ways (transformations).

- Homeostasis

Homeostasis: Refers to the ability of a system to achieve a state of dynamic equilibrium i.e. open system reacts to every change in the environment and to every random disturbance through a series of modifications.

- Entropy

This is a process in which an organizational system tends to decline due to failure to adjust according to changes in its environment. Entropy can be avoided and an organization re-energized through organizational change and renewal.

Basic Assumptions of the System Approach

- An organization is a system consisting of several parts/sub-systems which are functionally interdependent and interacting.
- Each system within a system can be analysed only in relation to other sub-systems and to the organization as a whole rather than in isolation.
- An organizational system has a boundary which separates it from other systems. The boundary determines which ones are within or outside the system.
- An organization is a dynamic system because it is responsive or sensitive to its both internal and external environments.

Advantages of the Systems Theory

Advantages of the systems theory include enabling management to:

- a) Determine the contribution of each part of the organization.
- b) Identify problem areas within the organizational system.
- c) Assess the importance and contribution of information system within the Organization.
- d) Take a more scientific approach in dealing with planning, marketing and decision making problems.
- e) Determine and appreciate the sources of organizational inputs and the destination of its outputs.

- f) Identify and deal with problems of change in the organization.

Criticisms of Systems Approach

- Too abstract and vague.
- Cannot be applied to practical problems directly and easily.
- Does not provide specific tools and techniques for the practicing executives.
- Does not recognize differences in systems

3.2.6 Contingency / Situational Approach

Contingency Approach to Management

It ignores that different situations and conditions require different management approaches.

Situational Approach states that there is no "one best way" to manage and organize an institution because what works for one institution may not work for another and because situational characteristics differ. Proponents believe that the best way depends on the specific circumstances.

The situational characteristics are called contingencies. Managers need to understand the key contingencies that determine the most effective management practices in a given situation.

An important example of contingency is the degree of change in the environment where:

- Change can include the development of new technologies or the entry of new competitors to the market.
- When the environment is turbulent, managers are likely to select a decentralized organization structure in which authority is pushed to lower levels so that decisions can be made rapidly and flexibly.
- When the environment is stable and predictable, managers select a centralized organization structure in which decisions are made on a top-down basis to exercise more control and efficiency over resources.

Features of Contingency (Situational) Approach

- Management is entirely situational; the situation will determine which techniques and strategies to apply.
- Management should fit its approach to the requirements of the particular situation.
- Management should develop skills in situational analysis so as to respond to environmental changes.
- Managers should understand that there is no one best way to manage; management principles and techniques are universal.
- The more dynamic and diverse the environment, the higher the degree of both differentiation and integration required for successful organization.
- Less changeable environments require a lesser degree of differentiation but still require a high degree of integration.
- The more differentiated an organization, the more difficult it is to resolve conflict.

- Where the environment is uncertain, the integrating functions tend to be carried out by middle and low-level managers; where the environment is stable, integration tends to be achieved at the top end of the management hierarchy.

Criticisms of Contingency (Situational) Approach

This approach has been criticized on two grounds:

- It lacks a theoretical base.
- A manager is required to think through all possible alternatives as he has no clear cut or direct principles to act upon.

Strengths and weaknesses of Contingency (Situational) Approach

- This approach depends on the variables of the situations
- It is integrative approach
- Tells managers to look to their experiences and the past and to consider many options before choosing an alternative
- Encourages managers to stay flexible
- Helps in better understanding the interactions of an organization's components
- Manager's style is contingent on the variables associated with a job
- It is about applying management techniques that fit the situation
- This approach emphasizes situational appropriateness rather than rigid adherence to universal principles
- It creates the impression that an organisation is captive to its environment

Weaknesses

- Not all important contingencies have been identified
- Theory may not be applicable to all managerial issues
- Workplace situations are too complex to analyse and control based on every situation/contingency

3.2.7 Total Quality Management

TQM was done in Japan through the efforts of Edward Deming. TQM is an organization wide approach that focuses on quality as a vital goal. The basis of this approach is the understanding that all employees and organizational units should be working harmoniously to satisfy the customer. Since the customer's needs are in constant change, the organization must strive to continuously improve its systems and practices.

TQM is the mutual co-operation of everyone in an organisation and associated business processes to produce products and services which meet and, hopefully, exceed the needs and expectations of customers. TQM is both a philosophy and a set of management guiding principles for managing an organisation.

TQM is a philosophy that requires active participation on the part of both owner and employees. TQM is an ongoing process that is to be approached from the standpoint of continuous improvement by incremental stages. The ability to ensure the quality of a product or a service is, therefore, dependent on the quality of the working relationship between the human beings at the work place.

In TQM, quality is viewed as everybody's job, not just the role of quality control specialists, as in bureaucratic management.

The key elements of the TQM approach are:-

- Focus on the customer: This means it is important to identify the organization's customers. External customers consume the organization's product or service. Internal customers are employees who receive the output of other employees.
- Employee Involvement: Since quality is considered the job of all employees, employees need to be involved in quality initiative. Front-line employees are likely to have the closest contact with external customers and thus can make the most valuable contributions to quality. Therefore, employees must be empowered and be given the authority to innovate and improve quality.
- Continuous Improvement: The quest for quality is a never-ending process in which people are continuously working to improve the performance, speed, and number of features of the product or service. Continuous improvement means that small, incremental improvements that occur on a regular basis will eventually add up to vast improvements in quality.

Important issues to consider in total quality management are:-

- Total Employee Involvement
- Continuous Improvement
- Continuous Training
- Teamwork
- Empowerment
- Top-management Commitment and Support
- Democratic Management Style
- Customer/Citizen Satisfaction
- Culture Change
- Create firmness of purpose toward improvement of product and service;
- Adopt the new philosophy;

Deming proposed 14 principles of TQM:

1. Create consistency of objectives and plans
2. Adopt a new philosophy of quality
3. Cease dependence on mass inspections

4. End the practice of choosing supplies based solely on price
5. Improve the system constantly and continuously
6. Institute training on-the-job
7. Strengthen leadership
8. Drive out fear
9. Breakdown barriers between departments and units
10. Stop requesting improved productivity
11. Eliminate work standards that prescribe numerical quotas and quality standards
12. Remove barriers to pride in workmanship
13. Institute vigorous education and self-improvement programmes
14. Put every day in the company to work to accomplish the transition to total quality

Management Issues and Challenges

- An increasingly diverse and globalized workforce
- the need to create challenging, motivating, and flexible work environments
- Acute labour shortages in high-technology job sectors and an oversupply of less-skilled labour
- The effects of information technology on how people work
- The complex array of new ways of structuring organizations
- Increasing globalization of product and service markets
- The renewed importance of ethics and social responsibility
- The use of quality as the basis for competition
- The shift to a predominately service-based economy

4.0 Implications of organizational theories

Theories usually specify the particular sets of conditions in which the proposed cause-and-effect relationship should actually operate.

Theories are devices that try to tell us things about the world by representing it in a causal manner. In the case of any social science theory, including organization theory, this is to do with the behaviour of people in various social contexts.

Theories define, classify or categorize aspects of the world – the "what" of that which we are studying.

Theories propose reasons in the form of cause-and-effect relationships that explain the variation of a particular phenomenon in terms of the effects of the action of, or the variation in, another phenomenon – the why and the how.

Theories identify the situation(s) or contexts when these causal relationships will or will not operate, and thereby set the boundaries to where they are applicable.

Based upon this what, why, how, when and where analysis, theories then can guide our actions because they enable predictions and hence potentially enable us to anticipate and try to influence or even control events.

Theories are not divorced from our everyday lives and behaviours. Indeed, we regularly deploy theory often in the form of 'common sense' in order to make sense of our experiences and to guide our actions, but this process is usually tacit because the use of theory remains unnoticed (see the Ideas and perspectives box below).

Theories matter because they influence what happens to people; they are used to describe, explain and, equally significantly, justify the things that we do and how we do them. Therefore, we need to be very careful about the theories we use to make sense of what it is we think is going on, particularly when people present things as 'there is no alternative' (see the earlier quote from Keynes).

Theories are perspectives with which people make sense of their world experiences. Formally, a theory is a coherent group of assumptions put forth to explain the relationship between two or more observable facts.

Theories provide a stable focus for understanding what we experience and acts as criteria for determining what is relevant.

Theories enable us to communicate efficiently and thus move into more and more complex relationships with other people.

Theories make it possible—indeed, challenge us to keep learning about our world and to consider the consequences of adopting alternative beliefs.

Importance of studying management theories

- It helps to view the interrelationships between the development of theory, behaviour in organisations and management practice.
- An understanding of the development of management thinking helps in understanding principles underlying the process of management.
- Knowledge of the history helps in understanding the nature of management and organisational behaviour and reasons for the attention given to main topic areas.
- Many of the earlier ideas are of continuing importance to the manager and later ideas on management tend to incorporate earlier ideas and conclusions.
- Management theories are interpretive and evolve in line with changes in the organisational environment.

5.0 INTERNATIONAL MANAGEMENT AND CONTEMPORARY ISSUES

5.1 International Management

Introduction

The growing concern about globalization has compelled the need for managers to be conversant with international issues such as international management as well as multicultural issues and cultural dimensions.

The management of business operations for an organization that conducts business in more than one country is called International Management. It requires knowledge and skills above and beyond normal business expertise, such as familiarity with the business regulations of the nations in which the organization operates, understanding of local customs and laws, cross culture knowledge, and the capability to conduct transactions that may involve multiple currencies in the International Management.

Thus, *International Business Management* is a complex process because of differences in terms of countries, labour markets, culture, legal systems, economic systems, product differences, different market orientations, and so on.

This is to say, a business enterprise who goes for international has to take into consideration the social, political, historical, cultural, geographical, physical, ecological and economic aspects of the another country where it goes for business. This implies that managing such business needs *Multicultural Management Approaches*.

It is up to management to take into account the diversity of people in an organization and to manage their cultural differences. In an international context, however, what does cross-cultural management mean?

"Cross-cultural management explains the behaviour of people in organizations around the world and shows people how to work in organizations with employees and client populations from many different cultures. Cross-cultural management describes organizational behaviour within countries and cultures; compares organizational behaviour across countries and cultures; and, perhaps most important, seeks to understand and improve the interaction of co-workers, managers, executives, clients, suppliers, and alliance partners from countries and cultures around the world."

The extent to which cultural influences impact management practices in specific countries and across countries is of paramount to international management practices. Several scholars of culture have argued that culture sustains, reproduces and transforms social relations in organizations.

It has been suggested that managers must understand their cultures to be able to understand their behaviours. At the same time they must understand their host cultures (through intercultural competence development exercises) to be able to perform successfully in other societies.

The importance of culture on international management practices in general has been popularised in the research works of two Dutch scholars Hofstede, (1980) and Trompenaars (1997). Cross-cultural studies provide evidence that cultures affect the way people behave and react towards careers (Hofstede, 2001; Hofstede, 2004; Early, 2006; Chun et al., 2003).

According to Hofstede, the following dimensions of culture provide an adequate description of the culture of any given society or organisation and how it affects employee's behaviour:-

1. Power distance
2. Individualism vs collectivism
3. Uncertainty and avoidance
4. Masculinity vs femininity
5. Long-term vs short-term orientation
6. indulgence vs restraint

i. Power distance can be defined as the extent to which the less powerful members of institutions and organizations within a country expect and accept that power is distributed unequally. This dimension is concerned with how close or how distant subordinates feel from their superiors. In small power distance countries citizens emphasise equality and classlessness; subordinates feel free to challenge decisions of their superiors etc. High power distance countries reflect the opposite behavioural attributes.

ii. Individualism vs collectivism pertains to societies in which everyone is expected to look after himself or herself and his or her immediate family. Collectivism as its opposite pertains to societies in which people from birth onwards are integrated into strong, cohesive in-groups, which throughout people's lifetime continue to protect them in exchange for unquestioning loyalty.

According to Hofstede (2001), individualistic societies are characterized by weak relations between individuals, and it is assumed that everyone's responsibility is to take care of himself and his family. On the contrary, in collectivistic societies people are connected to each other through strong and cohesive groups that protect them during their life; it is assumed that people are loyal to these groups.

iii. Uncertainty avoidance can be defined as the extent to which the members of a culture feel threatened by uncertain or unknown situations and try to avoid such situations. This feeling is, among other things, expressed through nervous stress and in a need for predictability, a need for written and unwritten rules. In high uncertainty avoidance cultures, people tend to emphasise the creation of greater career stability, establishing more formal rules. People in these societies do not tolerate deviant ideas and behaviour. Lower uncertainty avoidance cultures are less rule-bound and more flexible in approach to life and work situations.

iv. Masculinity versus femininity: *Masculinity* pertains to societies in which social gender roles are clearly distinct (i.e., men are supposed to be assertive, tough, and focused on material success whereas women are supposed to be more modest, tender, and concerned with the quality of life. *Femininity* pertains to societies in which social gender roles overlap i.e., both men and women are supposed to be modest, tender, and concerned with the quality of life.

v. Long-term versus short-term orientation refers to the extent to which a culture programs its members to accept delayed gratification of their material, social, and emotional needs. This refers to how much society values long-standing – as opposed to short-term – traditions and values. In countries with a high LTO score, delivering on social obligations and avoiding "loss of face" are considered very important.

Monochronic and Polychronic Cultures: According to anthropologist Edward T. Hall, the concept of polychronic versus monochronic time orientation describes how cultures structure their time. The *monochronic* time concept follows the notion of "one thing at a time", while the *polychronic* concept focuses on multiple tasks being handled at one time, and time is subordinate to interpersonal relations.

vi. Indulgence versus restraint and career goals

The Indulgence versus Restraint dimension is about the opposition between acting as one desires in fun and leisure related activities (indulgence) and the view that such desires must be controlled and restricted by strict social norms (restraint).

Indulgence refers to a society which allows relatively free enjoyment of some desires and feelings, especially those that have to do with leisure (Hofstede, 2011). People in indulgence society prefer happiness and tend to create a perception of freedom, health, and control over life. Its opposite pole, restraint culture refers to a society which controls the pleasure of the above mentioned desires and feelings. They depress happiness and the perception that life events can be controlled and make people feel relatively unhealthy.

Hofstede's Cultural Values

Dimensions of culture	Career Goals
Power Distance	Reaching a managerial level
Individualism vs. Collectivism	Working with increasingly challenging task
Uncertainty Avoidance	Becoming a specialist
Masculinity vs. Femininity	Contributing to society
Long-term orientation	Building a sound financial base
Indulgence vs. restraint	Working internationally
	Balancing personal life and career

Essential qualities of successful international managers

- Professional qualification
- Leadership skills
- Management skills
- Self-reliance
- Goal directedness
- Communicative skills
- Flexibility, readiness to learn and to adapt
- Tolerance
- Mental and physical endurance

- Language skills
- Social science understanding skills
- Political science appreciation skills
- Legal awareness skills
- An innate ability skills in:
 - Anthropology
 - Sociology
 - Psychology
 - Economics, Geography etc.

Approaches to Management of Multicultural Businesses

a) Ethnocentric Management Approach:

Ethnocentrism refers to a belief that, one's own culture is superior to other cultures and the home country practice prevails. When applied to international setting, it describes a tendency to use the same management style as is practiced in the business's home country.

Under this approach, Headquarters from the business home country makes key decisions, employees from the home country hold important jobs, and the subsidiaries follow the home country resource management practice.

The characteristics of an ethnocentric approach to international management:

- Home country oriented
- Strategic decisions are made at headquarters
- Managers tend to be from the home country (Headquarters of the organization)
- Home country policies and practices are likely to be used in the branches
- Knowledge from the home country is seen as the most useful
- The organization tries to imitate the corporate culture
- Economies of scale may be gained as branches follow the same procedure

Advantages:

- Consistency is gained across branches
- Little need to recruit qualified host country nationals for higher management
- Greater control and loyalty of home country nationals
- Key decisions centralized

Disadvantages:

- May limit career development for host country nationals

- Host country nationals may never identify with the home company
- Expatriate managers are often poorly trained for international assignments and make mistakes
- Expatriates may have limited career development

b) Polycentric Management Approach

The Polycentric approach to international management uses local people as workforce and adapts the practices of host nation. Local employee are the one who manages the branches and develop their own organizational culture because headquarters' managers are not considered to have adequate local knowledge. Branches usually develop management practices locally. This model reflects a decentralized concept of management where, a Multi-National Corporations grants considerable autonomy to its branches in order to take into consideration specific characteristics of foreign settings.

Characteristics of a polycentric approach to international management:

- Centres around the host country
- Host country nationals will usually fill management positions
- Managers usually report to the parent country (Headquarters) but have autonomy to make decisions
- There is not an exact corporate culture management policies and procedures are usually adapted from the parent company (HQ) so that they are more in line with requirements of the subsidiary (and the context in which it is situated)
- Limited controls/interventions from parent company
- Fewer language and cultural barriers

Advantages of Polycentric Approach:

- Reduces costs for training of expatriate managers from headquarters
- No investment in language training
- Fewer problems with adjustments to local cultures
- Less expensive

Disadvantages of Polycentric Approach

- Coordination problems with headquarters based on cultural, language, and loyalty differences
- Limited career-path opportunities for host country and regional managers
- Limited international experience for home country managers

c) Geocentric Management Approach

Under geocentric management approach best people get key jobs, nationality is not important. This means that, rather than orienting themselves toward either the home country or the host country, top managers consider the organization's goals, plans, and performance from a broader, worldwide

perspective. The best managers, regardless of their nationality or location, are selected for the assignments that fit their skills and abilities.

Characteristics of a geocentric approach to international management:

- Looks for the best person for a specific job, regardless of nationality
- Managers usually have previous international management experience
- Has a more collaborative approach between the parent company and its subsidiaries
- Communication is a more two way and interactive process
- Facilitates the development of an international team of employees
- Aims to develop the best people

Advantages of a geocentric approach

- A pool of senior international managers is developed
- Tendency of national identification of managers with subsidiary units is reduced
- Also promotes communication and resource allocation through cross-border employee networks

Disadvantages of Geocentric Approach

- Need to find managers and employees that have the ability to adopt multiple styles at once.
- Immigration laws which require the employment of local nationals are used by many host countries
- Difficult to implement because of increased training, compensation and relocation costs
- Longer lead times and more centralized control of the staffing process are required
- Geocentric policies are expensive: expatriate compensation, implementation and on-going support associated with training and relocation costs
- Requires a long lead time to identify appropriate expatriate personnel

d) Regiocentric Management Approach

The regiocentric approach is based on a division of the world in geographic regions which correspond to groups of countries characterized by a certain degree of homogeneity (Europe, North America, South America, Africa, Asia etc.). The management and control of branches by the headquarters take place at the regional level. Regional headquarters enjoy a strong autonomy with regard to the world headquarters of the group. They set strategic objectives at the regional level and coordinate activities of several national subsidiaries.

Characteristics of regiocentric

- Reflects a regional strategy and structure
- Regional autonomy in decision making
- Staff moves within the designated region, rather than globally

Advantages of Regiocentric Approach:

- Reduces costs for training of expatriate managers from headquarters
- No investment in language training
- Fewer problems with adjustments to local cultures
- Less expensive

Disadvantages of Regiocentric Approach:

- Coordination problems with headquarters based on cultural, language, and loyalty differences
- Limited career-path opportunities for host country and regional managers
- Limited international experience for home country managers

Need of International Management

Market Seeking: To explore new markets for their products international management is required. Production of product is somewhat easy but marketing is difficult, so seeking market is essential

Resource Seeking: to look for cheaper sources of raw material or labour. Man, Money, Material, Machinery, Marketing, Method, Motivation, Monopoly, Movement, Management, etc are the important 'M's in the international management. To get these all Land, Labour and Capital resources with affordable cost and continuously is very much essential.

Production Efficiency Seeking: to look for better infrastructure require for production.

Maximization of the production is the mantra for cost reduction and creation of monopoly in the market. To satisfy the customers and fulfil the needs of the customers, one should maintain production efficiency in the organization.

Technology Seeking: to make use of superior technology. Modern technology is essential for timely production and minimization of manpower. It is necessary that the world famous technology is required which leads towards global competency for the business.

To earn greater profit. Profit is the reward of sacrifice of all resources, so optimization of profit is essential. International management provides that how to stand in the world market. To face LPG challenges, international management is required, which provides greater profit to the organization.

To satisfy management desire to expand the business. For getting need based and situation based benefits, expansion of the business is required. In the business world, to get the large scale business benefits, expansion is essential.

To protect domestic and foreign market. International management provides balance between domestic and foreign market. They provide necessary and sufficient information for domestic and foreign markets.

To ensure reliable supply of raw material. Raw material is the backbone of any business. The success or failure of any business is depending on raw material. Timely, neatly, easily, economical, continuously availability of raw material is very much essential and it is possible due to international management.

5.2 CREATIVITY AND INNOVATION

i. Introduction

The term *Creativity* and *Innovation* are often used interchangeably. However, there is a clear distinction between creativity and innovation, the former being the generation of ideas and the latter its implementation/transformation into new products or services. In this era of globalization and competition, creativity and innovation are considered to be key factors for survival, success and excellence of organizations.

ii. Creativity

Creativity is the generation of new and original ideas, associations, methods, approaches and solutions in relation to a problem or need. It is the capacity to generate new and valuable ideas for products, services, processes and procedures.

It is the generation of imaginative new ideas, involving a radical newness innovation or solution to a problem, and a radical reformulation of problems.

Creativity can also be a kind of imagination which involves the generation of ideas not previously available as well as the generation of different ways of seeing events.

Factors that Influence the Creative Process

- Organization strategy and resource availability
- Organization structure
- New technologies
- Employee motivation and involvement
- R&D intensity
- Organization culture and communication
- Encouragement of creativity
- Autonomy or freedom
- Resources (the materials, information, and general resources available for work)
- Pressures (including both positive challenge and negative workload pressure)
- Organizational impediments to creativity (including conservatism and internal strife)

Four Phases of Creativity Process

- i. Preparation [investigation + transformation]
- ii. Incubation
- iii. Illumination
- iv. Verification [implementation]
- i. Preparation: phase begins with the recognition, analysis and understanding of the problem. This involves gathering and analysing available knowledge and background material relating to the problem, to build a solid general working knowledge of the subject i.e.

individuals taking initial actions (e.g., searching, collecting, and listening) to confront the challenge.

- v. Incubation: during this stage, the creator does not consciously think about the problem and goes about doing other activities. However, the creator's mind continues to consider the problem which is referred to as the unconscious or preconscious processing.
- vi. Illumination: during this period, the creator feels that his ideas suddenly fit together and the solution to meet the requirements of the problem becomes clearer i.e. individuals experiencing various possibilities and having a creativity leap via clear insights and intuition. In the literature it has also been called the AHA! Experience
- vii. Verification: during this period, the creator evaluates the solution for practicality, effectiveness and appropriateness. The solution may be elaborated and improved if necessary i.e. this is a sense-making phase to finalize the decision based on validity of the information (Bakar 2013).
- Benefits of creativity
- Innovation through new product and process ideas
- Continuous improvement of products or services
- Productivity increase
- Efficiency
- Rapidity
- Flexibility
- Quality of products or services
- High performance

iii. INNOVATION

- *Innovation* is changing something by implementing or applying the outputs of creativity. It is the application of new ideas to the products, processes, or other aspects of the activities of a firm that lead to increased "value" and it may involve:
- Product innovation: the introduction of a new product, or a significant qualitative change in an existing product.
- Position innovation: changes in the context in which products and services are introduced
- Process innovation: the introduction of a new process for making or delivering goods and services.
- Paradigm innovation: Changes in the underlying mental models which frame what the organization does
- Technological Innovation: is associated with the use of technological knowledge, research and development activities.

- **Management Innovation:** implementation of new management practices, innovative ways of doing things and dramatically transforming and improving the effectiveness of management functions and significant departure from the current norms

Four types of innovation

- i. **Incremental innovation:** is a form of innovation in which existing technology is used to improve products or services that are already established in the marketplace. This can include altering the packaging, offering the product in different flavours, sizes or colours, or improving the quality of the customers' experience.
- ii. **Technological substitution:** involves using new technology developments to create new products that fill existing market categories. Examples include power tools or cordless telephones (which perform the same functions as a normal corded telephone)
- iii. **Market innovation:** is combining and presenting existing technologies in a way that is new to the market, thus creating a new market segment. The classic example of this is the Sony Walkman. It was a combination of two existing technologies (headphones and a portable cassette player) that created a completely new market segment.
- iv. **Radical innovation:** Is a type of disruptive innovation. It is a technologically advanced product or services that creates an entirely new market segment.

Based on the provided images, here is the text transcribed exactly as it appears:

Radical innovation: is a type of disruptive innovation. It is a technologically advanced product or service that creates an entirely new market segment.

Innovation vs. Invention **Invention** is the first occurrence of an idea for a new product or process/ is the formulation of new ideas for products or processes/ is the creation of a completely new product, method, or device while innovation is the first attempt to carry it out into practice i.e. Innovation is the practice of bringing inventions into widespread usage through creative thinking, investment, and marketing.

INNOVATION PRACTICES IN PUBLIC SECTOR MANAGEMENT In the last half of the twentieth century and even more so at the beginning of the new millennium governments have been under pressure to respond to the demands of their citizens and to the increasing complexity and change in their global environments. Given the rapid change and evolving of e-commerce in private sector, citizens are demanding better and more effective services. It is believed that innovation may assist finding new ways to reach citizens and ensure services with maximum value.

Managing the public sector in today's environment of constant change has become a demanding challenge for policy makers, service delivery managers and civil servants, a challenge that is especially daunting for those in developing countries and countries with economies in transition. Overall, Governments are faced with three main domestic challenges;

1. First, they need to operate and provide more far-reaching and higher quality services with reduced resources and limited operational capacities. That is to say, governments need to use their resources and build capacities not only more effectively, but also more creatively by, for example, enlisting the support of the private sector and civil society in service delivery.
2. Second, they need to make public institutions more accountable, responsive and effective by promoting a more citizen-oriented public administration.

3. Third, and most importantly, they need to respond more adequately to the demands from citizens for greater participation. Although government is still central to society, it is now widely recognized that governance is not the sole prerogative of governments, but that civil society and the private sector also have an important role to play in this sphere. Citizens no longer perceive themselves as passive "consumers" of government services, but as part of the solution to deal more effectively with emerging issues. Deepening democracy in order to provide opportunities not only for improved representation, but also more active participation and engagement in public affairs requires innovative institutional mechanisms, processes and policies.

Examples of innovative practices in public sector include:

- One-stop shops (Huduma Centres)
- Online business registrations (all ministries, one form)
- E-government
- Online visa applications and approvals
- Horizontal innovation (team focus on planning, zoning, and law enforcement as well as horizontal planning)
- Online voting systems
- Online students loan application
- Online birth certificate and passport application
- Inter-sectorial cooperation for youth problems
- Online studies such as as CBE, IAA etc

THE COMMON INNOVATIVE PRACTICES IN PUBLIC SECTOR MANAGEMENT INCLUDE:

1. Quality Management System Implementation as Innovative Management Practice Through a theoretical standpoint, not only e-government and Total Quality Management (TQM) pursue some identical purposes, but also they share an important set of core concepts and principles. Customer focus, process management and people involvement, in particular, are key elements indicating a link between these two approaches. On the other hand, the goals of which managerial innovation practices assert such as accountability, transparency, efficiency, effectiveness, and responsiveness are the core concepts also commonly shared by all. The diffusion of managerial innovations and outreach is a function of local governments' accumulated e-government effort over time. A public organization's preexisting innovation capacity results in the development of institutional capability, which in turn encourages greater sophistication of continuous governmental digitalization.

Although the relationship between the implementation of Quality Management Systems (QMSs); i.e. ISO 9001, and the innovation capacity of the organizations has been broadly studied from a theoretical point of view (Castillo et al., 2008), there are not many empirical studies in the literature that are related to the impact of QMSs on the innovation capacity of public organizations particularly regarding e-government services. The literature holds different views in respect to the

correlation between QMSs and innovation. Yaacob (2010) compared the performance of local authorities with two different levels of adoption of quality management (QM) and his study revealed that local authorities with high intensive QM secure better results as compared to local authorities with less intensive QM in performance dimensions of customer satisfaction and employee satisfaction.

2. Strategic Planning as Innovative Management Practice A public organization's ability to plan strategically and fulfill its goals is used as a foundation for furthering a community's investment in strategic management through linking planning with measurement, budgeting, and accountability systems. The outcome is a community that thinks and acts strategically to achieve its long term desired goals.

Arpaci and Arifoglu (2009) argue that the occurrence of a successful innovation associated with a product, service or process in some part of the organization's value chain, should be joined with a business design, which in turn is implemented with discipline and skill through innovation management. To sustain a successful innovation management, organizations are required to develop a sound strategic approach to the innovation. Some researches (Lihua and Zheng, 2005) found evidence on the influence of transformational leaderships and strategic planning on the success of e-government applications. They argue that organizational change has costs, benefits and risks, so strategic planning will be helpful to prepare the government organizations to deal with all kinds of uncertainties. Thus, a requirement for a strategic approach to innovation in the public sector should yield positive results.

3. Performance Measurement as Innovative Management Practice Although several drivers influence management decision making, especially in complex environments, performance measurement data is often expected to act as a key source for informing the improvement efforts of numerous management functions such as strategic planning and management, operational planning and management, communications with stakeholders, budgeting, human resource management, evaluation, and so on. The main driver here is to monitor and improve the quality of public services.

Performance management is the key to supporting the public sector leadership to deliver its objectives and to provide efficient and effective deployment of the resources. Public authorities that use performance management insistently are more likely to provide good services to local people, concentrate on the services that matter most, and are quick to identify problems and find solutions applied and sustained successfully, performance management systems have the potential to transform governments due to their potential to improve the performance and accountability.

5.3.2 APPLY THE GENERAL FUNCTIONS OF MANAGERS WITHIN A BUS. ORGANIZATION.

1.0 Explain the Objective of management Understanding the various categories of management objectives is crucial for effective organizational leadership. These objectives provide direction, focus, and standards for performance. Here's a breakdown of the different categories, applicable across various organizations.

1. Organizational Objectives (Strategic Objectives): These objectives imply the overall direction and purpose of the organization as a whole. They represent the desired future state of the organization and define its long-term aspirations. They are the highest level of objectives and dictate the strategic direction of the company.

- These are the overarching, long-term goals of the entire organization. They define the organization's purpose and direction.
- Examples:
 - Increasing market share.
 - Achieving sustainable growth.
 - Becoming a leader in a specific industry.
 - Enhancing brand reputation.
 - Expanding into new markets.
 - Maximizing shareholder value (for for-profit organizations).
 - Achieving a specific social impact (for non-profit organizations).
- These objectives are typically set by top management and guide the development of lower-level objectives.

2. Functional Objectives (Tactical Objectives): These objectives imply the specific contributions of each functional department (e.g., marketing, finance) to the overall organizational goals. They translate the broad organizational objectives into actionable plans for each department.

- These are objectives set for specific functional areas within the organization, such as marketing, finance, production, and human resources.
- They support the achievement of organizational objectives.
- Examples:
 - Marketing: Increasing customer acquisition by 20%.
 - Finance: Reducing operating costs by 10%.
 - Production: Improving production efficiency by 15%.
 - Human Resources: Reducing employee turnover by 5%.
 - Research and development: Producing 3 new patents in a year.
- Functional objectives provide a framework for departmental planning and performance measurement.

3. Operational Objectives: These objectives imply the day-to-day performance targets that ensure the smooth and efficient operation of the organization. They focus on the practical execution of tasks and processes.

- These are specific, short-term objectives related to day-to-day operations.
- They focus on efficiency, productivity, and quality.
- Examples:
 - Meeting daily production targets.
 - Reducing customer wait times.

- Improving inventory turnover.
- Ensuring timely delivery of products or services.
- Reducing the number of defects in a manufacturing process.
- Operational objectives provide a basis for monitoring and controlling daily activities.

4. Individual Objectives: These objectives imply the performance expectations and development goals for individual employees. They link individual contributions to the broader organizational goals and provide a framework for performance evaluation and personal growth.

- These are objectives set for individual employees, often as part of performance management systems.
- They are aligned with functional and organizational objectives.
- Examples:
 - Completing a specific project within a deadline.
 - Achieving a sales quota.
 - Developing new skills.
 - Improving customer service ratings.
 - Attending a set number of training sessions.
- Individual objectives provide a basis for employee motivation, performance evaluation, and development.

5. Social Objectives: These objectives imply the organization's commitment to ethical conduct, environmental sustainability, and community engagement. They reflect the organization's responsibility to contribute positively to society.

- These objectives relate to the organization's social responsibility and its impact on society.
- They address ethical, environmental, and community concerns.
- Examples:
 - Reducing carbon emissions.
 - Supporting local communities.
 - Promoting diversity and inclusion.
 - Adhering to ethical business practices.
 - Donating a percentage of profits to charity.
- Social objectives reflect the organization's commitment to corporate social responsibility.

Key Considerations:

- Alignment: All levels of objectives should be aligned with the overall organizational objectives.

- SMART Objectives: Effective objectives are Specific, Measurable, Achievable, Relevant, and Time-bound.
- Dynamic Nature: Objectives should be reviewed and updated regularly to reflect changes in the environment and organizational priorities.
- Balance: Organizations should strive for a balance between different categories of objectives to ensure long-term sustainability and success.

2.0 Explain Functional Aspects of Management

2.1 Planning Planning is deciding in advance what to do, how to do it, when to do it, and who is to do it. It bridges the gap from where we are to where we want to go (Koontz and O'Donnell).

Therefore, planning means determining the objectives that is desired to be achieved and deciding on the actions that are needed to be taken in order to achieve the objectives.

Planning can be formal or informal Under Formal Planning: specific goals covering a specific period are defined, they are written and shared with organizational members and specific action programs for the achievement of these goals are prepared and given.

Under Informal Planning: nothing is written down, and there is little or no sharing of goals with others in the organization. It is done in small organization where the owner/manager has a vision of where he or she wants the organization to go and how to get there. It is also general and lacks continuity.

The Planning Process Stages Involved in the Process of Planning

- Identifying business opportunities: It involves an analysis of both the internal and external environment to know the trends in the past and in the near future.
- Establishment of objectives: Taking into account the resources available, the objectives must fit the features of good objectives which are (S.M.A.R.T.) i.e. Specific, Measurable, Attainable, Realistic and Timely/time-bound.
- Determination of Planning Premises: Planning premises are defined as the anticipated environment in which plans are expected to operate. They include assumptions or forecasts of the future & known conditions that will effects the operation of plans.
- Identifying the alternative courses of action: These are alternative ways of carrying out any task to attain the objective of a business, different courses of action may be available.
- Evaluating the alternative courses of action: Each alternative should be examined carefully to decide on its suitability.
- Selecting the best course of action: Once the alternative courses of action have been evaluated, the next step is to select the best.
- Formulation of derivative plans: After termination of the basic enterprise plan the next step is to prepare the subsidiary or derivative plans to support the basic plan.
- Periodic evaluation and review: Once the implementation of the plan starts, it becomes necessary to evaluate performance at periodic intervals to ensure that the activities of the enterprise proceed in the right direction and as laid down in the plan.

Importance of planning As the primary function of management, planning is considered vital in every sphere of activity. The importance of planning may be stated as follows:

- i. It focuses employees efforts on organizational objective
- ii. It helps to avoid wastage of resources
- iii. It ensures efficiency as well as effectiveness
- iv. It reduces risk and uncertainty
- v. It provides for co-ordination
- vi. It facilitates control
- vii. Planning also provides scope for decentralisation

Limitations of planning

- i. Uncertain Nature of the process The element of uncertainty cannot be totally eliminated in planning. Plans are meant for future use but future happenings cannot be accurately foreseen e.g. A sudden change in the policy of the Government, loss due to natural calamities like earthquake, floods, etc., can destroy even carefully prepared plans.
- ii. Expensive Preparation and implementation of any plan is expensive not only in terms of time but also in terms of efforts and money required.
- iii. Rigidity It is always necessary to strictly adhere to the plan in so far as the daily work routine in an enterprise is concerned. Lack of flexibility in plans leads to monotony and boredom.
- iv. Loss of initiative The staff in an enterprise shall perform their duties in the way they are expected to do in the plans. As a result, they are reduced to machines. There is no scope for the display of skills by individuals and this leads to loss of initiative.
- v. Ignorance of subordinates' interests Plans are prepared to attain the organizational goal in the most effective manner. In doing so, often, the interests, preferences, capabilities and attitudes of the employees are ignored. As a result, the subordinates do not give their wholehearted support to the implementation of the plans.
- vi. Complacent attitude There is always a feeling that once the plan is prepared, the target of the enterprise can easily be attained. The success of every plan depends much on the effectiveness with which it is implemented. A plan is only a means to an end and not an end itself.

Elements/instruments/tools of Planning: The following are various elements of planning:

- i. Objectives: are the ends towards which the activities of an organization are directed.
- ii. Strategies: may be defined as relationship or an administrative course of action designed to achieve success in the face of difficulties. Strategy is the basic plan chosen to achieve objectives.
- iii. Policies: A policy is a general guide to thinking and action rather than a specific course of action. It defines the area or limits within which decisions can be made to achieve organizational objectives. According to Koontz and O' Donnell policies are general statements of understanding which guide or channel thinking in decision making of subordinates.

iv. Procedures: A procedure is a chronological sequence of steps to be undertaken to enforce a policy and to attain an objective. It lays down the specific manner in which a particular activity is to be performed. It is a planned sequence of operations for performing repetitive activities uniformly and consistently.

v. Rules: Rules are rigid and definite plans that specify what is to be done or not done in given situations. It is a prescribed guide to conduct or action. No deviation is expected from the rule.

vi. Programs: A programme is a concrete scheme of action designed to accomplish given tasks. It specifies the steps to be taken, resources to be used, time limits for each step and assignments of tasks. Programs help to ensure economy and uniformity in day-to-day operations.

vii. Budgets: A budget is a financial statement of expected results expressed in numerical terms for a definite period in the future. It expresses a plan in premise terms. Budgets serve as means of coordination and control.

viii. Schedules: A schedule specifies time limits within which activities are to be completed. Scheduling is the process of establishing a time sequence for the work to be done. Schedules are essential for avoiding delays and for ensuring continuity of operations.

ix. Project: A project is defined in terms of capital investment, specific objective, inter interdependence of tasks. It is designed and executed as a distinct plan.

Types of Planning Plans can be categorized by their: time frame, breadth/scope, specificity, and frequency of use.

i. On the basis of time frame:-

a) Long-term planning: Long-term planning covers a long period in future E.g. 5, 10 or 15 years. It takes into account all long-term economic, social and technological factors as well as their influence on the long-term objectives of the organization, e.g. Development of new product.

b) Medium – term planning: Also known as intermediate Planning. It focuses on a period between 2 to 5 years; such planning is more detailed and specific than long term planning e.g., plans for purchase of materials, sales etc.

c) Short-term planning: Such planning covers a short period usually one year. It contains a detailed outline of certain specific activities to be completed with a specific time limit, e.g. planning for annual production, sales etc. It may be called activity planning.

ii. On the basis of breadth/scope:-

a) Strategic plans: are those that are organization wide, establish overall objectives, and position an organization in terms of its environment.

b) Operational/Departmental or unit planning: are plans that specify details on how overall objectives are to be achieved. It involves development of specific plans for each department or a division so as to accomplish divisional objectives.

iii. Specificity:

a) Specific plans: are those that are clearly defined and leave no room for interpretation.

b) Directional plans: are flexible plans that set out general guidelines.

iv. Frequency of use

a) Single-use or ad hoc plans: are one-time plan specifically designed to meet the needs of a unique situation. They are of short duration and non-recurring in nature. These plans entail: Programmes, budgets, schedules, projects and methods.

b) Multi use plans or standing plans: Are on-going plans that provide guidance for activities performed repeatedly. They are long-term in nature and represents standing answers to recurring problems. Multi use plans entails: Objectives, strategies, policies, procedures and rules.

Levels of Planning

- Corporate-level: decisions by top managers.
 - Considers on which businesses or markets to be in.
 - Provides a framework for all other planning.
- Business-level: details divisional long-term goals and structure.
 - Identifies how this business meets corporate goals.
 - Shows how the business will compete in market.
- Functional-level: actions taken by managers in departments of manufacturing, marketing, etc.
 - These plans state exactly how business-level strategies are accomplished.

Principles of Planning The most essential guiding principles for planning are:-

- P1. Principle of contribution to objective: The purpose of every plan and all supporting plans is to promote the accomplishment of enterprise objectives.
- P2. Principle of objectives: If objectives are to be meaningful to people, they must be clear, attainable, and verifiable. In other words, objectives must be Systematic, Measurable, Attainable, Reliable and Time bound (SMART).
- P3. Principle of primacy of planning: Planning logically precedes all other managerial functions.
- P4. Principle of efficiency of plans: The efficiency of a plan is measured by the amount it contributes to purpose and objectives offset by the costs required to formulate and operate it and by unsought consequences.
- P5. Principle of planning premises: The more thoroughly individuals charged with planning understand and agree to utilize consistent planning premises, the more coordinated enterprise planning will be.
- P6. Principle of the strategy and policy framework: The more strategies and policies are clearly understood and implemented in practice, the more consistent and effective will be the framework of enterprise plans.
- P7. Principle of the limiting factor: In choosing among alternatives, the more accurately individuals can recognize and allow for factors that are limiting or critical to the attainment

of the desired goal, the more easily and accurately they can select the most favourable alternative.

- P8. The commitment principle: Logical planning should cover a period of time in the future necessary to foresee as well as possible, through a series of actions, the fulfilment of commitments involved in a decision made today.
- P9. Principle of flexibility: Building flexibility into plans will lessen the danger of losses incurred through unexpected events, but the cost of flexibility should be weighed against its advantages.
- P10. Principle of navigational change: Managers should periodically check on events and expectations and redraw plans to maintain a course toward the desired goal.

2.2 Organizing

1. Introduction

Organizing is the process of establishing relationships in terms of responsibility, authority and accountability among key components which are personnel and physical resources for the purpose of achieving organizational objectives.

Organisation is a Greek word 'organon' refers to the 'organic whole' a tool or an instrument. Therefore, Organisation is a noun of the verb to 'organise.' It implies to form into an organic whole, give orderly structure to frame and put into working order, make arrangements for or set up an undertaking involving cooperation.

Therefore, an organisation is a consciously coordinated social entity, with a relatively identifiable boundary that functions on a relatively continuous basis to achieve a common goal or set of goals.

2. Characteristics of an Organisation

- It has a programme of activity
- It has a roster of members (a clear identification of members from non-members)
- A procedure of replacing members
- It is a social system
- It has a set of relationships
- It has specific goals
- People in organisations are bound together in a common network of relations
- Members share the common set of values or norms
- People in organisations should be able to communicate with each other
- Power is unevenly distributed
- Operates the division of labour and coordinate activities of their members
- Organisations are created to achieve a goal or set of goals
- They have hierarchical authority structure
- They have a body of rules and procedures

- They are systems developed by humans to satisfy human needs

3. Categories of organizations

i. Formal VS Informal Organization

a) Formal Organization Formal organisations are mainly established within an institutionalised contexts:

- They have specific form or structure which is determined by authority and it can be shown in a chart.
- There is a prescribed hierarchy of authority.
- Duties and tasks are well defined.
- They are impersonal, governed by rules, orders and procedures.
- It is one and Indivisible and marked by comparative stability.

b) Informal Organization

- It comprises the processes of society, which are unconscious as contrasted with those of formal organisation.
- It has certain attitudes, understandings, customs, habits and institutions.
- It creates the conditions under which formal organisations may arise.
- Indefinite and structure-less Not easily charted.
- Based on personal and social relations amongst people.
- It has its own rules, procedures, codes and standards of conduct For instance, tribal associations in Tanzania.
- Personal feelings, biases and whims are necessary in this type of organisation.

ii. Mechanistic and Organic organization

Mechanistic Model

1. High Specialization
2. Rigid Departmentalization
3. Clear chain of command
4. Narrow spans of controls
5. Centralization
6. High Formalization

Organic Model

1. Cross-functional teams
2. Cross-hierarchical teams
3. Free flow of information

4. Wide spans of controls
5. Decentralization
6. Low Formalization

6.2.1 Organisation Structures

1. Definition Organization structure refers to specification of the jobs to be done within an organization and the ways in which those jobs relate to one another.

3. Determinants of Organizational Structure

- i. Mission: The organization's mission can describe a specific manner in which the firm should manage employees, work flow, etc.
- ii. Strategy: The organization's strategy can determine the hierarchy or shape of the organization chart.
- iii. Size: The larger an organization, the more complex will its organizational structure be.
- iv. Internal Environment: Depending on how the organization reacts within its internal environment can determine the shape and style of its organizational structure.
- v. External Environment: The same holds true for how an organization deals with the external environmental variables that are outside of its control.

Characteristics of Organizational Structure

- Differentiation: Division of labor into specialized tasks and departments.
- Integration: Coordination of different tasks and departments to achieve common goals.
- Hierarchy: Levels of authority and responsibility within the organization.
- Centralization/Decentralization: Distribution of decision-making authority.
- Formalization: The degree to which rules and procedures are documented and enforced.
- Span of Control: Number of subordinates a manager can effectively supervise.
- Chain of Command: The line of authority from top to bottom.

Organization structure An organization's structure is the framework that defines how tasks are divided, resources are deployed, and departments are coordinated. It provides the foundation for effective communication, decision-making, and overall operational efficiency. A well-designed structure aligns with the organization's goals, strategy, and environment, enabling it to achieve its objectives and respond to changes effectively.

Meaning of Organizational Structure Organizational structure refers to the formal arrangement of tasks, responsibilities, and authority within an organization. It defines the relationships between individuals and departments, specifying who reports to whom and how decisions are made. It is the blueprint that outlines how work is organized and coordinated to achieve organizational goals.

Types of Organizational Structures

A. Functional Structure:

- Meaning: Groups employees based on their specialized functions (e.g., marketing, finance, production).
- Features:
 - Specialization and efficiency within functions.
 - Clear lines of authority within functions.
 - Centralized decision-making.
 - Economies of scale within functions.
 - Potential for silos and lack of cross-functional coordination.
- Applicability: Suitable for organizations with stable environments and standardized products or services.
- Examples: Many government ministries (e.g., Ministry of Finance, Ministry of Agriculture), large manufacturing companies (e.g., Tanzania Breweries Limited), and banks (e.g., CRDB Bank) utilize functional structures.

B. Divisional Structure:

- Meaning: Organizes employees into divisions based on products, markets, or geographic regions.
- Features:
 - Decentralized decision-making.
 - Increased responsiveness to market changes.
 - Clear accountability within divisions.
 - Duplication of resources across divisions.
 - Potential for competition between divisions.
- Applicability: Suitable for diversified organizations with multiple products or markets.
- Examples: Multi-product companies like Bakhresa Group, which has divisions for food processing, beverages, and logistics. Telecommunication companies with regional divisions.

C. Project Structure:

- Meaning: Forms temporary teams to work on specific projects, disbanding teams upon project completion.
- Features:
 - Flexibility and adaptability.
 - Focus on project goals.
 - Clear project timelines and budgets.
 - Potential for resource duplication.
 - Challenges in transitioning employees between projects.

- **Applicability:** Suitable for organizations with project-based work, such as construction, consulting, and research.
- **Examples:** Construction companies working on infrastructure projects (e.g., Tanzania National Roads Agency projects), IT companies developing specific software solutions, and consulting firms working on client projects.

D. Committee Structure:

- **Meaning:** Uses committees to make decisions or provide recommendations on specific issues.
- **Features:**
 - Collective decision-making.
 - Diverse perspectives.
 - Time-consuming decision-making.
 - Potential for compromise and lack of clear accountability.
 - Can be standing, or ad-hoc.
- **Applicability:** Suitable for organizations that require input from multiple stakeholders or for complex decision-making.
- **Examples:** University senates, boards of directors for parastatal organizations (e.g., Tanzania Electric Supply Company Limited - TANESCO), and government task forces.

E. Matrix Structure:

- **Meaning:** Combines functional and project structures, with employees reporting to both functional and project managers.
- **Features:**
 - Flexibility and resource sharing.
 - Improved communication and coordination.
 - Dual reporting relationships.
 - Potential for conflict and confusion.
 - Requires strong interpersonal skills.
- **Applicability:** Suitable for organizations with complex projects and dynamic environments.
- **Examples:** Large engineering firms working on complex infrastructure projects, and some large multinational corporations with Tanzanian offices.

F. Network Structure:

- **Meaning:** A structure where a small central organization relies on outside organizations to perform functions such as production, or distribution.
- **Features:**
 - High degree of flexibility.

- Low overhead costs.
- High degree of dependence on other organizations.
- Requires strong communication.
- Can be difficult to control quality.
- Applicability: Companies that focus on design, or marketing, and outsource production.
- Examples: Small start-up companies, and many import and export businesses.

Principles of Organizing

- Principle of Unity of Command: This principle dictates that each employee should receive orders and report to only one direct supervisor. This minimizes confusion, conflicting instructions, and overlapping responsibilities, ensuring clear accountability and streamlined communication. It promotes a more efficient and less stressful work environment.
- Principle of Span of Control: This principle addresses the number of subordinates a manager can effectively supervise. The optimal span of control varies based on factors like task complexity, employee skill levels, and the manager's capabilities. A manageable span ensures adequate supervision and timely decision-making while avoiding micromanagement or neglect.
- Principle of Scalar Chain: This principle establishes a clear, unbroken line of authority from the highest to the lowest levels of the organization. It facilitates effective communication and decision-making, ensuring that information flows smoothly up and down the hierarchy. This chain should be followed in all official communication.
- Principle of Division of Labor: This principle involves breaking down complex tasks into smaller, specialized roles. This specialization increases efficiency, allows employees to develop expertise, and enhances productivity. It enables the organization to leverage individual skills and abilities effectively.
- Principle of Departmentalization: This principle involves grouping related activities into logical departments or units. This facilitates coordination, specialization, and efficient resource allocation. Departments can be formed based on function, product, geography, or customer type, depending on the organization's needs.
- Principle of Delegation: This principle emphasizes the transfer of authority and responsibility from higher to lower levels of management. Effective delegation empowers employees, fosters development, and allows managers to focus on strategic tasks. Delegation must be accompanied by commensurate authority.
- Principle of Coordination: This principle ensures that the activities of different departments and individuals are harmonized to achieve common goals. Coordination involves effective communication, collaboration, and integration of efforts to avoid duplication and conflicts.
- Principle of Flexibility: This principle acknowledges that organizational structures must be adaptable to changing environments. The structure should be designed to accommodate growth, technological advancements, and shifts in market conditions, ensuring the organization remains responsive and agile.

- **Principle of Balance:** This principle advocates for a balanced approach between centralization and decentralization of authority. Centralization provides uniformity and control, while decentralization promotes flexibility and responsiveness. Organizations must find the optimal balance based on their specific needs and context.
- **Principle of Responsibility and Authority:** This principle states that responsibility and authority should be commensurate. When authority is delegated, the corresponding responsibility must also be assigned. This ensures that individuals have the necessary power to fulfill their assigned duties and are held accountable for their performance.

Organization charts Organization charts are visual representations of an organization's structure, illustrating the relationships between different roles, departments, and levels of authority. They provide a clear and concise overview of the organization's hierarchy, communication channels, and reporting relationships. In today's complex organizations, organization charts are essential tools for communication, planning, and management.

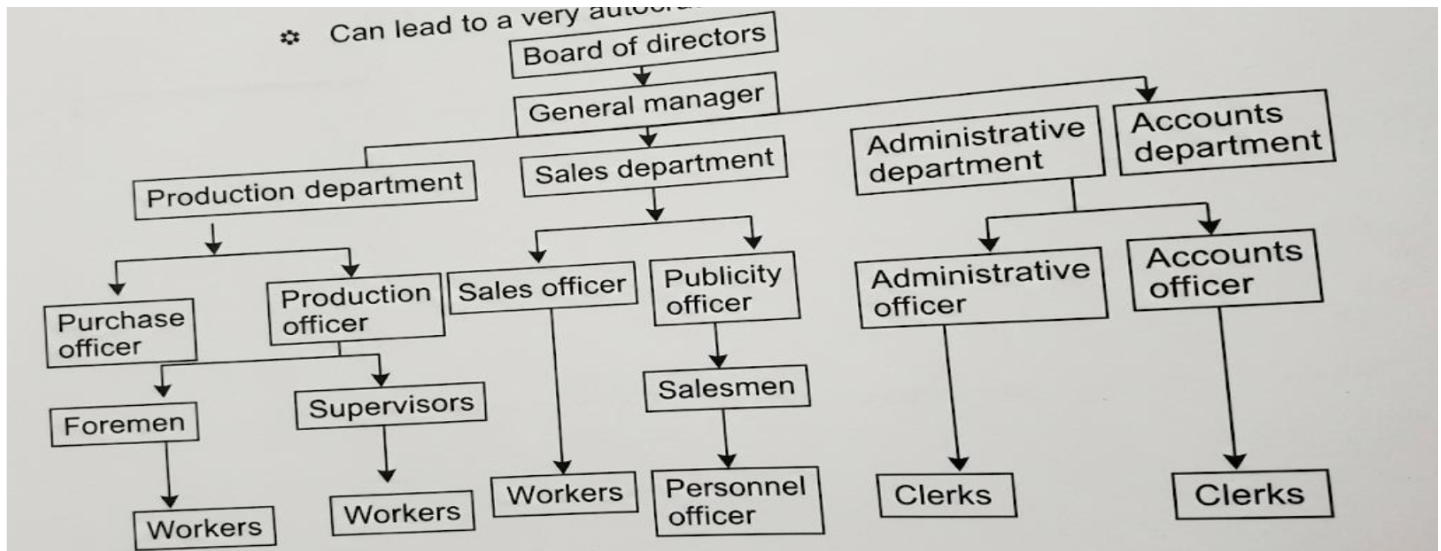
Meaning of Organization Chart An organization chart is a diagram that graphically depicts the formal structure of an organization. It shows the hierarchy of authority, the division of labor, and the reporting relationships among different positions and departments. It serves as a visual representation of how the organization is structured and how its various components are interconnected.

Types and Features of Organization Charts

A. Line Organization Chart:

- **Meaning:** Depicts a simple, direct chain of command from top to bottom, with clear lines of authority and responsibility.
- **Features:**
 - Vertical flow of authority.
 - Clear and direct reporting relationships.
 - Simple and easy to understand.
 - Centralized decision-making.
 - Suitable for small organizations with simple structures.
- **Advantages:**
 - Clear authority and responsibility.
 - Quick decision-making.
 - Simple communication.
- **Disadvantages:**
 - Lack of specialization.
 - Overburdened top management.
 - Limited flexibility.

- Can lead to a very autocratic management style.

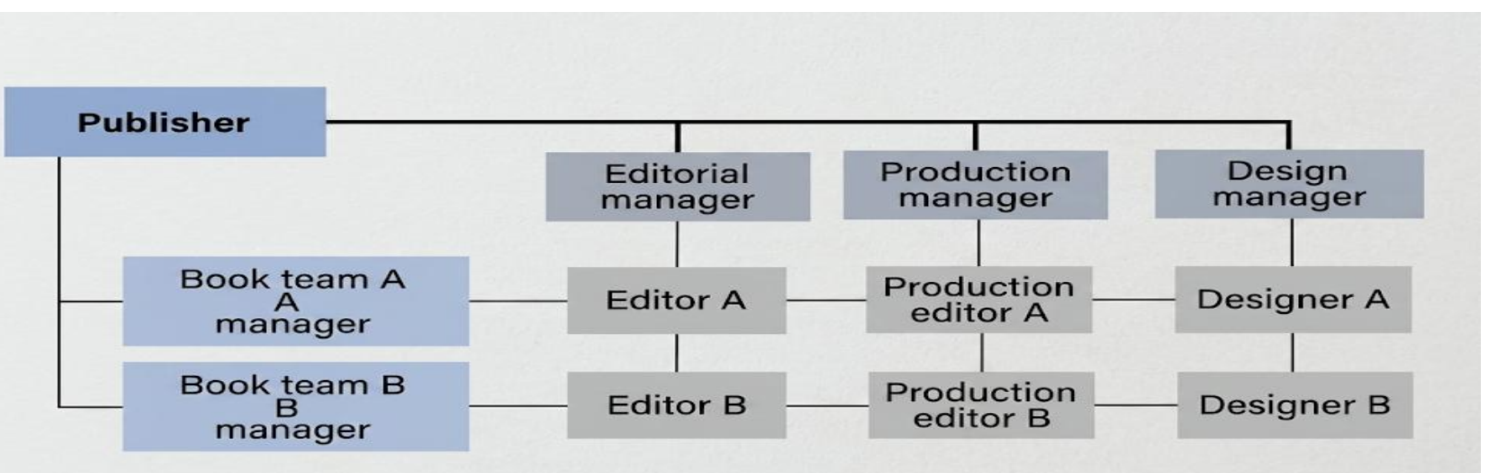


B. Matrix Organization Chart

This structure sets up teams from different departments, thereby creating two or more intersecting lines of authority. Employees in a matrix structure belong to at least two formal groups at the same time—a functional group and a product, program, or project team. They also report to two bosses—one within the functional group and the other within the team. The matrix structure superimposes project-based departments on function-based departments. Project teams bring together specialists from a variety of areas to work together on a single project.

- Meaning: Combines functional and project structures, with employees reporting to both functional and project managers.
- Features:
 - Dual reporting relationships.
 - Horizontal and vertical flow of authority.
 - Flexibility and resource sharing.
 - Improved communication and coordination.
 - Potential for conflict and confusion.
- Advantages:
 - Flexibility and adaptability.
 - Efficient resource utilization.
 - Improved communication.
 - Enhanced cooperation between departments.
- Disadvantages:

- Complex reporting relationships.
- Potential for conflict.
- Requires strong interpersonal skills.
- Dual authority can confuse.



C. Line and Staff Organization Chart:

- Meaning: Combines line authority (direct chain of command) with staff authority (advisory and support functions).
- **Features:**
 - Line authority for operational decisions.
 - Staff authority for advisory and support roles.
 - Specialization and expertise.
 - A clear distinction between line and staff functions.
 - Potential for conflict between line and staff.
- **Advantages:**
 - Specialization and expertise.
 - Relief for line managers.
 - Improved decision-making.
 - Allows for expert advice.
- **Disadvantages:**
 - Potential for conflict between line and staff.
 - Confusion about authority.

- Staff may lack the authority to implement recommendations.
- Can slow down the decision-making process.

Key Considerations

- Organization charts should be regularly updated to reflect changes in the organization's structure.
- They should be used as a tool for communication and planning, not as a rigid representation of reality.
- The choice of organization chart depends on the organization's size, complexity, and environment.
- Modern software, and online tools, allow for the creation of very complex, and easy to update, organizational charts.

Line VS Staff positions

- Line positions are those in which people are involved in producing the main goods or service or make decisions relating to the production of the main business.
- Staff positions are positions in which people make recommendations to others but are not directly involved in the production of the good or service.

Advantages of organization Charts

- A chart maps outlines a decision making authority and these can be clearly seen and appreciated.
- They show inconsistencies and complexities and can lead to their corrections.
- A complete picture of the organization is provided in a way that is simple to understand, and therefore reveal to managers and new personnel how they tie into the entire structure.

Limitations of organization charts:

- Charts only show formal authority relationships.
- They do not show how much authority exists at any point in the structure.
- They present misleading information if badly prepared.
- Individuals may confuse authority relationships with status e.g. showing a lower staff position at the top of the chart while a higher line position is shown a level below.

2. Delegation of Authority

Delegation of authority means not only giving tasks to subordinates but also empowering them to make commitments, use resources, and take whatever actions are necessary to carry out those tasks. Delegation also gives a *responsibility*, or obligation, to employees to carry out assigned tasks satisfactorily and holds them accountable for the proper execution of their assigned work. The

principle of accountability means that employees who accept an assignment and the authority to carry it out are answerable to a superior for the outcome.

The process of delegation involves the following steps/elements:

- Know what you want to delegate
- Match the employee to the task
- Get understanding and acceptance
- Transfer authority and responsibility and create accountability
- Require completed work
- Provide training if required
- Establish adequate controls
- Provide a proper climate for delegating: trust, confidence

Guidelines for effective delegation:

- Carefully choose the person to whom you delegate.
- Define the responsibility; make the assignment clear.
- Agree on performance objectives and standards.
- Agree on a performance timetable.
- Give authority; allow the other person to act independently.
- Show trust in the other person.
- Provide performance support.
- Give performance feedback.
- Recognize and reinforce progress.
- Help when things go wrong.
- Don't forget your accountability for performance results.

3. Principles for Effective Delegation

- i. Functional definition: The functions to be performed by a subordinate must be defined clearly and precisely. The limits of authority of every subordinate should also be clearly defined.
- ii. Unity of command: Every subordinate must at a time receive orders and be accountable to only one superior. No individual can serve more than one boss at the same time.
- iii. Delegation by results expected: Authority should be delegated according to the results expected of subordinates.
- iv. Absoluteness of responsibility: Responsibility can never be delegated. By delegating authority a manager, therefore, becomes responsible for the actions of his subordinates.
- v. Parity of authority and responsibility: Authority and responsibility should be co-extensive and continuous. It is unfair to hold a person responsible for something over which he has no authority.

Responsibility without authority causes frustration, and authority without responsibility results in misuse of power.

vi. Match the employee to the task. Managers should carefully consider the employees to whom they delegate tasks. The individual selected should possess the skills and capabilities needed to complete the task.

vii. Be organized and communicate clearly. The manager must have a clear understanding of what needs to be done, what deadlines exist, and what special skills are required. Furthermore, managers must be capable of communicating their instructions effectively if their subordinates are to perform up to their expectations.

Advantages of Delegation

- Basis of effective functioning: Delegation provides the basis for effective functioning of an organization.
- Reduction in managerial load: Delegation relieves the manager of the need to attend to minor or routine types of duties.
- Benefit of specialized service: Delegation enables the manager to benefit from the specialized knowledge and expertise of persons at lower levels.
- Efficient running of branches: Delegation can provide the key to smooth and efficient running of the various branches of the business at places far and near.
- Aid to employee development: Delegation enables the employees of business to develop their capabilities to undertake new and more challenging jobs.
- Aid to expansion and diversification of business: With its employees fully trained in decision making in various fields, the business can confidently undertake expansion and diversification of its activities.
- **It increases the level of motivation of employees.**
- **It allows for new and innovative ideas from the employees.**
- **It improved decision quality.**
- Time saving: We can achieve 10 to 20 times more through delegation than we can by doing all the work by ourselves.

Disadvantages of Delegation

- Delegation can be easily abused by management assigning the wrong jobs to the wrong people, not looking for feedback or demanding too much of one person.
- The person delegated the task may fail to achieve the goal as quickly or as effectively as was supposed.
- If task is not well-defined, delegation will not succeed.
- Delegation will be unsuccessful if sufficient power is not also given.
- Managers delegate only the boring jobs.

4. Circumstances Necessitating Delegation

A delegation in organizations is necessitated by a number of factors including:

- **Business expansion:** A one man business may not require any form of delegation, but as the volume and complexity of activities increase, there arises the need to delegate.
- *The need for training subordinates:* It may be necessary to familiarize a subordinate with the running of the business; this requires delegation, otherwise in the absence of the superior business operations will stop.
- *Ability of subordinates:* Delegation is readily possible where there are capable subordinates to whom responsibilities and authority can be delegated.
- *Where managers are overloaded:* When higher level managers have large volumes of work and responsibilities they become inefficient. Delegation is meant to attain efficiency by enhancing fair distribution of the workload.

5. Factors That May Cause Failure of Delegation

These are many and are caused by a number of variables. The most common factors are:

- **Overloading the Delegate:** A person who is overloaded cannot be efficient.
- **Lack of clarity of objectives, responsibilities or delegated authority.**
- **Unrealistic expectations and lack of objective standards:** Unrealistic standards are difficult to attain.
- **Failure to monitor progress of the delegate:** This may cause deviations to go unnoticed, or sometimes deviations may be noticed late, hence the cost of remedy could be high. In other words, when a subordinate is not corrected he will assume that he is correct.
- **Unanticipated problems and changes may create problems in delegation.**
- **Bad precedents:** Poor action or inaction from higher authorities over poor or non-performance may lead to poor performance by incumbent delegates.
- **Some superiors are simply not willing to delegate (reluctance to delegate) and when they are forced to so they delegate poorly.**
- **Belief that you are the only person who can do that job right.**
- **Lack of confidence and trust in subordinates.**
- **Low self-confidence.**
- **Fear of being called lazy.**
- **Reluctance to take risks that depend on others.**

6. Why Do Managers Fear to Delegate?

- *Lack of trust and time to train subordinates.*
- *Feeling that subordinates do not have enough experience, and therefore will not perform as well as the boss.*

- *Fear that subordinates will outshine the boss* and the managers' desire to hold on to their power.
- ***Fear of loss of control of the task.***
- ***Some managers do not know the advantages of delegation.***
- Also, they fear that, they will not be able to reward their subordinates sufficiently.
- Other managers are unable to train subordinates effectively and have no knowledge on how to delegate.
- Managers may enjoy doing the tasks that the subordinates could do.
- Subordinates may resist delegation because of fear of failure or fear of risk taking.

7. Span of Control

Span of control refers to the number of immediate subordinate who report to a manager where; a wide span of control means large number of employees reporting and a narrow span of control means a small number employees reporting.

Factors which influence the span of management

- **Training of Subordinates:** The better training of subordinates increases the superior subordinate's relationship. Well trained subordinates require less time of their managers also they have less contact with their managers.
- **Clarity of Delegation of Authority:** training enable managers to reduce the frequency of time consumed in contacting subordinates but this is possible only if delegation of authority will be clear.
- **Clarity of Plans:** If plans are well defined, they are workable, delegation of authority toward plan is clear, and the subordinate understands what is expected of them; then little of a supervisor time will be required. On the other hand, if plan cannot be drawn accurately and subordinates do much of their own planning, they must require considerable guidance.
- **Use of Objective Standard:** A manager must find out, either by personal observation or through the use of objective standards, whether subordinates are following plans. Obviously, good objective standards enable managers to avoid consuming much time in dealing with subordinates.
- **Communication Techniques:** Communication techniques also influence the span of management. If every plan, instruction, order or direction has to be communicated by personal contact, then manager's time will be heavily occupied. An ability to communicate and instructions clearly and concisely also tends to increase a managers span.
- **Amount of Personal Contact needed:** in many instances, face to face meetings are necessary. An executive may give information's by meeting to subordinates and by discuss problems with them. Some problems can be handled only in face to face meeting so the best way of communicating problems, instructor, and subordinates is to spend time in personal contact which leads to narrow span.
- **Competency of Managers:** A manager who is competent and well trained can effectively supervise more people than who is not.

- **Maturity and Motivation of Subordinates:** The more mature subordinates may delegate more authority, thus widening the span.

6.2.4 Departmentation

Departmentation is the process of grouping activities and people onto department make it possible to run an organization. It is the biases on which work or individuals are grouped into manageable units/grouping specialized jobs into meaningful units. A department must contain activities which together contribute toward goals achievement. Objectives of a department must be coordinated with the overall activities of a firm.

Types of Departmentation

i. Functional Departmentation:

It is grouping activities on the basis of function of an enterprise. The basic enterprise functions are production, selling, marketing, and financing. Under functional, departmentation each major or basic function is organized as a separate department.

ii. Product Departmentation:

Departmentalization by product assembles all functions needed to make and market a particular product under one executive and one separate department. Product departmentation can be organised as home accessories, appliances woman's clothing, men's clothing and children clothing.

iii. Territorial Departmentation

Territorial departmentation are adopted when organizations activities are physically dispersed in different locations. Useful where business is on international & national level.

iv. Customer and Market Departmentation

This occurs when departments are made to cater different kind of customers. It can take the form of large or small customers, domestic or industrial customers, young and old customers etc.

v. Process or Equipment Departmentation

This type of departmentation involves gathering together all work using a particular piece of equipment or a specific process i.e. activities are grouped on the basis of production processes or equipment involved.

2.3 Directing

Directing is a basic management function that includes building an effective work climate and creating opportunity for motivation, supervising, scheduling, and disciplining. Directing is concerned with instructing, guiding, supervising and inspiring people in the organisation to achieve its objectives. It is telling people what to do and seeing that they do it.

Importance of Directing

- It guides and helps the subordinates to complete the given task properly and as per schedule.
- It is through directing that managers motivate subordinates to complete the work satisfactorily.

- Directing involves supervision which is essential to make sure that work is performed according to the orders and instructions.
- It helps in maintaining discipline and rewarding those who do well.
- Directing involves supervision, which is essential to make sure that work is performed according to the orders and instructions.
- In order to co-ordinate the activities carried out in different parts and to ensure that they are performed well, directing is important.

Sub-Functions of Directing

A. Motivation

B. Leadership

C. Communication

Motivation

The term motivation is derived from the Latin word "movere" meaning "to move." Therefore it is a *process by which people's efforts are energized, directed and sustained towards attaining the goal.* Therefore, it is a psychological process that causes the arousal, direction, and persistence of voluntary actions that are goal directed.

Motivation is the term used to describe the forces within the individual that account for the level, direction, and persistence of effort toward attaining a goal. It is an internal state that energizes, directs, and sustains behaviour.

Motivation is a willingness to expend energy to achieve a goal or reward. It is a force that activates dormant energies and sets in motion the action of the people.

Importance of Motivation

- With proper motivation there can be maximum utilisation of the factors of production like men, money, material etc.;
- If employees are motivated it will reduce employee turnover and absenteeism;
- Motivation fosters a sense of belongingness among the employees towards the organisation and also improves their morale;
- Motivation helps in reducing the number of complaints and grievances. The wastage and accident rate also come down; and
- With proper motivational techniques management can attract competent and best quality employees.
- Motivation helps employees to achieve their personal goals.
- If employees are motivated, they will have job satisfaction.
- Motivation will help in self-development of employees.
- The more motivated the employees are, the more empowered the team is.
- Motivation will lead to an optimistic and challenging attitude at work place.

Characteristics/Features of motivation:

- Motivation is an act of managers.
- Motivation is a continuous process.
- Motivation can be positive or negative.
- Motivation is goal oriented.
- Motivation is complex in nature.
- Motivation is an art.
- Motivation is system-oriented.
- Motivation is different from job satisfaction.

Motivation Theories

The concept of motivation is generally looked at through theories which point out which particular approach a superior will use to motivate his subordinates. These theories can be classified as follows:

Classification of Motivation Theories

A. Content/Need/Dispositional Motivation Theories i.

- i. Hierarchy of needs theory = Abraham Maslow
- ii. Acquired Need Theory = David McClelland
- iii. Two-Factor Theory of Motivation = Frederick Herzberg
- iv. ERG theory of motivation = Clayton Alderfer

Concerned with factors that arouses, start or initiate motivated behaviour by explaining and predicting behaviour based on employee need motivation. The Content perspectives try to answer the question "What factor or factors motivate people?"

1. Hierarchy of needs theory = Abraham Maslow's

According to Maslow's hierarchy of needs, every individual strives to satisfy human needs. These needs are biological which consist of: *physiological, safety, social, esteem and self-actualization needs*. The lower needs must be met before the higher needs can be achieved.

- Physiological needs—air, water, food, sex, shelter and sleep.
- Security needs—freedom from danger of physical & psychological harm.

Maslow's Hierarchy of Needs (Continued)

- Social needs—receive love and affection from others, share with others, associate with others & cooperate with others to overcome feelings of loneliness and alienation.
- Esteem needs—to be respected by others, achieve, excel & get good results.
- Self-actualization—the need for self-fulfilment & attainment of ones potentials.

2. Acquired Need Theory = David McClelland's

David McClelland, an American psychological theorist claims that an individual's basic human needs are acquired over time, shaped by life experiences, and divided into three categories: need for achievement, need for affiliation, and need for power. McClelland Theory of Needs is also referred to as the three need theory or the Learned Needs Theory i.e..

- Need for Achievement—the need to excel at the tasks they are performing.
- Need for Affiliation — the need to establish and maintain warm and friendly relationships with other people.
- Need for power—the need to control things, especially other people.

People with Strong need for achievement

- Willing to take calculated risks.
- Set moderate achievement goals.
- Prefer to set performance standards for themselves.
- Prefer non-routine tasks to routine assignments.
- Welcome feedback about how well they are doing.
- Want immediate and specific feedback.
- Preoccupied with work.
- Assume personal responsibility for getting things done Successful, but not top management.

People with Strong Need for Affiliation

- Focuses on "establishing, maintaining, and restoring positive affective relations with others".
- Want close, warm interpersonal relationships.
- Seek the approval of others, especially those about whom they care.
- Like other people, want other people to like them, and want to be in the company of others.
- Need for human companionship.
- Genuine concern for others.

People with Strong Need for Power

- Focuses on "controlling the means of influencing the behaviour of another person".
- Have strong effects on other people.
- Actively searches for means of influencing others.
- Desire to control one's environment.
- Enjoy being in charge of others.
- Desire to control other persons, to influence their behaviour, or to be responsible for other people.
- Has an impact on people and events.

- Brings public recognition and attention.

3. Two-Factor Theory of Motivation = Frederick Herzberg's

According to Herzberg, People's satisfaction and dissatisfaction are influenced by independent sets of factors—motivation factors and hygiene factors. This theory assumes that, job satisfaction and job dissatisfaction are on two distinct continuum extremes:

- Motivational/Intrinsic factors factors/satisfiers/motivators, (work content) are on a continuum that ranges from satisfaction to no satisfaction.
- Hygiene factors/ Extrinsic factors /dissatisfiers (work environment) are on a separate continuum that ranges from dissatisfaction to no dissatisfaction.

Herzberg's Two-Factor Theory Visual Flow:

- Dissatisfaction and demotivation $\rightarrow$ No satisfaction (Extrinsic/Hygiene Factors).
- Not dissatisfied but not motivated.
- Positive satisfaction and motivation $\rightarrow$ Satisfaction (Intrinsic/Motivational Factors).

Extrinsic/Hygiene Factors:

Company policies, Quality of supervision, Relations with others, Personal life, Rate of pay, Job security, Working conditions etc..

Intrinsic/Motivational Factors:

Achievement, Career advancement, Personal growth, Job interest, Recognition, Responsibility, Challenging job etc..

According to Herzberg, these two groups of Extrinsic and Intrinsic Factors are not necessary opposite with each other, as *the opposite of satisfaction are not dissatisfaction, but rather no satisfaction*. Similarly, *the opposite of dissatisfaction are not satisfaction, but no dissatisfaction*.

Assumptions

- Abundant hygiene do not motivate workers, they only prevent dissatisfaction.
- Enrich jobs to provide motivating, challenging work and high satisfaction.
- Ensuring that the hygiene factors are not deficient and not blocking motivation.
- Providing employees the opportunity to experience increase motivational factors through the use of job enrichment and the redesign of jobs.
- Pay and security must be appropriate.
- Working conditions must be safe.
- Technical supervision must be acceptable, and so on.

4. ERG theory of motivation = Clayton Alderfer

This theory is similar to the Maslow's theory because it also deals with human needs. However, the theory compresses Maslow's five need categories into three: existence needs, relatedness needs, growth needs.

Relationship Between Maslow Needs and ERG Needs:

- Growth Needs: Self Actualization Needs, Esteem Needs.
- Relatedness Needs: Social Needs.
- Existence Needs: Safety Needs, Physiological Needs.

How to Satisfying Existence, Relatedness, and Growth Needs:

- a) Growth Opportunities: Challenging Job, Creativity, Participation, Responsibility, Interesting Work, Achievement, Organizational Advancement, Autonomy.
- b) Relatedness Opportunities: Interpersonal Security, Friendship, Merit Pay, Social Recognition, Work Teams, Quality Supervision, Social Events, Athletic Teams.
- c) Existence Opportunities: Heat, Lighting, Base Salary, Insurance, Retirement, Air Conditioning, Rest Rooms, Cafeteria, Job Security, Health Programs, Clean Air, Drinking Water, Safe Conditions, Time Off.

Four components of this theory:

- i. Satisfaction progression—moving to higher-order needs as lower-order needs are satisfied.
- ii. Frustration—failure to satisfy a need.
- iii. Frustration regression—reverting to a previously satisfied need after failing to satisfy another need.
- iv. Aspiration—satisfaction of the growth need increases its importance and the desire for more growth.

B. Cognitive/Process Theories of Human Motivation

- i. John Stacy Adams's - Equity Theory.
- ii. Victor Vroom's - Expectancy Theory.
- iii. Edwin Locke's Goal setting theory.

Process theories try to explain and describe the process of how behaviour is energized, directed, sustained, and stopped. These theories try to define the major variables that are important for explaining motivated people. They are also concerned not only with factors that arouse behaviour, but also with the process, direction, or choice of behavioural patterns.

1. John Stacy Adams's - Equity Theory

Adam's equity theory is based on the assumption that employees' motivation to work is influenced by their perception of the degree of equity/justice in the organization. However, Individuals compare their job inputs and outcomes with those of others and then respond to eliminate any inequities.

The theory assumes that people's motivation in an organization is based on the desire to be treated equally and fairly. When the output/input ratio is viewed as equivalent then equity is perceived as attained. When employees feel there is inequality, they can do many things to reduce their inequity and seek justice.

To reduce inequity, employee may....:

- Reduce inputs (reduce effort).
- Try to influence manager to increase outcomes (complain, file grievance, etc.).
- Try to influence co-workers' inputs (criticize others outcomes or inputs).
- Withdraw emotionally - or physically (engage in absenteeism, tardiness, or quit).
- Alter inputs of other person.
- Alter outcomes of other person.
- Alter inputs of the referent other.
- Alter outcomes of the referent other.
- Distort perceptions of inputs or outcomes.
- Choose a different referent other.
- Leave the situation.
- Change own inputs.
- Change own outcomes.
- Alter perceptions of self.
- Alter perceptions of other.

2. Victor Vroom's - Expectancy Theory

Expectancy theory is a process theory of motivation, which describes motivation as a function of individuals' perceptions they have about their surroundings and the expectations they form based on these perceptions.

People's motivation toward doing anything will be determined by the value they place on the outcome of their effort (whether positive or negative) multiplied by the confidence they have that their efforts will materially aid in achieving a goal. This implies that, an individual's perceived view of an outcome will determine the level of motivation.

This may be stated as:

Force/motivation = Expectancy * Instrumentality * Valence

Where:

- Force = Is the strength of a person's motivation.
- Expectancy = belief that working hard will result in desired level of performance.
- Instrumentality = the perceived probability that performance will lead to rewards.
- Valence = the value a person places on the outcome of a particular behaviour as attractive or unattractive.

Key features of expectancy theory:

- An individual tends to act in a certain way, in the expectation that the act will be followed by given outcome, and according to the attractiveness of that outcome to the individual.

- Emphasizes self interest in the alignment of rewards with employee wants.
- Addresses why employees view certain outcomes (rewards) as attractive or unattractive.
- Emphasizes the connections among expected behaviours, rewards, and organizational goals.
- It is concerned with individual perceptions and the provision of feedback.

3. Edwin Locke's Goal setting theory

Goal Setting Theory holds that individual develop a set of conscious goals that are the primate focus of their behaviour. Individuals make choices among behavioural alternatives based on the belief that these behaviours will be instrumental in achieving these goals. Goal setting theory posits that certain perceived characteristics of individual goals affect the individual's motivation to achieve them.

Goals motivate the individual by...:

- Directing one's attention.
- Regulating one's effort.
- Increasing one's persistence.
- Goals foster the development and application of task strategies and action plans.
- Hard goals result in a higher level of individual performance than do easy goals.
- Specific hard goals result in higher levels of performance than generalized goals.
- High performance will be achieved only if the employee accepted the goal as his/her target.
- Feedback leads to higher performance.
- An individual is committed to the goal when he believes he can achieve the goal, and wants to achieve it.

Key issues and principles in the goal-setting process:

- Set specific goals (Goals can be determined either by superior or individuals themselves).
- Set challenging goals but at a realistic level.
- Build goal acceptance and commitment.
- Clarify goal priorities.
- Provide feedback on goal accomplishment.
- Reward goal accomplishment.

Weakness:

- First, setting goals for specific outcomes may hamper employee performance if employees lack skills and abilities to reach the goals.
- Second, goal setting may motivate employees to focus on a goal and ignore the need to respond to new challenges.

iii. Third, goals focus employee attention on the activities that are measured, which may lead to sacrificing other important elements of performance. When goals are set for production numbers, quality may suffer. As a result, it is important to set goals touching on all critical aspects of performance.

iv. Finally, aggressive pursuit of goals may lead to unethical behaviours. Particularly when employees are rewarded for goal accomplishment but there are no rewards whatsoever for coming very close to reaching the goal, employees may be tempted to cheat.

Motivational Techniques

How can managers use motivational techniques in achieving organizational objectives? Motivation is so complex and individualized that there can be no single best answer; some of the major motivational techniques are:-

i. Money (Pay):

Money can never be looked as a motivator. An employee needs money to live. The size of income will affect his or her standard of living. The employee is therefore concerned that:

- he should earn enough pay AND
- His pay should be fair in comparison with the pay of others inside and outside the organization.

ii. Participation:

Participation is involving workers in the goal-setting and decision making processes. It is a way of gaining commitment by the workers to some proposal on the ground that, if you have been involved in discussing it, you will be more interested in its success. Participation is also a means of recognition. It appeals to the need for affiliation, and acceptance. Above all, it gives people a sense of accomplishment. Participation will motivate the subordinates to be more efficient, more conscious of the organization, and be ready to take appropriate control actions when necessary.

iii. Job design:

There are different aspects involved in job design:

- Job enrichment: This is the increase of more responsibility and autonomy plus control to the employee. A job may be enriched by giving it greater variety, allows the employee in the job greater freedom to decide for himself how the job should be done, and encouraging employee to participate in the planning of decision for their superiors.
- Job rotation: Is an attempt to move employees from one job to another on a regular basis in order to give them greater variety in their jobs and the opportunity to learn new skills. It is meant to give the employee a new interest (break monotony), challenges (to increase versatility), and bring in fresh person to the job being vacated.
- Job enlargement: Is the act of adding more tasks and challenging responsibilities to a job in order to increase its size. Job enlargement increases similar tasks to the job and is for this reason also known as horizontal loading. It is suitable for jobs whose task content is inadequate as will have the effect of lengthening the time cycle of repeated operations, and by reducing the number of repetitions of the same work, and finally reduce the dullness of the job.

- Job simplification: This involves reducing the number of tasks in a job so as to make it simpler and affordable to the employee. In this case, the simplified job becomes lighter to the employee, and thus efficiency increases as a result of greater specialization.
- Job sharing: This simply a job shared by two or more employees/people.

A motivator is one who can understand an overall goal and inspire others to make a personal commitment to this goal.

5 ways to provide a motivating environment:

- Participation: involvement in decisions that affect the team.
- Environment: climate for success, creativity.
- Recognition: giving credit, praise, rewards.
- Knowledge: having it, communicating it.
- Style: use appropriate style for each situation:
 - coaching, supporting, delegating, directing.

6.3.2 LEADERSHIP

Leadership is a process by which a person influences others to accomplish an objective and directs the organization in a way that makes it more cohesive and coherent.

Leadership is a process whereby an individual influences a group of individuals to achieve a common goal (Northouse, 2007, p3).

Leadership is inspiring others to pursue your vision within the parameters you set, to the extent that it becomes a shared effort, a shared vision, and a shared success (Zeitchik, 2012).

Leadership is a process of social influence, which maximizes the efforts of others, towards the achievement of a goal (Kruse, 2013).

Note that all the definitions have a couple of processes in common.

While leadership is learned, a leader's skills and knowledge can be influenced by his or hers attributes or traits, such as beliefs, values, ethics, and character.

"Leadership is the capacity to translate vision into reality." - Warren G. Bennis

Leadership can be defined as the process of influencing the behaviour of others towards the accomplishment of goals in a given situation. The distinction between leader and leadership is that, *a leader is an individual while leadership is the function or activity this individual performs.*

The importance of leadership:

- Good leadership motivate employees.
- Leader develops teamwork.
- Better utilization of manpower.
- Creating confidence to followers.
- Directing group activities.

- Building morale.
- Maintaining discipline.

Relationship between leadership and power

Power is the ability that a person has to make things done through other people. Leaders get things done through power. It is the formal mandate that accompanies a particular job i.e. is the right to give orders or directives and obtain compliance.

LEADERSHIP SKILLS

Skills are the knowledge and abilities, or competencies, of leaders.

- **INTUITION:** involves the ability to scan the situation, anticipating changes, taking calculated risks and building trust. These skills can be acquired through training and career orientation.
- **EMPOWERMENT:** involves the ability and willingness to share the power with subordinates e.g. involve subordinates in setting objectives and planning, hence resulting in better understanding and commitment.
- **SELF UNDERSTANDING SKILLS:** This is the ability to recognize personal strengths and weaknesses so as to employ strength effectively for better results and bridge for hiring better skills to fill the gaps in the leader's knowledge or skills.
- **VISION:** involves the ability to build a scenario for a better situation and how to achieve it. Vision is very essential in policy making and planning and has significance influence on the leader's evaluation of performance and attitude towards results.
- **VALUE CONGRUENCE:** involves understanding and knowing the organizations guiding beliefs and subordinate values and reconciling the two.

Leadership Theories

Some of the common theories which are:

- i. Great Man Theory & Trait Theory
- ii. Behavioural theories

1. The Great Man Theory

The Great Man Theory hypothesizes that true leaders are born not made. At first, leaders were thought to be born and not made "this so-called "great person". The Great Man theory of leadership implies that, some individuals are endowed with great characteristics and heroic abilities that allow them to emerge out of any situation or period of history to become leaders when needed either through charisma, intelligence, wisdom or some other parameter. This may include members of royalty, high ranking military officers and industry heads. This theory reinforces the concept of the leader as a person endowed with unique qualities that capture the imagination of the masses.

2. Traits Theories

The Traits Theory which supports *The Great Man Theory* postulates that, personal characteristics (e.g. personality traits, cognitive skills, interpersonal skills) determine an individual's potential for

leadership roles. Thus, according to the Traits Theory, leadership is something intrinsic to the individual.

This theory argues that, leaders share a number of common personality traits and characteristics, and that leadership emerges from these traits. It promotes the idea that leadership is an innate, inborn quality that a leader either have or don't have i.e. some people are natural leaders and are endowed with certain traits not possessed by other individuals.

These theories focus on the qualities required for effective leader. It is based on the assumption that certain physical, social, and personal characteristics are inherent in leaders. The presence or absence of these characteristics distinguishes leader from non - leaders.

Characteristics that the majority of effective leaders possess:

- Drive: - Leaders are ambitious and take initiative.
- Motivation (intrinsic): - Leaders want to lead and are willing to take charge.
- Honesty and integrity: - Leaders are truthful and do what they say they will do.
- Self-confidence:- Leaders are assertive, decisive, emotionally stable and enjoy taking risks, admit mistakes, foster trust and commitment to Vision.
- Desire to excel, acceptance of responsibility, result oriented, full of initiatives.
- Social characteristics: Charming, tactful, popular, cooperative.
- Social background: leaders are educated at the right schools, socially prominent and accepted.
- Cognitive ability: - Leaders are intelligent, perceptive, and conceptually skilled, but are not necessarily geniuses. They show analytical ability, good judgment, and the capacity to think strategically.
- Business knowledge: - Leaders tend to have technical expertise in their businesses (entrepreneurs).
- Personality:- leaders are adaptable, aggressive, dominant, self-oriented.

Limitation of traits theory:

Although certain traits are helpful, these attributes provide no guarantees that a person possessing them is an effective leader.

- There is no universal list of traits of successful leaders. therefore; very difficult to indicate what mix of traits is necessary to make an Effective leader.
- Individuals who have never achieved leadership also possess some of the same traits as successful leader poses.
- Researchers simply provide the list of qualities. They fail to give the scale to measure the qualities.
- It is not clear about then level of score a person must achieve a given trait to make him effective.
- Are such characteristics inherently gender biased?

3. Behavioural theories/Models

These look at leadership as an aspect of behaviour. This implies that, leaders can be trained based on the way of doing things. Factors Affecting leadership Styles:

- Risk - decision making and change initiatives based on degree of risk involved.
- Type of business – creative business or supply driven?
- How important change is – change for change's sake?
- Organizational culture – may be long embedded and difficult to change.
- Nature of the task – needing cooperation? Direction? Structure?

The following is different types of leadership style:

A. Styles based on the use of authority:

This is connected to how leaders use their authority. In this case, 3 basic styles are identified, namely:

i. Autocratic leadership style:

Make decisions without consulting their teams. This is considered appropriate when decisions genuinely need to be taken quickly, when there's no need for input, and when team agreement isn't necessary for a successful outcome.

The main features of this style are:

- Leader makes decisions without reference to anyone else.
- High degree of dependency on the leader.
- Can create de-motivation and alienation of staff
- May be valuable in some types of business where decisions need to be made quickly and decisively

ii. Democratic or Participative style:

Allow the team to provide input before making a decision, although the degree of input can vary from leader to leader. This type of style is important when team agreement matters but it can be quite difficult to manage when there are lots of different perspectives and ideas. The leader sees his/her jobs as encouraging the followers to take part in the setting of goals and to contribute ideas and suggestions.

The main features are:-

- Encourages decision making from different perspectives
- Consultative: process of consultation before decisions are taken
- Persuasive: leader takes decision and seeks to persuade others that the decision is correct

Advantages

- May help motivation and involvement
- Workers feel ownership of the firm and its ideas

- Improves the sharing of ideas and experiences within the business
- Can delay decision making

The advantages of democratic leadership

- The subordinates are motivated by participation in decision – making process.
 - This will also increase job satisfaction
- Absence of leader does not affect output
- Labour absenteeism and turn – over will be minimum
- The quality of decision is improved
- The leader multiplies his abilities through the contribution of his followers

iii. Laissez faire style (Free reign style)

Laissez-faire leaders don't interfere with their subordinates; they allow the team to make many of the decisions. Typically this happens when the team is highly capable and motivated, and it doesn't need close monitoring or supervision. In this case, the leader makes very little use of his power at all. The leader considers himself as a facilitator, providing the necessary information and acting as a contact person to the various operations of the subordinates.

The main features of this style are:-

- the leadership responsibilities are shared by all
- Can be very useful in businesses where creative ideas are important
- Can be highly motivational, as people have control over their working life
- Can make coordination and decision making time-consuming
- It is lacking overall direction
- Relies on good team work
- Relies on good interpersonal relations

B. Ashridge Model style

Tells (autocratic) - the manager makes all the decisions and issues instructions which must be obeyed without question.

Strengths:

- Quick decisions can be made when required
- The most efficient type of leadership for highly-programmed work.

Weaknesses:

- Communications are one-way, neglecting feedback and potential for upward communication or team member input.
- Does not encourage initiative or commitment from subordinates, merely compliance.

Sells (persuasive) - the manager still makes all the decisions, but believes that team members must be motivated to accept them in order to carry them out properly.

Strengths:

- Team members understand the reason for decisions.
- Team members may be more committed.
- Team members may be able to function slightly better in the absence of instruction.

Weaknesses:

- Communications are still largely one-way.
- Team members are not necessarily motivated to accept the decision.
- It still doesn't encourage initiative or commitment.

Consults (participative) - the manager confers with the team and takes their views into account, although still retains the final say.

Strengths:

- Involves team members in decisions, encouraging motivation through greater interest and involvement.
- Consensus may be reached, enhancing the acceptability of the decision to team members.
- Encourages upward communication.

Weaknesses:

- May take longer to reach decisions (especially if consensus is sought).
- Team member input may not enhance the quality of the decision.
- Consultation can be a facade for a basic 'sells' style.

Joins (democratic) - the leader and the team members make the decision together on the basis of consensus.

Strengths:

- Can provide high motivation and commitment from team members.
- Empowers a team member to take the initiative (e.g. in responding flexibly to customer demands and problems).
- Shares other advantages of the 'consults' style (especially where team members can add value).

Weaknesses:

- May undermine the authority of the manager.
- May further lengthen the decision-making process.
- May reduce the quality of the decision because of the politics of decision making

C. Blake and Mouton's Managerial Grid Model

The Managerial Grid developed by Robert Blake and Jane Mouton focuses on task (production) and employee (people) orientations of managers, as well as combinations of concerns between the two extremes

This model identifies five leadership styles that relate the strength of two basic elements of managerial behaviours i.e.

a) Concern for production: refers to the attitude of a leaders toward a wide variety of things, such as the quality of policy decisions, procedures and processes, creativeness of research, quality of service, work efficiency, and volume of output.

b) Concern for People: This is likewise interpreted in a broad way to include such elements as the degree of personal commitment toward goal achievement, maintenance of the self-esteem of workers, placement of responsibility on the basis of trust rather than obedience, provision of good working conditions and maintenance of satisfying interpersonal relations.

Communication styles

- 1,1 Impoverished Management/ Laissez faire styles
- 1,9 Country Club Management
- 9,1 Authority-Compliance/ Task cantered,
- 5,5 Middle of the Road Management
- 9,9 Team Management/ Integrator

i. The impoverished style/ Laissez faire styles, (1, 1), is characterized by low concern for both people and production; its primary objective is for managers to stay out of trouble. Managers concern themselves very little with either people or production and have minimum involvement in their jobs

ii. The country club style, (1, 9), is distinguished by high concern for people and a low concern for production; its primary objective is to create a secure and comfortable atmosphere where managers trust that subordinates will respond positively. People are encouraged and supported and their mistakes are overlooked because they are doing the best they can.

iii. The authoritarian style/Task cantered, (9, 1), is identified by high concern for production and low concern for people; its primary objective is to achieve the organization's goals, and employee needs are not relevant in this process. Autocratic task managers, who are concerned only with developing an efficient operation, who have little or no concern for people.

iv. The middle-of-the-road style, (5, 5), maintains a balance between workers' needs and the organization's productivity goals; its primary objective is to maintain employee morale at a level sufficient to get the organization's work done. This is generally a compromise situation. It sticks to rules, procedures, and aims to producing as much as possible without upsetting people.

v. The team style/ Integrator, (9, 9), is characterized by high concern for people and production; its primary objective is to establish cohesion and foster a feeling of commitment among workers. A manager gains high productivity through gaining commitment from his or her staff. The manager does not accept that there is any incompatibility between the two concerns and attempts to integrate people around production.

NOTE:

The managerial grid is a useful device for identifying and classifying managerial styles, but it does not tell us WHY a manager falls into one part or another of the grid. To determine the reason, one has to look at underlying causes, such as the personality characteristics of the leader or the followers, the ability and training of managers, the enterprise environment, and other situational factors that influence how leaders and followers act.

2.4 Controlling

Meaning

Controlling is the process of measuring progress toward planned performance and applying corrective measures to ensure that performance is in line with managers' objectives. It involves setting standards, measuring results, and taking corrective actions.

Management control systems consist of *all organization structures, processes and subsystems* designed to elicit behaviour that achieves the strategic objectives of an organization at the highest level of performance with the least amount of unintended consequences and risk to the organization.

Types of Controls:

i. Input Controls

Input control involves capturing and assembling elements that enter the system to be processed. These are: People, Money, Material, Land, Facilities, Energy, Physical assets of the company like machinery, equipment or plant and Information. The combination of input differs between firms and is determined by the output, but all are used in the initial step in managing operations.

ii. Process Controls

Controls that try to specify how tasks are to be accomplished represent use of experience to prevent recurring problems

iii. Output Controls

Controls that focus on desired targets and allow managers to use their own methods for reaching these targets.

- Steps in developing output controls:
 - Developing targets or standards
 - Measuring results against targets
 - Taking corrective action
 - Part of a "management by exception" approach
 - Promotes flexibility as only goals are defined; methods still open to creativity
- Steps in the Control Process

Strategies for Achieving Organizational Control

Three broad strategies for achieving organizational control are:

1) Bureaucratic Control

2) Market Control, and

3) Clan Control

1) BUREAUCRATIC CONTROL SYSTEMS

Bureaucratic (or formal) control systems are designed to measure progress toward planned performance and, if necessary, to apply corrective measures to ensure that performance is in line with managers' objectives. Control systems detect and correct significant variations, or discrepancies, in the results obtained from planned activities. It is the use of hierarchy of authority, rules, policies, written documentation, reward systems, and other formal mechanisms to influence employee behaviour and assess performance. Bureaucratic control can be used when behaviour can be controlled with market or price mechanisms

Approaches to Bureaucratic Control

The three approaches to bureaucratic control are: - feed forward, concurrent, and feedback.

a) Feed forward Control (preliminary control),

It is a proactive approach to the control system which takes place before operations begin and includes policies, rules, and procedures designed to ensure that planned activities are carried out properly. This type of control ensures that:

- i. Objectives are clear
- ii. Proper directions are established
- iii. Right resources are available

Examples of such controls include *inspection of raw materials and proper selection and training of employees*. It is future oriented and its aim is to prevent problems before they arise instead of waiting for results

b) Concurrent Control

(Sometimes called screening controls) It is the control process used while plans are being carried out/while an activity is taking place including *directing, monitoring, and fine-tuning of activities as they are performed*. It is the heart of any control system which takes place while plans are carried out. For example, in factories, materials must be available when and where needed, and breakdowns in the production process must be repaired immediately.

c) Feedback Control

Measure activities that have already been completed, thus corrections take place after performance is over. It is the control that focuses on the use of information about previous results to correct deviations from the acceptable standard. Feedback control implies that performance data were gathered and analyzed and the results returned to someone (or something) in the process to make corrections.

1 – (A) Bureaucratic Control by Standards

There are two types of standards:

- Output Standards - measures performance results in terms of quantity, quality, cost, or time.

- Input Standards - measures work efforts that go into a performance task. NB: Measurements must be accurate enough to spot deviations or variances between what really occurs and what is most desired

The Bureaucratic control by standards has four major steps:

- i. Setting performance standards
- ii. Measuring performance
- iii. Comparing performance against the standard and determining deviations, and

STEP 1: Setting Performance Standards

By definition, Standards are simply criteria of performance and serves as a benchmark against which actual performance is assessed. They are the selected points in an entire planning program at which measures of performance are made so that managers can receive signals about how things are going and thus do not have to watch every step in the execution of plans.

Standards can be set for any activity; for example: *financial activities, operating activities, legal compliance, charitable contributions*, and so on.

Performance standards can be set with respect to (1) *quantity*, (2) *quality*, (3) *time used*, and (4) *cost*. For example, production activities include volume of output (quantity), defects (quality), on-time availability of finished goods (time use), and money value for raw materials and direct labor (cost).

STEP 2: Measuring Performance

The second step in the control process is to measure performance levels against standards and this should be done on a forward-looking basis so that deviations may be detected in advance of their occurrence and avoided by appropriate actions. For example, *managers can count units produced, days absent, papers filed, samples distributed, and dollars earned*.

STEP 3: Comparing Performance with the Standard

This is the third step in the control process where the manager evaluates the performance against standards. For some activities relatively small deviations from the standard are acceptable, while in others a slight deviation may be serious. Managers who perform the controlling work therefore must carefully analyze and evaluate the results.

The managerial principle of exception states that control is enhanced by concentrating on the exceptions, or significant deviations, from the expected result or standard. With the principle of exception, only exceptional cases require corrective action. The manager should not be concerned with performance that equals or closely approximates the expected results.

STEP 4: Taking Corrective Action

The last step in the control process is to take action to correct significant deviations. This step ensures that operations are adjusted where necessary to achieve the initially planned results. Effective control cannot tolerate needless delays, excuses, or exceptions. The appropriate corrective action depends on the nature of the problem and may involve: a change in a procedure or method, a disciplinary action, or a major organizational modification. Others may correct by an inexpensive investment in employee training.

Nevertheless, managers may correct deviations by redrawing their plans or by modifying their goals or, they may correct deviations by exercising their organizing function through reassignment or clarification of duties. They may correct, also, by additional staffing, by better selection of subordinates, or by ultimate re-staffing or firing. Again, they may correct through better leading of the job or more effective leadership techniques.

2) MARKET CONTROL

In contrast to bureaucratic controls, market controls involves the use of price competition to evaluate output. Managers compare profits and prices to determine the efficiency of their organization. In order to use market control, there must be a reasonable level of competition in the goods or service area and it must be possible to specify requirements clearly.

The system works like this: In cases where output from an individual, department, or business unit has value to other people, a price can be negotiated for its exchange. As a market for these transactions becomes established, two effects occur:

- Price becomes an indicator of the value of the product or service.
- Price competition has the effect of controlling productivity and performance.

3) CLAN CONTROL:

Is the Control of the employees or members of an organization through shared values, belief structures, and cultural norms. Increasingly, managers are discovering that control systems based solely on bureaucratic and market mechanisms are insufficient for directing today's workforce.

Therefore Clan control involves creating relationships built on mutual respect, and encouraging each individual to take responsibility for his or her actions. The emphasis in an empowered organization is on satisfying customers, not on pleasing the boss. Mistakes are tolerated as the unavoidable by-product of dealing with change and uncertainty are viewed as opportunities to learn

Understanding culture's role in control: Organization culture is the foundation of clan control because it is the set of important assumptions about the organization and its goals and practices that members of the company share. In this way, a company's culture provides a framework that organizes and directs people's behavior on the job.

Cultures can be strong or weak; A strong culture is one in which everyone understands and believes in the firm's goals, priorities, and practices. Strong cultures can have great influence on how people think and behave. A strong culture can be a real advantage to the organization if the behaviors it encourages and facilitates are appropriate ones.

On the other hand, a strong culture that encourages the wrong behaviors can severely hinder the company's efforts to bring about appropriate changes.

In contrast to strong cultures, weak cultures have the following characteristics: Different people hold different values, there is confusion about corporate goals, and it is not clear from one day to the next what principles should guide decisions. Such a culture fosters confusion, conflict, and poor performance.

Why is Control Important?

Anything involving human is imperfect, management must use control to monitor progress and to make intelligent adjustments as required. Therefore:

- i. Controls let managers know whether their goals and plans are on target and what future actions to take.
- ii. Control systems provide managers with information and feedback on employee performance.
- iii. Controls enhance physical security and help minimize workplace disruptions.
- iv. Control is the Final Link in the Management Process; it provides the critical link back to planning
- v. Only way managers know whether organizational goals are being met or not
- vi. Improve Organizational performance
- vii. Ensuring competitive advantage
- viii. Requires more than re-acting on past performance
- ix. Keeps the organization on track
- x. Is the means of anticipating events that might occur in future
- xi. Allows the organization to respond to new opportunities that may present itself
- xii. Organizational control is important because it determine the quality of goods & services
- xiii. Can make continuous improvements to quality over time and this gives them a competitive advantage
- xiv. Management control monitors employee behaviors
- xv. Management control monitors Identify skills gaps of employees
- xvi. People who are monitored behaves differently

The Benefits of Control Are:-

- It ensures attainment of enterprise objective
- It highlights the quality of plans
- It ensures successful implementation of plans
- It ensures that employees work with commitment
- It provides scope for delegation
- It facilitates co-ordination
- It promotes efficiency

Barriers/Challenges to Effective Control

- Resistance to Change: Employees may resist control systems that disrupt established routines.
- Lack of Clear Standards: Vague or ambiguous standards can make it difficult to measure performance.

- **Inadequate Information:** Insufficient or inaccurate information can hinder effective control.
- **Time Lags:** Delays in receiving control information can reduce its effectiveness.
- **Cost of Control:** Implementing and maintaining control systems can be expensive.
- **External Factors:** External factors, such as economic conditions or technological changes, can make it difficult to control performance.
- **Focus on short-term results:** Control systems sometimes focus on short-term results, instead of long-term sustainability.

Principles of Controlling

- **Principle of Planning:** Control must be aligned with organizational plans and goals.
- **Principle of Organizational Suitability:** Control systems must be tailored to the specific needs and characteristics of the organization.
- **Principle of Control Responsibility:** Control responsibility should be clearly defined and assigned.
- **Principle of Efficiency:** Control systems should be cost-effective and efficient.
- **Principle of Prevention:** Preventive control should be emphasized to minimize deviations.
- **Principle of Direct Control:** Control should be exercised at the point of action whenever possible.
- **Principle of Reflection of Organization Pattern:** The control system should reflect the organization's structure.
- **Principle of Action:** Control is justified only if corrective action is taken.
- **Principle of Standards:** Effective control requires objective, consistent, and accurate standards.
- **Principle of Critical Control Points:** Control should focus on the most critical elements of the organization's operations.

2.5 Staffing

Meaning of Staffing

Staffing is a process through which competent employees are recruited, selected, properly trained, effectively developed, suitably rewarded and their combined efforts are harmoniously integrated and directed towards achieving the desired results/objectives. It refers to the managerial function of employing and developing human resources for carrying out the various activities in an organisation

The Process of staffing

The staffing process consists of the following activities

A) Manpower Planning:-

The very first step in staffing is to conduct manpower inventory in order to match them with the job requirements and demands. Therefore, it involves the following activities:

- Demand forecasts: Estimates of the number and qualifications of employees the firm will need.
- Supply forecasts: Estimates of the availability and qualifications of current workers and those in the labour market.
- Job Analysis: Identifying the tasks, duties and responsibilities that make up a job and the knowledge, skills, and abilities needed to perform the job.
- Job Description: Is a written statement of what a job holder does, how it is done, and why it is done: Tasks, duties and responsibilities that the job entails = outline of the role of the job holder
- Person specification: Outline of the skills, qualities, abilities, and other credentials need / required of the post holder.
- Job Specification: Is a statement of the minimum acceptable qualifications that an incumbent must possess to perform a given job successfully. It entails Knowledge, skills, and abilities (KSAs) required of the job holder
- Job Design: This involves considering the duties that the new post will cover, and the level these tasks will be

B) Recruitment:

Recruitment is the process of searching for prospective employees, stimulating and encouraging them to apply for jobs in an organization. It a process to discover the sources of manpower to meet the requirements of the staffing schedule.

Features of Recruitment:-

- Recruitment is a process or series of activities rather than single actor event
- The basic purpose of recruitment is to locate the source of people required to meet the job requirements and attracting such people to offer themselves for employment in the organization
- Recruitment is a pervasive function as all organizations engage in recruiting activity. But the volume and nature of recruitment varies with the size, nature and environment of the particular organization
- Recruitment is a two way process. It takes a recruiter and a recruitee. Just as a recruiter has a choice whom to recruit or not similarly the prospective employee can choose for which organization to apply for a job.

Sources of Recruitment

Various sources of recruitment may be classified in to two broad categories namely INTERNAL and EXTERNAL sources.

i. INTERNAL Sources of Recruitment:

a) Transfer: If a particular department has a couple of surplus staff and another department is short staffed, the surplus staff may be transferred to that other department.

b) Promotion: Usually, when a vacancy arises at a higher level in an organization, it is filled up by uplifting a person who comes next in the organizational hierarchy.

c) Present Temp/ Casual employees who are working with the institution

d) Re-employment of ex-employees - Re-employment of ex-employees is one of the internal sources of recruitment in which employees can be invited and appointed to fill vacancies in the concern. There are situations when ex-employees provide unsolicited applications also.

e) Dependents of diseased, disabled, retired and present employees

Advantages of Internal Sources of Recruitment

- Morale and motivation of employees improve when they are assured that they would be preferred in filling vacancies at higher levels
- Suitability of their records, qualifications and performance is already available in the organization
- It promote loyalty and commitment among employees due to sense of job security and opportunities for advancements
- Present employees are already familiar with the organization and its policies hence minimizes time and costs of orientation and training
- The time and expenditure of recruitment are reduced as there is little need for advertising vacancies, or arranging rigorous tests and interviews
- Relationships with trade unions remain good because unions prefer internal recruitment particularly through promotions
- Filling higher level jobs through promotions within the organizations helps to retain talented and ambitious employees hence reduce labour turn over.
- Provides opportunity to move up within the organization
- Employers know their employees

Disadvantages of Internal sources of recruitment

- Yields limited applicant pool
- Can inhibit a company that wants to change
- It may lead to inbreeding
- It discourages flow of new blood into the organization
- If promotion is based on seniority, really capable person may be left out.
- The choice in selection is restricted. Chances of favouritism are higher and growth of business is restricted by the limited talent of insiders
- Not all vacancies can be filled from within the organization
- This source of recruitment is not available for newly established organization

ii. EXTERNAL Sources of recruitment:

It lies outside the organization and include the following areas:-

- i. Educational and Training Institutions.
- ii. Executive Search Agencies
- iii. Employment Exchange
- iv. Casual Callers
- v. Labour Contractors
- vi. Gate Recruitment
- vii. Similar Organizations
- viii. Employee Recommendations
- ix. Press advertisement
- x. Leasing.

Advantages of External sources of recruitment

- People having the required skill, education and training can be obtained
- As recruitment is done from wider market, best selection can be made irrespective of colour, race, religion, class, origin etc.
- Expertise and experience from other organization can be brought
- It helps to bring new blood and new ideas into the organization
- This source of recruitment never dries up and it is available event to new enterprises
- External sources are best when suitable people from within are not available and when the organization is diversifying or merging with other organizations
- Fresh Outlook. Candidates recruited from external sources bring originality and fresh viewpoints. They are free from the in-built preferences and prejudices.

Disadvantages of External sources of recruitment

- It is more expensive and time consuming to recruit people from outside
- Detailed screening is inevitable as very little is known about the candidate
- The employees being unfamiliar with the organization, their orientation and training is necessary
- If higher level jobs are filled from external source, motivation and loyalty of existing employees are affected.
- Heart-burning. External recruitment creates heart-burning and demoralization among the existing personnel.
- Sense of Insecurity. Recruitment from outside creates a sense of insecurity among the present staff. The staff may refuse to cooperate fully with the enterprise

- **Danger of Maladjustment.** Some candidates chosen from outside may fail to adjust themselves to new environment. They may be irritable, quarrelsome or suspicious. They may have to be terminated and replaced.

C) Selection-

Selection is the process of choosing the most suitable candidate/person out of all applicants. In other words, it is the process of matching the qualifications of applicants with the job requirements. In this process, relevant information about applicants is collected through a series of steps so as to evaluate their suitability for the job to be filled.

D) Placement-

Placement refers to selected candidate's joining the positions in the organisation for which they have been selected and be assigned suitable job that matches the new employees' qualifications. The appointment of every candidate is followed by a record of particulars of

E) Induction or Orientation:

Induction is the process of introducing new employees to the organisation. The new employees should know under whom and with whom he/she is to work, get acquainted and adjusted to the work environment, get a general idea about the rules and regulations, working conditions etc. Usually the immediate supervisor of the new employee introduces him to his work environment. A proper induction programme is likely to reduce his anxiety on how to cope with the work and how to become part of the organisation and helps in development of a favourable attitude towards the organisation and the job.

F) Training and Development-

Training: Employee training generally refers to programs that provide workers with information, new skills, or professional development opportunities. For example, people might be required to participate in a new employee orientation or on-the-job training when they are hired. Other types of employee training programs include those that encourage staff members to brush up on certain skills or to stay current with developments in their field. There are also training strategies that deal with specific personnel issues that might arise on the job, such as worker safety or sexual harassment. Depending on the subject matter, training might be conducted by staff members or by outside consultants.

Development: Employee development refers to the steps taken within a company to encourage each employee's professional and personal growth. By developing the employees both professionally and personally, the organization benefits from this growth. Human Resource Development can be formal such as in classroom training, a college course, or an organizational planned change effort informal such as employee coaching by a manager.

G) Remuneration-

It is a kind of compensation provided to the employees for their work performances. The term 'compensation' refers to a wide range of financial and non-financial rewards to the employees for services rendered to the organisation. It includes wages, salaries, allowances and other benefits which an employer pays to his employees in consideration for their services. Compensation may be divided into two categories:

(a) Base/primary compensation.

(b) Supplementary compensation.

Base or primary compensation is a fixed amount paid every month to an employee. It includes wages, salary and allowances paid to an employee irrespective of his performance.

Supplementary compensation refers to the compensation paid to the employees to motivate them to work more efficiently. It is also known as incentive compensation. The incentives may be monetary or non-monetary. The monetary incentives include bonus, commission sales, or profit sharing plans. The non-monetary incentives, on the other hand, include cordial relations with the supervisor, assignment of challenging jobs, recognition etc.

H) Performance Evaluation/Appraisal-

Performance appraisal means judging the relative abilities of employees at work in a systematic manner. This enables managers to identify employees who are performing the assigned work satisfactorily, and those who are not able to do so, and why. To be fair, performance appraisal needs to be carried out using the same methods and keeping in view uniform standards of work.

I) Promotion and Transfer-

When an employee is assigned a job involving greater responsibilities, more pay, higher status and prestige than his/her present job, it is known as *promotion*. Thus, promotion refers to the advancement of an employee to a higher level or position. The main purpose of promotion is to make fuller use of the abilities of a person and also increase his job satisfaction. When the performance of an employee is not satisfactory and it cannot be improved, he may be assigned a job of lower rank carrying lower status and pay. This is known as 'demotion'.

Transfer refers to a type of job change where any employee is assigned a different job of the same rank and pay, or when an employee is assigned a similar job in another unit of the firm. Thus, transfer does not usually involve any increase in pay or a superior status.

Selection Interview

Interview is a face to face interaction between two persons for a particular purpose. It is widely used not only in employee selection but for placement, orientation, appraisal, disciplinary action, counselling and general problem solving. Thus, an interview is a purposeful exchange of views, the answering of questions and communication between two or more persons.

2.6 Coordination

Meaning of Coordination

Coordination implies an orderly pattern or arrangement of group efforts to ensure unity of action in the pursuit of common objectives. Mooney defines coordination as the orderly arrangement of group effort to provide unity of action in the pursuit of a common purpose. Coordination can be seen as the process whereby management harmonizes the work performed by individuals and sections, thus obtaining good co-operation in order to achieve the business objectives in the most efficient way.

Characteristics of coordination:-

i. Coordination is not a distinct function but the very essence of management.

- ii. Coordination is the basic responsibility of management and it can be achieved through the managerial functions. No manager can evade or avoid this responsibility
- iii. Coordination does not arise spontaneously or by force It is the result of conscious and concerted action by management
- iv. The heart of coordination IS the unity of action which involves fixing the time and manner of performing various activities
- v. Coordination is a continuous or on-going process It is also a dynamic process
- vi. Coordination is required in group efforts, not in individual efforts it involves the orderly pattern of group efforts. There is no need for coordination when an individual works in isolation without affecting anyone's functioning.
- vii. Coordination has a common purpose of getting organizational objectives accomplished.

Types of Coordination

i. Internal and external coordination:

Coordination between the different units of an organization is known as internal coordination. External coordination refers to coordination between an organization and its external environment comprising government, community, customers, investors, suppliers, competitors, research institutions etc.

ii. Vertical and horizontal coordination:

Vertical coordination implies coordination between different levels of organization; it is required to ensure that all levels in the organization act in harmony and in accordance with the goals and policies of the organization. Vertical coordination is ensured by to management through delegation of authority.

iii. Procedural and substantive coordination

organization in itself i.e. the generalized description of the behaviour and relationship of the members of the organization. On the other hand substantive coordination is concerned with the content of the organization's activities

Principles of Coordination (Requisites for effective coordination):

Mary Parker Follett has laid down four principles for effective coordination as follows:-

- **Direct personal contact**

According to this principle, coordination is best achieved through direct personal contact with the people concerned. direct communication is the most effective way to convert ideas and information

- **Early beginning**

Coordination can be achieved more easily in early stages of planning and policy- making. Therefore, plans should be based on mutual consultation or participation.

- **Reciprocity**

This principle states that all factors in a given situation are reciprocally related. For instance, in a group every person influences all others and is in turn influenced by others.

- **Continuity**

Coordination is an ongoing or never-ending process rather than a once-for-all activity. It cannot be left to chance but management has to strive for it constantly

Techniques of Coordination

The main techniques of effective coordination are as follows:-

- Sound planning
- Simplified organization
- Effective communication
- Effective leadership and supervision
- Chain of command
- Indoctrination and incentives
- Liaison departments
- General staff
- Voluntary coordination

Importance of coordination

1. Coordination encourages team spirit

There exist many conflicts and rivalries between individuals, departments, between a line and staff, etc. Similarly, conflicts are also between individual objectives and organizational objectives. Coordination arranges the work and the objectives in such a way that there are minimum conflicts and rivalries. It encourages the employees to work as a team and achieve the common objectives of the organization. This increases the team spirit of the employees.

2. Coordination gives proper direction

There are many departments in the organization. Each department performs different activities. Coordination integrates (bring together) these activities for achieving the common goals or objectives of the organization. Thus, coordination gives proper direction to all the departments of the organization.

3. Coordination facilitates motivation

Coordination gives complete freedom to the employees. It encourages the employees to show initiative. It also gives them many financial and non-financial incentives. Therefore, the employees get job satisfaction, and they are motivated to perform better.

4. Coordination makes optimum utilisation of resources

Coordination helps to bring together the human and materials resources of the organisation. It helps to make optimum utilisation of resources. These resources are used to achieve the objectives of the organisation. Coordination also minimise the wastage of resources in the organisation.

5. Coordination helps to achieve objectives quickly

Coordination helps to minimise the conflicts, rivalries, wastages, delays and other organisational problems. It ensures smooth working of the organisation. Therefore, with the help of coordination an organisation can achieve its objectives easily and quickly.

6. Coordination improves relations in the organisation

The Top Level Managers co-ordinates the activities of the Middle Level Managers and develops good relations with them. Similarly, the Middle Level Managers co-ordinates the activities of the Lower Level Managers and develops good relations with them. Also, the Lower Level Managers co-ordinates the activities of the workers and develops good relations with them. Thus, coordination overall improves the relations in the organisation.

7. Coordination leads to higher efficiency

Efficiency is the relationship between Returns and Cost. There will be higher efficiency when the returns are more and the cost is less. Since coordination leads to optimum utilisation of resources it results in more returns and low cost. Thus, coordination leads to higher efficiency.

8. Coordination improves goodwill of the organisation

Coordination helps an organisation to sell high quality goods and services at lower prices. This improves the goodwill of the organisation and helps it earn a good name and image in the market and corporate world.

Advantages of Coordination

- Systematic sequence of operation
- Fulfilment of activities as per planned schedules
- Avoidance of interruptions in the operations
- Eliminating inconsistencies in objectives and policies
- Removal of conflicts among individuals
- Developing the team spirit and cooperation.

Problems of Coordination

- Complex organizational structure
- Improper communication
- Higher labour turnover
- Lack of motivation and morale
- Favouritism
- Red-tapism
- Improper leadership
- Weak public relations

3.0 Explain the roles of managers in an organization

1.0 Mintzbergs set of ten Managerial Roles

Role	Description	Identifiable Activities
INTERPERSONAL		
Figurehead	Symbolic head; obliged to perform a number of routine duties of a legal or social nature	Greeting visitors; signing documents
Leader	Responsible for the motivation and activation of employees; responsible for staffing, training, and associated duties	Performing virtually all activities that involve subordinates
Liaison	Maintains self-developed network of outside contacts and informers who provide favours and information	Acknowledging mail; performing other activities that involve outsiders
INFORMATIONAL		
Monitor	Emerges as nerve centers of internal and external information about	Reading periodicals and reports; maintaining personal contact.
Disseminator	Transmits information received from other employees to members of the organization.	Holding informational meeting; making phone calls to relay information.
Spokesperson	Transmit information to outsiders on organization's plan, policies, actions, results, etc.	Holding board meeting; giving information to the media.
DECISIONAL		
Entrepreneur	Searches for development opportunities in the dynamic environment and initiates "improvement projects" to bring about change.	Designing and initiating changes within the organization.
Disturbance handler	Responsible for corrective action when organization faces important disturbances.	Taking corrective action in non-routine situations.
Resource allocator	Responsible for the allocation of organizational resources of all kinds.	Performing any activity that involves budgeting and the programming of employees' work.
Negotiator	Responsible for representing the organization at major negotiations.	Participating in negotiations with other parties.

Henry Mintzberg, a prominent management scholar, identified ten managerial roles that he categorized into three groups: interpersonal, informational, and decisional roles. These roles represent the different activities or behaviors that managers engage in as they carry out their work within organizations. Here's a detailed description of each role:

Interpersonal Roles:

1. Figurehead Role:

- Managers act as symbolic leaders and representatives of their organizations. They perform ceremonial duties, such as signing documents, attending events, and representing the organization in official capacities.

2. Leader Role:

- Managers motivate, coordinate, and oversee the activities of their team or organization. They provide guidance, support, and direction to their subordinates, fostering a productive work environment.

3. Liaison Role:

- Managers act as a bridge between different parts of the organization, as well as between the organization and external stakeholders. They maintain communication channels, build networks, and establish relationships that facilitate organizational effectiveness.

Informational Roles:

4. Monitor Role:

- Managers actively seek and receive information about internal and external events relevant to their organization. They scan the environment, monitor changes, and stay informed about key issues that may impact the organization's operations.

5. Disseminator Role:

- Managers share information obtained through monitoring and other sources with their subordinates and other stakeholders within the organization. They ensure that relevant information reaches the right people at the right time, facilitating informed decision-making and effective coordination.

6. Spokesperson Role:

- Managers represent and communicate the organization's interests and policies to external stakeholders such as the media, government agencies, investors, and the public. They serve as the official voice of the organization, conveying its mission, goals, and positions on various matters.

Decisional Roles:

7. Entrepreneur Role:

- Managers initiate and oversee new projects, innovations, and improvements within the organization. They identify opportunities for growth, develop new ideas, and take calculated risks to ensure the organization's long-term success and sustainability.

8. Disturbance Handler Role:

- Managers address conflicts, crises, and other unexpected disturbances that may arise within the organization. They make decisions under pressure, resolve disputes, and mitigate the impact of disruptive events to maintain organizational stability and continuity.

9. Resource Allocator Role:

- Managers decide how to distribute organizational resources such as budget, equipment, and personnel among various tasks, projects, and departments. They prioritize investments, allocate funds, and assign personnel to ensure efficient resource utilization and alignment with organizational goals.

10. Negotiator Role:

- Managers negotiate with external parties (e.g., suppliers, customers, regulatory bodies) and internal stakeholders (e.g., employees, managers) to reach agreements, resolve conflicts, and secure favorable outcomes for the organization. They represent the organization's interests, bargain effectively, and seek mutually beneficial solutions.

Skills needed by managers

Robert L. Katz identified three kinds of skills for administrators. To these may be added others as follows:-

1. Technical skill: is knowledge of and proficiency in activities involving methods, processes, and procedures. Thus it involves working with tools and specific techniques. For example, mechanics work with tools, and their supervisors should have the ability to teach them how to use these tools. Similarly, accountants apply specific techniques in doing their job.
2. Human /Interpersonal skill: is the ability to work with people; it is cooperative effort; it is teamwork; it is the creation of an environment in which people feel secure and free to express their opinions.(ability to communicate understand, and motivate other people, individually and in groups)
2. Conceptual skill: is the ability to see the "big picture," to recognize significant elements in a situation, and to understand the relationships among the elements.
3. Design skill: is the ability to solve problems in ways that will benefit the enterprise. To be effective, particularly at upper organizational levels, managers must have in addition, the skill of a good design engineer in working out a practical solution to a problem.
4. Diagnostic Skills: Diagnostic skills include the ability to determine by analysis and examination the nature and circumstances of particular conditions. It is not only the ability to specify why something happened but also the ability to develop certain possible outcomes.
5. Communication Skills: – ability to both effectively convey ideas and information to others and to receive ideas and information from others
6. Decision-making Skills: - the ability to correctly recognize and define problems and opportunities and then select appropriate courses of action

The relative importance of these skills may differ at various levels in the organization hierarchy

5.3.3 ANALYSE ORGANIZATION BEHAVIOUR AND CULTURE IN BUSINESS MANAGEMENT

1.0 Introduction to Organization Behaviour

Organizational behaviour (OB) is a term related to the study of individual and group dynamics in an organizational setting, as well as the nature of the organizations themselves. It is the study of factors that affect how individuals and groups act in organizations and how organizations manage their environments.

Organizational behaviour is a field of study that investigates the impact that individuals, groups and organizational structure have on behaviour within the organization, for the purpose of applying such knowledge towards improving an organizational effectiveness

The study of Organizational Behaviour facilitates the process of explaining, understanding, predicting, maintaining, and changing employee behaviour in an organizational setting.

Organizational behaviour integrates analyses and addresses issues such as:-

- What facilitates accurate perception and attribution?
- What influences individual, group and organizational learning and the development of individual attitudes toward work?
- How do individual differences in personality, personal development, and career development affect individual's behaviours and attitudes?
- What motivates people to work, and how. Does the organizational reward system influence worker's behaviour and attitudes?
- How do managers build effective teams?
- What contributes to effective decision-making?
- What are the constituents of effective communication?
- How are the characteristics of effective communication?
- How can power be secured and used productively?
- What factors contribute to effective negotiations?
- How can conflict (between groups or between a manager and subordinates) be resolved or managed?
- How can jobs and organizations be effectively designed?
- How can managers help workers deal effectively with change?

Features of Organization Behaviour

- OB deals with human behaviour in organizational setting i.e. human behaviour at work.
- OB seeks to fulfil employee needs as well as organizational needs and objectives.
- OB may be individual behaviour or group behaviour
- OB has psychological foundations i.e. Many of its core concepts are borrowed from behavioural sciences like psychology, social psychology, sociology and anthropology.

Levels of Organizational behaviour

Organizational behaviour covers three main areas:

- i. Individual behaviour
- ii. Group behaviour
- iii. Organizational structure & processes

Fields of study that makes up an Organizational Behaviour

- Psychology: is the science that seeks to measure, explain and sometimes change the behaviour of human and other animals
- Social psychology: an area within psychology that blends concepts from psychology and sociology and that focuses on the influence of people on one another
- Sociology: is the study of people in relation to their social environment or culture.
- Anthropology: the study of societies to learn about human beings and their activities
- Political Science: It studies individuals and groups within specific conditions concerning the power dynamics.

Behavioural science	Contribution	Unit of analysis	Output
Psychology	Learning / Motivating; Personality / Emotions; Perception / Training; Leadership effectiveness; Job satisfaction; Individual decision making; Performance appraisal; Attitude Measurement; Employee selection; Work design / Work stress	Individual	Study of Organizational Behaviour
Sociology	Group dynamics; Work teams; Communication; Power / Conflict; Intergroup behaviour	Group	
	Formal organization theory; Organizational technology; Organization change; Organizational culture		
Social Psychology	Behavioural change; Attitude change; Communication; Group processes; Group decision making		
Anthropology	Comparative values; Comparative attitudes; Cross-cultural analysis	Organization system	
	Organizational culture; Organizational environment		
Political science	Conflict / Power struggle / Information sharing etc.		

Why study organization behaviour

- It helps people (especially the managers) to understand and predict the world in which they are managing
- It helps to understand, predict and influence organization events by understanding and applying concepts in motivation, communication, conflict, team dynamics etc.

- The study of organizational behaviour can greatly clarify the factors that affect how managers manage
- Organizational behaviour isolates important aspects of the manager's job and offers specific perspectives on the human side of management
- OB study attitudes and behaviours of workers and tries to determine the best ways to effectively manage and change them
- It also studies how organizations can be more effective and how events in the external environments affect organizations
- The study of OB will help managers develop a better work related, understanding of themselves and their subordinates
- OB helps in understanding of the organizational factors that influence work
- The study of OB helps in understanding of how the work environment shapes organizational performance
- It helps an individual understand oneself
- It helps managers in getting the work done through effective ways.
- It emphasises the interaction and relations between the organisation and individual behaviour, thus making an attempt to fulfil psychological contract between individuals and the organisation.
- It helps to develop work-related behaviour and job satisfaction.
- It helps in building motivating climate.
- It helps in building cordial industrial relations.
- It helps in the field of marketing through deeper insight of consumer behaviour, and managing and motivating field employees.
- It helps in predicting behaviour and applying it in some meaningful way to make organisations more effective.
- It implies effective management of human resources.

2.0 Element of Organizational Behaviour

The key elements in the organizational behaviour are people, structure, technology and the environment in which the organization operates.

- People:** People make up the internal and social system of the organization. They consist of individuals and groups. The groups may be big or small; formal or informal; official or unofficial. Groups are dynamic and they work in the organization to achieve their objectives.
- Structure:** Structure defines the formal relationships of the people in organizations'. Different people in the organization are performing different type of jobs and they need to be (elated in some structural way so that their work can be effectively co-ordinated.
- Technology:** Technology such as machines and work processes provide the resources with which people work and affects the tasks that they perform. The technology used has a significant influence

on working relationships. It allows people to do more and work better but it also restricts' people in various ways.

iv. Environment: All organization's does operate within an external environment. It is the part of a larger system that contains many other elements such as government, family and other organizations. All of these mutually influence each other in a complex system that creates a context for a group of people

3.0 Models of organization behaviour

i. Autocratic Model: In an autocratic model', the manager has the power to command his subordinates to do a specific job. Management believes that it knows what is best for an organization and therefore, employees are required to follow their orders.

ii. Custodial Model: This model focuses better employee satisfaction and security. Under this model organizations satisfy the security and welfare needs of employees. As a result of economic rewards and benefits, employees are happy and contented but they are not strongly motivated.

iii. Supportive Model: The supportive model depends on 'leadership' instead of power or money. Through leadership, management provides a climate to help employees grow and accomplish in the interest of an organization. The employees are oriented towards job performance and participation while their need of status and recognition is met.

iv. Collegial Model: The term 'collegial' relates to a body of persons having a common purpose. It is a team concept. Management is the coach that builds a better team: The management is seen as joint contributor rather than as a boss

The employee response to this situation is responsibility.

v. System Model: This model is based on trust, self-motivation, and the performance results will be more than expected, because employees will be committed to do their tasks as expected, and as well as organizational goals.

vi. Feudal Model: Feudal Model treats employees inferior. The concept is based upon Theory X where actions, policies and procedures are considered superior to human beings. In feudal model employees are treated sternly and hire and fire principle is applicable in the organization.

vii. Contingency Model: Contingency model of organizational behaviour refers to complex variables that influence individual, group and organizational structures. Contingency model is designed to meet the contingent situations like management of conflict, handling of stress, achieving growth and managing the complexities caused due to changes in organization structures. In the contingency model relations between manager and employees are based on co-operation, trust and desire of well-being. Promotion to employees is assured.

4.0 Social systems, culture and individualization

Organizations are not isolated entities; they are intricate social systems embedded within broader cultural contexts. Understanding the dynamic interplay between these forces and the process of individualization is crucial for effective management and organizational development. This lecture will explore the concepts of social systems, culture, and individualization, examining their impact on organizational behavior and performance.

1.1.1 Social Systems: The Foundation of Organizational Interaction

- **A. Defining and Analyzing Social Systems:**

- A social system, in an organizational context, is not merely a collection of individuals but a dynamic network of interdependent actors, both individual and group, operating within defined boundaries to achieve shared or competing goals.
- Key characteristics, when analyzed through a systems theory lens, reveal:
 - Interdependence: The actions of one subsystem (e.g., department, team) have cascading effects on other subsystems, demanding a holistic understanding of organizational processes. This is especially relevant in modern matrix and network organizational structures.
 - Boundaries: These are permeable and negotiable, influenced by external environments and internal power dynamics. Understanding boundary management is critical for managing resource flows, information exchange, and external stakeholder relationships.
 - Goals: Organizational goals are often complex and contested, requiring negotiation and alignment across diverse stakeholder interests. Goal congruence, or lack thereof, has a huge impact on performance.
 - Structure: Both formal (hierarchical, functional) and informal (social networks, power coalitions) structures influence behavior. Informal structures are often more powerful than formal structures.
 - Processes: Communication, decision-making, and resource allocation are not merely procedural but are influenced by power dynamics, cultural norms, and individual agency.

B. Organizational Social Systems: A Microcosm of Complexity:

- Organizations are complex adaptive systems, encompassing:
 - Formal Structures: These are designed for efficiency and control but can become rigid and bureaucratic, hindering adaptability.
 - Informal Networks: These are crucial for information flow, innovation, and social support, but they can also perpetuate biases and power imbalances.
 - Power Dynamics and Influence: These are pervasive and often subtle, shaping decision-making, resource allocation, and career trajectories.
 - Communication Flows and Information Sharing: Information asymmetry and communication breakdowns can lead to conflict, inefficiency, and strategic missteps.
 - Decision-making processes and Conflict Resolution: These are influenced by organizational culture, leadership styles, and individual biases.

C. Systems Theory: A Framework for Understanding Organizational Complexity:

- Systems theory provides a robust framework for analyzing organizations as interconnected wholes, emphasizing:

- **Open Systems:** Organizations constantly interact with their external environments, requiring adaptability and responsiveness to change.
- **Feedback Loops:** These are crucial for organizational learning and adaptation, but cognitive biases and organizational inertia can distort them.
- **Equifinality:** Multiple pathways can lead to the same outcome, highlighting the importance of strategic flexibility and innovation.
- **Emergent Properties:** These are system-level characteristics that cannot be predicted from individual components, highlighting the importance of understanding the organization as a whole.
- Understanding these concepts is essential for developing effective change management strategies and fostering organizational resilience.

Key elements of an organizational Social system

Organizational Social Systems are complex networks of interacting individuals and groups within an organization. Here are the key elements that define them:

- **Interdependence:**
 - This is the fundamental element. Actions, decisions, and outcomes in one part of the organization directly affect other parts. This creates a web of interconnectedness, where changes in one area ripple throughout the system.
- **Boundaries:**
 - Organizations have boundaries that distinguish them from their external environment. These boundaries can be formal (e.g., legal entity, physical location) or informal (e.g., shared values, sense of belonging). Boundary management is crucial for regulating resource flow and information exchange.
- **Goals:**
 - Organizations have explicit or implicit goals that guide their activities. These goals can be operational, strategic, or social. Goal alignment among individuals and groups is essential for organizational effectiveness.
- **Structure:**
 - Organizations have formal and informal structures. Formal structures (e.g., hierarchy, departments) define reporting relationships and task assignments. Informal structures (e.g., social networks, cliques) influence communication, power dynamics, and decision-making.
- **Processes:**
 - Organizations rely on various processes to function. These include:
 - **Communication:** The flow of information within the organization.
 - **Decision-Making:** The mechanisms for making choices and taking action.

- Resource Allocation: The distribution of resources (e.g., financial, human) among different parts of the organization.
- Conflict Resolution: The methods for managing and resolving disagreements.
- Power Dynamics and Influence:
 - Power and influence are inherent in organizational social systems. They shape decision-making, resource allocation, and social interactions. Understanding power dynamics is crucial for navigating organizational politics and promoting fairness.
- Communication Flows:
 - The way information moves throughout the organization. This can be formal or informal, and the efficiency of the communication directly affects the organization's ability to function.
- Roles:
 - Individuals within an organization occupy specific roles, each with its own set of responsibilities and expectations. These roles contribute to the overall functioning of the social system.
- Norms:
 - These are the unwritten rules and expectations that govern behavior within the organization. They influence how people interact, communicate, and perform their tasks.
- Culture:
 - The shared values, beliefs, and assumptions that shape the organization's identity and behavior. It provides a framework for interpreting organizational events and guiding social interactions.
- Feedback Loops:
 - Organizations use feedback loops to monitor their performance and adapt to changing conditions. These loops can be positive (reinforcing) or negative (corrective).
- Adaptation:
 - Organizational social systems must adapt to changes in their internal and external environments to survive and thrive. This involves learning, innovation, and change management.

Types of social systems

There are various ways to categorize social systems, depending on the criteria used for classification. Here are some key types of social systems:

1. Formal vs. Informal Social Systems:

- **Formal Social Systems:** These are characterized by explicitly stated rules, regulations, structures, and procedures. They are often associated with organizations, institutions, and bureaucracies.
 - **Features:**
 - **Written and Codified Rules:** Laws, constitutions, organizational charts, and policy manuals define behavior and relationships.
 - **Hierarchical Structure:** Often feature defined levels of authority and reporting relationships.
 - **Impersonal Enforcement:** Rules are typically enforced by designated authorities (e.g., police, managers) rather than personal relationships.
 - **Specific Goals:** Usually established to achieve particular objectives (e.g., profit, education, governance).
 - **Examples:** Government institutions (legal system, police), corporations, universities, formal clubs with constitutions.
- **Informal Social Systems:** These are based on unwritten rules, norms, customs, and personal relationships. They emerge spontaneously from interactions among individuals within a group or society.
 - **Features:**
 - **Unwritten Rules:** Behavior is guided by shared understandings, traditions, and social expectations.
 - **Flat or Fluid Structure:** Lack a rigid hierarchy; influence is often based on social connections and reputation.
 - **Personal Enforcement:** Social control is maintained through mechanisms like peer pressure, gossip, social exclusion, and praise.
 - **Diffuse Goals:** May serve various social and emotional needs, such as belonging, support, and shared identity.
 - **Examples:** Families, friendship groups, cliques within a workplace, community gatherings based on shared interests.

2. Open vs. Closed Social Systems:

- **Open Social Systems:** These systems interact freely with their external environment, exchanging information, resources, and energy. They are adaptable and responsive to changes in their surroundings.
 - **Features:**
 - **Permeable Boundaries:** Easy exchange with the external environment.
 - **Adaptability:** Can adjust their structure and processes in response to external changes.
 - **Feedback Mechanisms:** Utilize information from the environment to learn and evolve.

- Examples: Businesses that respond to market trends, universities that adapt their curriculum to societal needs, living organisms.
- Closed Social Systems: These systems have relatively impermeable boundaries and limited interaction with their external environment. They tend to be more rigid and resistant to change.
 - Features:
 - Impermeable Boundaries: Limited exchange with the external environment.
 - Resistance to Change: Tend to maintain their internal structure and processes despite external pressures.
 - Limited Feedback: Less receptive to information from the outside.
 - Examples: Historically, highly isolated communities, theoretically, a perfectly self-sufficient and unchanging organization (though rare in reality).

3. Simple vs. Complex Social Systems:

- Simple Social Systems: These involve a small number of interacting individuals or components with relatively straightforward relationships and processes.
 - Features:
 - Few Elements: Limited number of individuals, groups, or subsystems.
 - Direct Interactions: Relationships are often face-to-face and easily observable.
 - Predictable Dynamics: Behavior and outcomes are generally easier to anticipate.
 - Examples: A small family unit, a two-person work team.
- Complex Social Systems: These involve a large number of interconnected individuals or components with intricate relationships, feedback loops, and emergent properties.
 - Features:
 - Many Interacting Elements: Numerous individuals, groups, or subsystems with diverse relationships.
 - Indirect and Non-linear Interactions: Cause-and-effect relationships can be difficult to trace.
 - Emergent Properties: The system exhibits characteristics that are not simply the sum of its parts.
 - Difficult to Predict: Behavior and outcomes can be highly complex and unpredictable.
 - Examples: Large corporations, cities, national economies, global social networks.

4. Other Classifications:

- By Size: Micro-social systems (small groups), meso-social systems (organizations, communities), macro-social systems (societies, nations).
- By Function: Economic systems (production and distribution of goods), political systems (governance and power), educational systems (transmission of knowledge), religious systems (shared beliefs and practices), family systems (kinship and socialization).
- By Degree of Social Interaction: Interaction systems (face-to-face encounters), organizational systems (structured around decisions), societal systems (encompassing all interactions and organizations within a society).
- By Values and Norms: Collectivist social systems (emphasize group goals and interdependence), individualistic social systems (emphasize individual autonomy and achievement).

Uses of social system by managers

Managers can leverage their understanding of organizations as social systems in numerous ways to enhance effectiveness and achieve organizational goals. Here are some key uses:

1. Understanding Interdependencies: Managers can use the social systems perspective to recognize how different departments, teams, and individuals within the organization are interconnected and how their actions affect one another.
 - Example: When a marketing department launches a new campaign, a manager understands that this will likely increase workload for the sales and customer service departments. This awareness allows for proactive communication and resource allocation to ensure smooth operation across affected areas.
2. Analyzing Communication Flows: Viewing the organization as a communication system helps managers identify formal and informal communication channels, potential bottlenecks, and areas where information flow can be improved.
 - Example: A manager notices that critical project updates are not reaching all relevant team members in a timely manner through formal email chains. They can then leverage informal social networks and implement regular team huddles to ensure wider and faster dissemination of information.
3. Managing Power Dynamics and Influence: Recognizing the existence of formal authority and informal influence networks allows managers to navigate organizational politics more effectively and build support for initiatives.
 - Example: When implementing a new policy, a manager identifies key influencers within different teams, even if they don't hold formal leadership positions. By engaging these influencers early and addressing their concerns, the manager can gain broader acceptance and reduce resistance to the change.
4. Facilitating Decision-Making: Understanding the social dynamics of decision-making processes, including who the key stakeholders are and how their opinions are formed, enables managers to make more informed and widely accepted decisions.
 - Example: Before deciding on a new software platform, a manager consults with representatives from different user groups, understanding their needs and

preferences. This inclusive approach leads to a decision that is more likely to be adopted and utilized effectively across the organization.

5. **Resolving Conflicts:** Viewing conflicts as disruptions within the social system allows managers to analyze the underlying social dynamics and address the root causes rather than just the symptoms.
 - Example: A manager mediating a conflict between two team members recognizes that the issue stems not just from a task disagreement but also from a clash of personalities and differing communication styles. They facilitate a discussion focusing on improving interpersonal communication and establishing clearer expectations.
6. **Shaping Organizational Culture:** Managers can intentionally influence the shared values, beliefs, and norms of the social system through their actions, communication, and the reinforcement of desired behaviors.
 - Example: A manager consistently rewards and publicly acknowledges employees who demonstrate collaborative behavior and knowledge sharing, thereby reinforcing a culture of teamwork within their department.
7. **Leading Change Initiatives:** Understanding how changes impact the social fabric of the organization, including individual roles, relationships, and power structures, is crucial for managing resistance and ensuring successful adoption of new strategies or processes.
 - Example: When implementing a new organizational structure, a manager anticipates potential anxieties about role changes and proactively communicates the rationale behind the changes, provides support for individuals transitioning to new roles, and fosters a sense of shared purpose in the new structure.
8. **Building and Maintaining Teams:** Managers utilize their understanding of social interaction and group dynamics to form effective teams, foster cohesion, and address issues that may hinder team performance.
 - Example: A manager forming a new project team considers the diverse skills and personalities of potential members, facilitates team-building activities to establish rapport and trust, and establishes clear norms for communication and collaboration.
9. **Managing External Relationships:** Recognizing that the organization is an open social system interacting with its environment (customers, suppliers, competitors, etc.) allows managers to strategically manage these external relationships.
 - Example: A manager in charge of supplier relations understands the importance of building trust and open communication with key suppliers, recognizing that a healthy relationship benefits both organizations within the broader supply chain social system.
10. **Promoting Employee Well-being and Engagement:** By understanding the social needs of employees and the impact of social interactions on their well-being, managers can create a more supportive and engaging work environment.

- Example: A manager fosters a sense of community within their team by encouraging social interaction, celebrating team successes, and providing opportunities for informal networking.

1.1.2 Organizational Culture

Organizational culture is a multifaceted and dynamic system comprising the shared values, beliefs, norms, assumptions, and artifacts that shape employee perceptions, attitudes, and behaviors within an organization. It represents the collective understanding of "how we do things around here" and profoundly influences every aspect of organizational life. Unlike static entities, organizational cultures are constantly evolving, influenced by internal and external forces, leadership actions, and the experiences of its members. Understanding and managing organizational culture is paramount for achieving sustained organizational success.

Key Components and Characteristics/Features of Organizational Culture:

Organizational culture is characterized by several key features:

- **Shared Assumptions:** These are the deepest and often unconscious beliefs that members hold about the organization and its environment. They are the foundation upon which values and beliefs are built.
- **Espoused Values:** These are the explicitly stated values and norms that the organization publicly endorses and strives to uphold. They represent the desired cultural ideals.
- **Enacted Values:** These are the values and norms that are actually reflected in the day-to-day behavior and practices of organizational members. Discrepancies between espoused and enacted values can lead to cynicism and mistrust.
- **Beliefs:** These are the understandings and convictions that members hold about specific aspects of the organization, such as the quality of its products, the competence of its employees, or the fairness of its policies.
- **Norms:** These are the informal rules and expectations that dictate acceptable and unacceptable behaviors within the organization. They guide social interactions and shape how work is done.
- **Artifacts:** These are the visible and tangible manifestations of the organization's culture. They include:
 - **Symbols:** Logos, dress codes, office layouts, and other visual cues.
 - **Rituals:** Recurring patterns of behavior, such as meetings, celebrations, and social events.
 - **Stories:** Narratives about key events, heroes, and villains that communicate cultural values and beliefs.
 - **Language:** The jargon, slang, and communication styles prevalent within the organization.

Four Types of Organizational Cultures:

The Competing Values Framework, developed by Kim Cameron and Robert Quinn, proposes four dominant types of organizational cultures based on two key dimensions: organizational focus (internal vs. external) and preference for structure and control (flexibility vs. stability):

- **Clan Culture (Internal Focus & Flexibility):**
 - Characterized by a friendly, family-like atmosphere.
 - Emphasis on teamwork, human development, employee involvement, and loyalty.
 - Leaders are seen as mentors and coaches.
 - Effectiveness is measured by employee satisfaction and commitment.
- **Adhocracy Culture (External Focus & Flexibility):**
 - Dynamic and entrepreneurial, with a focus on innovation, risk-taking, and adaptability.
 - Emphasis on creativity, experimentation, and being at the forefront of the industry.
 - Leaders are seen as innovators and visionaries.
 - Effectiveness is measured by innovation and market leadership.
- **Hierarchy Culture (Internal Focus & Stability):**
 - Structured and controlled, with a focus on efficiency, predictability, and formal rules and procedures.
 - Emphasis on clear lines of authority, standardization, and operational efficiency.
 - Leaders are seen as organizers and monitors.
 - Effectiveness is measured by efficiency, reliability, and smooth operations.
- **Market Culture (External Focus & Stability):**
 - Results-oriented and competitive, with a strong focus on achieving goals and market share.
 - Emphasis on customer focus, profitability, productivity, and competitiveness.
 - Leaders are seen as driven and demanding.
 - Effectiveness is measured by market share, profitability, and goal achievement.

Aspects of Positive and Negative Organizational Cultures:

Positive Organizational Culture: A work environment characterized by shared values, beliefs, and norms that foster trust, respect, open communication, collaboration, employee well-being, and ethical behavior, ultimately leading to higher engagement, productivity, and organizational success.

Organizational culture can significantly impact employee well-being and organizational performance.

- **Aspects of a Positive Organizational Culture:**
 - **Trust and Respect:** Employees feel safe, valued, and respected.

- **Open Communication:** Information flows freely, and feedback is encouraged.
- **Collaboration and Teamwork:** Employees work together effectively towards common goals.
- **Learning and Growth:** Opportunities for professional development and skill enhancement are provided.
- **Recognition and Appreciation:** Employee contributions are acknowledged and valued.
- **Work-Life Balance:** The organization supports employees in managing their personal and professional lives.
- **Ethical Behavior:** Integrity and ethical conduct are emphasized and practiced.
- **Sense of Purpose:** Employees understand how their work contributes to the organization's mission.

Negative Organizational Culture: A work environment defined by a lack of trust, poor communication, an unsupportive atmosphere, potential for unethical behavior, and a focus that often overlooks employee well-being, leading to low morale, disengagement, high turnover, and decreased productivity.

- **Aspects of a Negative Organizational Culture:**
 - **Mistrust and Suspicion:** Employees are wary of each other and management.
 - **Poor Communication:** Information is withheld or distorted, leading to misunderstandings.
 - **Lack of Collaboration:** Competition and silos hinder teamwork.
 - **Stagnation and Lack of Development:** Limited opportunities for growth and learning.
 - **Lack of Recognition:** Employee efforts go unnoticed and unappreciated.
 - **Work-Life Imbalance:** Excessive workload and pressure lead to burnout.
 - **Unethical Behavior:** Questionable or illegal practices are tolerated or encouraged.
 - **Lack of Meaning:** Employees feel their work is insignificant or pointless.

Importance of Organizational Culture:

Organizational culture plays a vital role in:

- **Attracting and Retaining Talent:** A positive culture makes the organization an attractive place to work, reducing turnover and attracting high-quality candidates.
- **Driving Employee Engagement and Motivation:** A strong culture aligns employees with the organization's goals and values, fostering commitment and enthusiasm.
- **Enhancing Organizational Performance:** A positive and aligned culture can lead to increased productivity, innovation, and customer satisfaction.
- **Facilitating Change Management:** A strong and adaptable culture can help the organization navigate periods of transition more effectively.

- **Building a Strong Brand Identity:** Organizational culture influences how the organization is perceived by customers, investors, and the wider public.
- **Creating a Sense of Identity and Belonging:** Culture provides a shared sense of purpose and community for employees.
- **Guiding Decision-Making and Behavior:** Cultural norms and values provide a framework for how employees should act and make choices.

Challenges of Developing a Positive Organizational Culture:

Developing and sustaining a positive organizational culture is a complex process with several challenges:

- **Resistance to Change:** Existing cultural norms and deeply ingrained habits can be difficult to alter.
- **Leadership Inconsistency:** If leaders' actions do not align with the desired culture, it undermines credibility.
- **Conflicting Subcultures:** Different departments or teams may develop their own distinct cultures, which can clash with the overall organizational culture.
- **Mergers and Acquisitions:** Integrating the cultures of two or more organizations can be a significant challenge.
- **Rapid Growth and Change:** Maintaining a consistent culture during periods of rapid expansion or significant organizational change can be difficult.
- **Lack of Awareness and Understanding:** Employees and even leaders may not fully understand the current culture or the desired future state.
- **Difficulty in Measurement:** Quantifying and tracking the impact of cultural initiatives can be challenging.
- **External Pressures:** Economic downturns or competitive pressures can sometimes force organizations to prioritize short-term gains over long-term cultural development.

Uses of Organizational Culture:

Understanding and managing organizational culture can be leveraged for various purposes:

- **Strategic Alignment:** Ensuring that the culture supports the organization's strategic goals and objectives.
- **Talent Management:** Using culture to attract, retain, and engage top talent.
- **Organizational Development:** Diagnosing cultural strengths and weaknesses to identify areas for improvement.
- **Change Management:** Leveraging cultural elements to facilitate organizational transitions.
- **Merger Integration:** Identifying cultural differences and developing strategies for successful integration.
- **Performance Management:** Aligning performance expectations with cultural values and norms.

- **Marketing and Branding:** Communicating the organization's unique culture to external stakeholders.
- **Ethical Framework:** Establishing a cultural foundation for ethical decision-making and behavior.

Conclusion: Cultivating a Culture for Success

Organizational culture is a powerful, often invisible force that significantly shapes the effectiveness and sustainability of organizations. By understanding its components, types, impact, and the challenges of its development, managers can strategically cultivate a positive and aligned culture that fosters employee engagement, drives performance, and ultimately contributes to long-term organizational prosperity. Recognizing the dynamic nature of culture and the ongoing effort required for its nurturing is crucial for navigating the complexities of the modern business landscape.

1.1.3 Individualization in an Organizational

Individualization in organizational behavior is a dynamic and multifaceted process that goes beyond mere self-expression. It represents the ongoing negotiation by individuals to establish and maintain their unique identities, roles, and sense of self-efficacy within the complex interplay of organizational structures, cultural norms, and social expectations. This involves a continuous interplay between:

- **Developing a Sense of Self:** This is an internal process shaped by an individual's evolving personal values, beliefs, experiences, skills, and self-concept, forming the core of their identity.
- **Navigating Social Expectations:** Individuals actively interpret and respond to formal and informal organizational norms, role expectations, and the perceived expectations of colleagues, supervisors, and other stakeholders, seeking a balance between personal needs and collective demands.
- **Adapting to Cultural Norms:** This involves learning, understanding, and often internalizing the prevailing values, beliefs, and behavioral patterns of the organizational culture, influencing how individuals interpret situations and interact with others.
- **Asserting Personal Values and Beliefs:** This is the proactive aspect of individualization, where individuals may express their unique perspectives, challenge existing norms, advocate for their values, and contribute to the potential transformation of organizational culture and practices.

Features of Individualization:

- **Uniqueness:** Emphasizes the distinct characteristics, perspectives, and contributions each individual brings to the organization.
- **Agency:** Highlights the active role individuals play in shaping their experiences and identities within the organizational context.
- **Negotiation:** Underscores the ongoing process of balancing personal needs and aspirations with organizational demands and social expectations.

- **Context-Dependent:** The expression and experience of individualization are influenced by the specific organizational culture, structure, and social dynamics.
- **Dynamic:** Individualization is not a static state but a continuous process of adaptation and self-definition throughout an individual's organizational tenure.
- **Multidimensional:** Encompasses various aspects of an individual's identity, including their skills, values, beliefs, and social relationships within the organization.

Factors Determining Individualization:

- **Personality and Individual Differences:** Enduring traits, cognitive styles, emotional intelligence, and other psychological characteristics significantly influence how individuals approach and navigate organizational life.
- **Socialization and Learning:** The formal and informal processes through which individuals acquire organizational knowledge, skills, norms, and values play a crucial role in shaping their integration and individual expression.
- **Power Dynamics and Influence:** The distribution of power and the ability to exert influence within the organization can either facilitate or constrain an individual's capacity to express their unique identity and ideas.
- **Cultural Values and Norms:** The prevailing organizational culture sets the boundaries and expectations for acceptable behavior and the extent to which individuality is valued or suppressed.
- **Organizational Structures and Processes:** Formal structures (e.g., job design, team structures) and processes (e.g., performance management, decision-making) can either provide opportunities for individual contribution and autonomy or enforce conformity.
- **Life Experiences and Background:** An individual's prior experiences, cultural background, education, and personal history shape their values, beliefs, and how they approach their role in the organization.

Categories of Individual Differences:

Understanding the diverse ways in which individuals differ is fundamental to appreciating the process of individualization. Key categories include:

- **Demographic Differences:** Age, gender, ethnicity, cultural background, sexual orientation, and physical abilities.
- **Personality Differences:** Traits such as extraversion, introversion, conscientiousness, agreeableness, openness to experience, and emotional stability.
- **Cognitive Differences:** Learning styles, problem-solving approaches, creativity, and information processing capabilities.
- **Value Differences:** Differing priorities and beliefs about what is important in work and life.
- **Skill and Ability Differences:** Variations in technical expertise, interpersonal skills, and physical capabilities.

- **Attitudinal Differences:** Variations in job satisfaction, organizational commitment, and engagement levels.

Four Types of Individualization (Based on Socialization and Individualization Levels): This framework explores the interplay between the organization's efforts to socialize individuals and the individual's drive for self-expression:

- **Conformity (High Socialization, Low Individualization):** Individuals fully adopt organizational norms and suppress their unique identities to fit in. This can lead to a homogenous workforce but may stifle creativity and critical thinking.
- **Rebellion (Low Socialization, High Individualization):** Individuals reject organizational norms and actively assert their individuality, often leading to conflict and potential marginalization.
- **Isolation (Low Socialization, Low Individualization):** Individuals are neither integrated into the organization's social fabric nor expressing a strong sense of personal identity within the workplace, potentially leading to disengagement and detachment.
- **Creative Individualism (High Socialization, High Individualization):** Individuals are well-integrated into the organization's norms and values but also retain and express their unique perspectives and talents in ways that contribute positively to the organization. This is often the ideal state, fostering both cohesion and innovation.

Positive and Negative Impacts of Individualization on Organizational Performance:

- **Positive Impacts:**
 - **Enhanced Innovation and Creativity:** Diverse perspectives and unique ideas can lead to more innovative solutions and approaches.
 - **Improved Problem-Solving:** Individuals with different cognitive styles and experiences can offer varied insights into challenges.
 - **Increased Employee Engagement and Motivation:** When individuals feel valued for their uniqueness, they are often more engaged and committed.
 - **Greater Adaptability and Flexibility:** A workforce comprised of individuals with diverse skills and perspectives is better equipped to adapt to change.
 - **Stronger Organizational Learning:** Exposure to different viewpoints fosters a culture of learning and continuous improvement.
 - **Enhanced Diversity and Inclusion:** Valuing individualization naturally leads to a more diverse and inclusive workforce.
- **Negative Impacts:**
 - **Potential for Conflict:** Differing values, beliefs, and approaches can sometimes lead to interpersonal conflicts.
 - **Communication Challenges:** Diverse communication styles and perspectives may require conscious effort to ensure effective understanding.

- **Difficulty in Achieving Consensus:** Reaching agreement can be more challenging when individuals hold strongly differing viewpoints.
- **Risk of Fragmentation:** Overemphasis on individuality without a unifying organizational purpose can lead to a lack of cohesion.
- **Potential for Non-Conformity to Essential Norms:** While valuing individuality, organizations still require adherence to core ethical and operational standards.

Techniques of Fostering and Managing Individualization: Instead of "controlling" individualization (which can have negative connotations), organizations should focus on *fostering* a culture that values individuality while *managing* its potential challenges:

- **Inclusive Recruitment and Selection:** Hire individuals with diverse backgrounds, perspectives, and skills.
- **Development of Inclusive Leadership:** Train leaders to recognize, value, and leverage individual differences.
- **Flexible Work Arrangements:** Offer options that cater to diverse individual needs and preferences.
- **Diverse and Inclusive Teams:** Create teams with members who bring a variety of perspectives and experiences.
- **Open Communication Channels:** Encourage the sharing of diverse ideas and perspectives through various platforms.
- **Recognition of Individual Contributions:** Acknowledge and reward unique talents and contributions.
- **Opportunities for Skill Development and Growth:** Support individual career paths and allow employees to leverage their unique strengths.
- **Mentorship and Coaching Programs:** Facilitate the sharing of knowledge and perspectives across different individuals.
- **Conflict Resolution Mechanisms:** Establish clear and fair processes for addressing conflicts that may arise from diverse viewpoints.
- **Emphasis on Shared Values and Goals:** While celebrating individuality, reinforce the overarching mission and values that unite the organization.

Explain group dynamics and team function Group Dynamics and Team Function Introduction: The Power of Groups and Teams in Organizations Groups and teams are fundamental building blocks of modern organizations. Understanding how they function, the dynamics that influence their behavior, and the factors that contribute to their effectiveness is crucial for managerial success. This lecture will delve into the concepts of group dynamics and team function, exploring their significance and practical implications within organizational settings.

Defining Groups and Teams:

- **A. Group:**

- A collection of two or more individuals who interact with each other to achieve specific goals or meet certain needs.
- Interaction can be structured or unstructured, formal or informal.
- Members may or may not have clearly defined roles or shared accountability for outcomes.
- **B. Team:**
 - A specific type of group characterized by:
 - Shared Purpose: A clear and common objective that unites members.
 - Interdependence: Members rely on each other to achieve a shared purpose.
 - Shared Accountability: Members are collectively responsible for the team's outcomes.
 - Defined Roles: Members typically have specific roles and responsibilities.
 - Synergy: The combined effort of team members produces results greater than the sum of individual efforts.

Stages of Group/Team Development (Tuckman's Stages): Groups and teams typically progress through distinct stages of development:

- **A. Forming:**
 - The initial stage where members are getting to know each other, establishing ground rules, and defining the purpose of the group/team.
 - Characterized by politeness, uncertainty, and dependence on the leader for direction.
- **B. Storming:**
 - A stage of conflict and tension as members assert their opinions, challenge leadership, and grapple with roles and responsibilities.
 - Characterized by disagreements, power struggles, and resistance to the group's direction.
- **C. Norming:**
 - The stage where the group begins to develop cohesion, establish norms of behavior, and develop a sense of shared identity.
 - Characterized by increased cooperation, trust, and acceptance of individual differences.
- **D. Performing:**
 - The stage where the group/team is functioning effectively, working collaboratively towards its goals, and demonstrating high levels of interdependence and trust.
 - Characterized by clear roles, efficient communication, and a focus on task accomplishment.
- **E. Adjourning (or Mourning):**

- The final stage, relevant for temporary groups or teams, where the work is completed, and members prepare to disband.
- Characterized by a sense of closure, reflection on achievements, and potential feelings of loss.

Key Elements of Group Dynamics: Group dynamics refer to the forces and processes occurring within a group that influence the behavior of its members and the overall functioning of the group. Key elements include:

- **A. Group Cohesion:**

- The degree to which members are attracted to the group and motivated to stay in it.
- Factors influencing cohesion:
 - Similarity of members.
 - Group size.
 - Success of the group.
 - External threats.
 - Opportunities for interaction.
- High cohesion can lead to increased productivity and satisfaction, but can also result in groupthink.

- **B. Social Influence:**

- The process through which individuals' thoughts, feelings, and behaviors are affected by other people.
- Types of social influence:
 - Conformity: Adjusting one's behavior or thinking to coincide with a group standard.
 - Compliance: Agreeing to a request or demand, even if one privately disagrees.
 - Obedience: Complying with the demands of an authority figure.

- **C. Communication Patterns:**

- The way information flows within a group, which can significantly impact efficiency and effectiveness.
- Examples: Wheel, chain, all-channel, Y-pattern.
- The most effective pattern depends on the task and group size.

- **D. Roles:**

- The set of expected behaviors associated with a particular position within a group.
- Types of roles:
 - Task roles: Behaviors focused on accomplishing the group's work.

- Maintenance roles: Behaviors focused on maintaining positive relationships and group cohesion.
- Self-oriented roles: Behaviors focused on individual needs and often disruptive to the group.
- **E. Norms:**
 - Shared rules and expectations about how group members should behave.
 - Can be formal (written rules) or informal (unspoken understandings).
 - Norms influence behavior, decision-making, and conflict resolution.
- **F. Status:**
 - The socially defined position or rank given to a group or group members by others.
 - Status can be based on factors like expertise, seniority, or personality.
 - Status differences can influence communication patterns and participation.
- **G. Power:**
 - The capacity of a person, team, or organization to influence others.
 - Sources of power: Legitimate, reward, coercive, expert, referent.
 - Power dynamics play a significant role in group decision-making and conflict.
- **H. Conflict:**
 - Disagreements or clashes among group members arising from differences in opinions, goals, or values.
 - Can be constructive (task-focused, leading to better solutions) or destructive (relationship-focused, hindering progress).

LEADING CHANGE AND CHANGE MANAGEMENT In today's fast-changing corporate climate, change is the norm rather than the exception. Organizations must adapt and alter in order to remain competitive, relevant, and sustainable. Change management is a systematic technique for managing the transition or transformation of an organization's goals, processes, or technologies. Understanding its ideas and approaches is critical for managers to effectively lead their teams and organizations during times of change.

Change Management: Change management refers to the methods, tools, and approaches used to manage the human side of change to achieve the intended business results. It focuses on how transitions affect individuals, teams, and organizations, to minimize disruption and resistance while maximizing change benefits. It is not enough to simply adopt a new system or structure; people must also be guided through the necessary psychological and practical adaptations.

Reasons for Organizational Change: The Catalysts for Transformation Organizations undertake change for a multitude of reasons, both internal and external:

- **External Drivers:**
 - Market Dynamics: Shifts in customer preferences, competitive pressures, globalization, and emerging markets.

- **Technological Advancements:** Disruptive technologies, automation, artificial intelligence, and digitalization.
- **Economic Fluctuations:** Recessions, booms, inflation, and changes in interest rates.
- **Regulatory and Legal Changes:** New laws, compliance requirements, and political shifts.
- **Social and Environmental Pressures:** Increasing awareness of sustainability, ethics, and social responsibility.
- **Internal Drivers:**
 - **Poor Performance:** Declining profits, market share loss, and operational inefficiencies.
 - **New Leadership:** Changes in executive management often bring new visions and strategies.
 - **Organizational Growth or Decline:** Expansion, mergers, acquisitions, or downsizing necessitate structural and operational adjustments.
 - **Process Improvement Needs:** Identifying bottlenecks, inefficiencies, and opportunities for streamlining operations.
 - **Innovation Imperative:** The need to develop new products, services, or business models to stay ahead.
 - **Employee Feedback and Needs:** Addressing concerns related to workload, work environment, or career development.

Resistance to Change: The Human Element of Inertia Resistance to change is a natural human response rooted in various factors:

- **Fear of the Unknown:** Uncertainty about the future, new roles, and required skills.
- **Loss of Control:** Feeling that change is imposed upon them without input.
- **Threat to Status or Security:** Concerns about job security, power, or social standing within the organization.
- **Disruption of Habits:** Change disrupts established routines and comfortable ways of working.
- **Negative Past Experiences:** Previous unsuccessful or poorly managed change initiatives.
- **Lack of Understanding:** Not comprehending the reasons for the change or its potential benefits.
- **Mistrust of Leadership:** Skepticism about the motives or competence of those leading the change.
- **Perceived Negative Consequences:** Believing that the change will lead to more work, less autonomy, or other undesirable outcomes.

Ways/Methods of Resisting Change: Manifestations of Opposition Resistance can manifest in various forms, both overt and covert:

- **Overt Resistance:**
 - Directly voicing objections and concerns.
 - Publicly criticizing the change initiative.
 - Threatening to leave the organization.
 - Organizing opposition groups.
 - Slowing down work or refusing to cooperate.
- **Covert Resistance:**
 - Withholding information or resources.
 - Spreading rumors and negativity.
 - Feigning compliance while undermining the change.
 - Increased absenteeism or tardiness.
 - Reduced productivity or quality of work.
 - Increased errors or mistakes.

Types of Organizational Changes: Organizational changes can be categorized in several ways, each with its own characteristics and management implications:

- **Developmental Change:**
 - Features: Incremental improvements to existing processes, skills, or practices. Often focused on efficiency or effectiveness within the current framework. Lower levels of resistance are typically expected.
 - Example: Implementing a new software update or refining an existing marketing strategy.
- **Transitional Change:**
 - Features: Moving from a current state to a clearly defined future state. Involves implementing new processes, structures, or technologies. Requires more significant adjustments and may encounter moderate resistance.
 - Example: Implementing a new customer relationship management (CRM) system or restructuring a department.
- **Transformational Change:**
 - Features: Radical and fundamental shifts in the organization's strategy, culture, or business model. The future state may not be entirely clear at the outset. High levels of complexity and uncertainty, often leading to significant resistance.
 - Example: Merging with another company, undergoing a major digital transformation, or fundamentally changing the organization's core values.
- **Planned Change:**

- **Features:** Change initiatives that are deliberately conceived, designed, and implemented with a specific goal in mind. Follows a structured process and often involves stakeholder engagement.
- **Example:** Implementing a new performance management system based on employee feedback.
- **Unplanned Change:**
 - **Features:** Changes that occur unexpectedly due to external events or internal crises. Requires rapid response and adaptation. Can be disruptive and challenging to manage.
 - **Example:** Responding to a sudden economic downturn or a major technological disruption by a competitor.

Push and Pull Factors in Organizational Change Push and Pull factors represent the fundamental forces that instigate and direct organizational change initiatives. Understanding these dynamics is crucial for leaders to effectively diagnose the need for transformation and strategize its implementation. Below is an enhanced version of the lecture notes, providing specific examples for each factor to solidify comprehension.

Push Factors: Internal Imperatives for Change Push factors are internal pressures originating within the organization that create a sense of urgency and compel a shift away from the current state. These forces often arise from performance gaps, inefficiencies, or internal dissatisfaction.

- **Declining Performance:** When an organization's key metrics consistently fall below targets, internal pressure builds for change.
 - **Example:** A manufacturing company experiencing a steady increase in product defect rates and customer returns (declining performance) may be pushed to implement a Total Quality Management (TQM) system to identify and eliminate the root causes of these defects.
- **Inefficiency:** Wasteful processes, outdated technologies, or suboptimal workflows can create significant internal pressure for improvement.
 - **Example:** A large insurance company with a claims processing system relying on manual data entry and paper-based workflows (inefficiency) might be pushed to adopt a digital claims management platform to automate tasks, reduce errors, and accelerate processing times.
- **Employee Dissatisfaction:** Low morale, high turnover, and widespread grievances among employees can signal a need for internal change to improve the work environment and retain talent.
 - **Example:** A consulting firm experiencing a significant increase in employee attrition, citing a lack of work-life balance and limited opportunities for professional development (employee dissatisfaction), may be pushed to introduce more flexible work policies and invest in training and mentorship programs.

- **Financial Pressure:** Declining profitability, increasing costs, or the threat of financial instability can force an organization to make significant internal changes to ensure its survival and sustainability.
 - **Example:** A non-profit organization facing a reduction in government funding and declining individual donations (financial pressure) might be pushed to diversify its fundraising strategies, explore new revenue streams, and streamline its operational expenses.
- **Regulatory Compliance:** Changes in laws, regulations, or industry standards often mandate internal changes to ensure the organization remains compliant and avoids penalties.
 - **Example:** A healthcare provider facing new regulations regarding patient data privacy and security (regulatory compliance) will be pushed to invest in new IT infrastructure, update its data handling procedures, and train staff on compliance protocols.

Pull Factors: External Attractions Driving Transformation Pull factors are external opportunities or pressures that make a future state more attractive to the organization, "pulling" it towards change to capitalize on these external dynamics.

- **Market Opportunities:** Emerging customer needs, untapped market segments, or evolving industry trends can create a strong pull for organizations to adapt and expand.
 - **Example:** A traditional book retailer observing the rapid growth of the e-book market and online sales channels (market opportunity) may be pulled to invest in developing its own e-commerce platform and digital content offerings.
- **Technological Advancements:** New technologies can offer significant advantages in terms of efficiency, innovation, and customer engagement, pulling organizations to adopt them.
 - **Example:** A logistics company witnessing the development and increasing affordability of drone delivery technology (technological advancement) may be pulled to invest in pilot programs to explore the potential for faster and more cost-effective last-mile delivery.
- **Competitive Pressure:** The actions and innovations of competitors can create a strong pull for an organization to change in order to maintain or gain a competitive edge.
 - **Example:** A major fast-food chain observing a competitor's successful launch of a popular plant-based burger (competitive pressure) may be pulled to develop and introduce its own meat-alternative options to cater to evolving consumer preferences.
- **Growth Opportunities:** The potential for expansion into new markets, the development of new products or services, or strategic partnerships can pull organizations towards change.
 - **Example:** A successful regional bank identifying opportunities for growth in a neighboring state with a strong economic outlook (growth opportunity) may be pulled to invest in establishing new branches and expanding its service offerings geographically.
- **Social Trends:** Shifts in societal values, consumer preferences, and demographic trends can create a pull for organizations to adapt their products, services, and marketing strategies.

- Example: A clothing manufacturer recognizing the growing consumer awareness and demand for ethically sourced and sustainable fashion (social trend) may be pulled to overhaul its supply chain and production processes to incorporate more environmentally friendly and socially responsible practices.

Combined Approach and Strategic Implications: Effective change management often requires a nuanced understanding of both push and pull factors and a strategic approach that leverages both.

- Addressing Resistance: When facing employee resistance driven by fear of the unknown (push factor of potential job insecurity), leaders can employ pull strategies by clearly articulating the benefits of the change for the organization's long-term success and individual career growth, fostering excitement and reducing anxiety. Simultaneously, they might implement push strategies by setting clear timelines and expectations for adopting new processes.
- Urgent Incremental Changes: In situations requiring a rapid response to a competitor's move (push factor of competitive pressure), a more direct, push-oriented approach might be necessary, such as immediately adjusting pricing strategies or launching a counter-marketing campaign. However, even in urgent situations, highlighting the potential gains (pull factor of maintaining market share) can aid in internal buy-in.

MODELS OF CHANGE AND THEIR FEATURES: Several models provide frameworks for understanding and managing the change process: 1. Lewin's Three-Step Model (Unfreeze-Change-Refreeze):

According to Lewin, there are three stages/features of change:

- **a) Unfreezing**
 - getting people out of the safe, comfortable zones
 - initial problem identification
 - reducing forces that maintain behavior in its current form
 - recognition of need for change and improvement
 - Creating awareness on necessity of change, nature of change needed
- **b) Transition / Movement / Change**
 - leadership & assurance that the change is good for the organization as well as employees
 - Defining the problem / diagnosis
 - Identifying solutions
 - Devising strategy to implement change
 - Implementation of change
- **c) Refreezing**
 - Stabilizing change at new level and reinforcement through new policies, structures, norms and systems

- Building and rebuilding relationships
- Evaluation and support
- Preventing any going back to the old ways.
- Refreezing is complete when the new patterns are accepted and followed willingly.

The analysis can help to:

- Investigate the balance of power involved in an issue
- Identify key stakeholders on the issue
- Identify opponents and allies
- Identify how to influence the targets groups

Driving Forces include; New personnel, changing markets, changing attitudes towards work, New technology, Internationalization, Social transformation, Increased competition, while on the other hand; *Restraining Forces* include Personal e.g. Fear of failure, Loss of status, Inertia, Fear of unknown; Organizational e.g. Strength of culture, Sunk costs, Lack of resources, Contractual agreements, "Culture"

2. KOTTER'S 8-STEP CHANGE MODEL Implementing Change Powerfully and Successfully

What was true more than 2,000 years ago is just as true today; we live in a world where "business as usual" is change. New initiatives, project-based working, technology improvements, staying ahead of the competition – these things come together to drive ongoing changes to the way we work. Whether you're considering a small change to one or two processes, or a system wide change to an organization, it's common to feel uneasy and intimidated by the scale of the challenge. You know that the change needs to happen, but you don't really know how to go about delivering it. Where do you start? Whom do you involve? How do you see it through to the end?

There are many theories about how to "do" change. Many originate with leadership and change management guru, John Kotter. A professor at Harvard Business School and world-renowned change expert, Kotter introduced his eight-step change process in his 1995 book, "Leading Change." We look at his eight steps for leading change below.

Step 1: Create Urgency For change to happen, it helps if the whole company really wants it. Develop a sense of urgency around the need for change. This may help you spark the initial motivation to get things moving. This isn't simply a matter of showing people poor sales statistics or talking about increased competition. Open an honest and convincing dialogue about what's happening in the marketplace and with your competition. If many people start talking about the change you propose, the urgency can build and feed on itself.

What you can do:

- Identify potential threats, and develop scenarios showing what could happen in the future.
- Examine opportunities that should be, or could be, exploited.
- Start honest discussions, and give dynamic and convincing reasons to get people talking and thinking.

- Request support from customers, outside stakeholders and industry people to strengthen your argument.

Kotter contends that for change to be successful, 75% of a company's management needs to "buy into" the change. In other words, you have to work really hard on Step 1, and spend significant time and energy building urgency, before moving onto the next steps. Don't panic and jump in too fast because you don't want to risk further short-term losses – if you act without proper preparation, you could be in for a very bumpy ride.

Step 2: Form a Powerful Coalition

Convince people that change is necessary. This often takes strong leadership and visible support from key people within your organization. Managing change isn't enough – you have to lead it. You can find effective change leaders throughout your organization – they don't necessarily follow the traditional company hierarchy. To lead change, you need to bring together a coalition, or team, of influential people whose power comes from a variety of sources, including job title, status, expertise, and political importance. Once formed, your "change coalition" needs to work as a team, continuing to build urgency and momentum around the need for change.

What you can do:

- Identify the true leaders in your organization, as well as your key stakeholders.
- Ask for an emotional commitment from these key people.
- Work on team building within your change coalition.
- Check your team for weak areas, and ensure that you have a good mix of people from different departments and different levels within your company.

Step 3: Create a Vision for Change

When you first start thinking about change, there will probably be many great ideas and solutions floating around. Link these concepts to an overall vision that people can grasp easily and remember. A clear vision can help everyone understand why you're asking them to do something. When people see for themselves what you're trying to achieve, then the directives they're given tend to make more sense.

What you can do:

- Determine the values that are central to the change.
- Develop a short summary (one or two sentences) that captures what you "see" as the future of your organization.
- Create a strategy to execute that vision.
- Ensure that your change coalition can describe the vision in five minutes or less.
- Practice your "vision speech" often.

Step 4: Communicate the Vision

What you do with your vision after you create it will determine your success. Your message will probably have strong competition from other day-to-day communications within the company, so you need to communicate it frequently and powerfully, and embed it within everything that you do.

Do not just call special meetings to communicate your vision. Instead, talk about it every chance you get. Use the vision daily to make decisions and solve problems. When you keep it fresh on everyone's minds, they'll remember it and respond to it. It is also important to "walk the talk." What you do is far more important and believable, than what you say. Demonstrate the kind of behavior that you want from others.

What you can do:

- Talk often about your change vision.
- Address peoples' concerns and anxieties, openly and honestly.
- Apply your vision to all aspects of operations – from training to performance reviews. Tie everything back to the vision.
- Lead by example.

Step 5: Remove Obstacles

If you follow these steps and reach this point in the change process, you've been talking about your vision and building buy-in from all levels of the organization. Hopefully, your staff wants to get busy and achieve the benefits that you've been promoting.

But is anyone resisting the change? And are there processes or structures that are getting in its way? Put in place the structure for change, and continually check for barriers to it. Removing obstacles can empower the people you need to execute your vision, and it can help the change move forward.

What you can do:

- Identify, or hire, change leaders whose main roles are to deliver the change.
- Look at your organizational structure, job descriptions, and performance and compensation systems to ensure they're in line with your vision.
- Recognize and reward people for making change happen.
- Identify people who are resisting the change, and help them see what's needed.
- Take action to quickly remove barriers (human or otherwise).

Step 6: Create Short-Term Wins

Nothing motivates more than success. Give your company a taste of victory early in the change process. Within a short time frame (this could be a month or a year, depending on the type of change), you'll want to have some "quick wins" that your staff can see. Without this, critics and negative thinkers might hurt your progress.

Create short-term targets – not just one long-term goal. You want each smaller target to be achievable, with little room for failure. Your change team may have to work very hard to come up with these targets, but each "win" that you produce can further motivate the entire staff.

What you can do:

- Look for sure-fire projects that you can implement without help from any strong critics of the change.

- Don't choose early targets that are expensive. You want to be able to justify the investment in each project.
- Thoroughly analyze the potential pros and cons of your targets. If you don't succeed with an early goal, it can hurt your entire change initiative.
- Reward the people who help you meet the targets.

Step 7: Build on the Change

Kotter argues that many change projects fail because victory is declared too early. Real change runs deep. Quick wins are only the beginning of what needs to be done to achieve long-term change. Launching one new product using a new system is great. But if you can launch 10 products, that means the new system is working. To reach that 10th success, you need to keep looking for improvements. Each success provides an opportunity to build on what went right and identify what you can improve.

What you can do:

- After every win, analyze what went right, and what needs improving.
- Set goals to continue building on the momentum you've achieved.
- Learn about kaizen, the idea of continuous improvement.
- Keep ideas fresh by bringing in new change agents and leaders for your change coalition.

Step 8: Anchor the Changes in Corporate Culture

Finally, to make any change stick, it should become part of the core of your organization. Your corporate culture often determines what gets done, so the values behind your vision must show in day-to-day work. Make continuous efforts to ensure that the change is seen in every aspect of your organization. This will help give that change a solid place in your organization's culture.

It is also important that your company's leaders continue to support the change. This includes existing staff and new leaders who are brought in. If you lose the support of these people, you might end up back where you started.

What you can do:

- Talk about progress every chance you get. Tell success stories about the change process, and repeat other stories that you hear.
- Include the change ideals and values when hiring and training new staff.
- Publicly recognize key members of your original change coalition, and make sure the rest of the staff – new and old; remembers their contributions.
- Create plans to replace key leaders of change as they move on. This will help ensure that their legacy is not lost or forgotten.

3) ADKAR Model (Awareness-Desire-Knowledge-Ability-Reinforcement):

Features: A people-centric model focusing on individual transitions through change:

- Awareness: Understanding the need for change.

- Desire: Wanting to participate in and support the change.
- Knowledge: Understanding how to change.
- Ability: Having the skills and capabilities to implement the change.
- Reinforcement: Sustaining the change over time.

4) McKinsey 7-S Framework:

Features: A holistic model emphasizing the interconnectedness of seven key internal elements that need to be aligned for effective change:

- Strategy: The organization's plan for achieving its goals.
- Structure: The way the organization is organized.
- Systems: The processes and procedures used by the organization.
- Shared Values: The core beliefs and principles that guide the organization.
- Skills: The capabilities of the organization's employees.
- Staff: The people within the organization.
- Style: The leadership approach and organizational culture.

5). THE CHANGE EQUATION

This is a mathematical representation of the change process propounded by Richard Beckhard & David Gleicher (1969). The basic notion is that, for change to occur, the costs of change must be outweighed by:

- dissatisfaction with the status quo,
- the desirability of the proposed change, and,
- the practicality of the change.

There will be resistance to change:

- if people are not dissatisfied with the current state of the organization,
- if the changes are not seen as an improvement,
- if the change cannot be done in a feasible way,
- If the cost is far too high.

The equation provides a model to assess relative strengths affecting likely success or otherwise of organizational change:

$D \times V \times F > R$, where;

D = Dissatisfaction with status quo

V = Vision of what is possible

F = First steps towards the vision

R = Resistance to change

Three factors must be present for meaningful organizational change: D, V and F. If the product of these three factors is greater than R, then change is possible. Because of multiplication of D, V and F, if any one of them is zero or near zero, then the product will be zero or near zero & resistance to change will dominate. To ensure successful change, necessary to use influence & strategic thinking in order to create vision and identify early crucial steps towards it. The organization must recognize and accept the dissatisfaction that exists by communicating industry trends, leadership ideas, best practices and competitive analysis -- necessity for change. In some documentations, Resistance to change is referred to as the Cost of change (monetary and psychological). This means that even if monetary cost of change is low, the change will not occur should the psychological resistance of employees be at a high level and vice versa.

IX. Techniques and Tools for Managing Change:

Effective change management involves a range of techniques and tools:

- **Communication Planning and Execution:** Clearly and consistently communicating the vision, rationale, and progress of the change.
- **Stakeholder Analysis and Engagement:** Identifying key stakeholders and involving them in the change process.
- **Leadership Alignment and Sponsorship:** Ensuring that leaders at all levels are committed to and actively supporting the change.
- **Employee Involvement and Participation:** Engaging employees in the design and implementation of change to foster ownership.
- **Training and Development:** Providing employees with the necessary skills and knowledge for the new state.
- **Change Agents and Champions:** Identifying and empowering individuals who can advocate for and facilitate the change.
- **Resistance Management Strategies:** Addressing and mitigating resistance through communication, education, and involvement.
- **Pilot Programs and Testing:** Implementing changes on a small scale to identify and address potential issues.
- **Performance Measurement and Tracking:** Monitoring the progress and impact of the change initiative.
- **Celebration of Successes and Short-Term Wins:** Recognizing and rewarding milestones to build momentum and morale.
- **Providing Support and Coaching:** Offering resources and guidance to help employees navigate the transition.

X. Challenges of Managing Change:

Despite the availability of models and techniques, managing change effectively remains challenging:

- **Complexity and Uncertainty:** Change initiatives often involve multiple interconnected factors and unpredictable outcomes.

- **Resistance from Employees:** Overcoming deeply ingrained resistance requires significant effort and skill.
- **Lack of Leadership Alignment:** If leaders are not fully on board, the change is likely to fail.
- **Poor Communication:** Inadequate or unclear communication can fuel rumors and anxiety.
- **Underestimating the Human Impact:** Focusing too much on the technical aspects of change and neglecting the people side.
- **Lack of Resources:** Insufficient time, budget, or personnel can hinder implementation.
- **Sustaining Momentum:** Change fatigue and a return to old habits can derail progress.
- **Measuring the Return on Investment (ROI) of Change Management:** Quantifying the benefits of change management efforts can be difficult.
- **External Disruptions:** Unexpected external events can impact the change process.

XI. Conclusion: Leading the Way Through Transformation

Employ teamwork to perform business operations. In today's complex organizational landscape, teams have become the fundamental building blocks of productivity and innovation. Effective team management is no longer a desirable trait but a critical competency for managers seeking to achieve organizational goals. This lecture will delve into the intricacies of team management, exploring the essence of teams and teamwork, the crucial components of successful teams, their developmental stages, diverse types, strategies for enhancing their effectiveness, and the vital roles and features that characterize high-performing units.

Defining Teams and Teamwork:

- **Teams:** A team is a group of individuals with complementary skills who work collaboratively and interdependently towards a common goal, holding themselves mutually accountable for achieving those goals. Unlike a mere collection of individuals, a team exhibits synergy, where the combined effort produces results greater than the sum of individual contributions.
- **Teamwork:** Teamwork is the cooperative effort by members of a group or team to achieve a common goal effectively and efficiently. It involves shared understanding, mutual support, open communication, coordinated action, and a commitment to collective success over individual interests.

Components of a Good Team:

A high-performing team is built upon several essential components:

- **Clear and Shared Goals:** A well-defined and mutually understood purpose that provides direction and motivates team members. Everyone should be aligned on what the team aims to achieve.
- **Complementary Skills:** A diverse mix of technical, problem-solving, and interpersonal skills among team members, ensuring that the team possesses the necessary expertise to tackle its tasks.

- **Clearly Defined Roles and Responsibilities:** Each member understands their specific duties, authority, and how their contributions fit into the overall team objective, minimizing ambiguity and overlap.
- **Effective Communication:** Open, honest, respectful, and frequent exchange of information, ideas, and feedback among team members. This includes active listening and clear articulation.
- **Mutual Trust and Respect:** A belief in the integrity, reliability, and competence of fellow team members, fostering a safe environment for open communication and risk-taking.
- **Shared Norms and Values:** Agreed-upon guidelines and expectations for team behavior, decision-making, conflict resolution, and overall interaction.
- **Accountability and Commitment:** Individual and collective responsibility for achieving team goals and a dedication to the team's success.
- **Effective Leadership:** A leader who facilitates collaboration, guides the team, manages conflict constructively, and ensures the team stays focused on its objectives.
- **Adequate Resources and Support:** Access to the necessary tools, information, training, and organizational backing to enable the team to perform effectively.
- **Constructive Conflict Management:** The ability to address disagreements and differing viewpoints in a healthy and productive manner, leading to better solutions.

Stages of Developing Teams (Tuckman's Stages):

Teams typically go through distinct stages of development:

- **Forming:** The initial stage where members are getting to know each other, defining the team's purpose, and establishing ground rules. Characterized by politeness and some uncertainty.
- **Storming:** A period of conflict and tension as members assert their opinions, challenge leadership, and grapple with roles and responsibilities. This stage is crucial for working through differences.
- **Norming:** The team begins to develop cohesion and establish norms for behavior. Members start to trust each other, and a sense of shared identity emerges.
- **Performing:** The team operates effectively and efficiently, with members collaborating smoothly, communicating openly, and focused on achieving their goals. High levels of trust and interdependence are evident.
- **Adjourning (or Mourning):** For temporary teams, this stage involves the disbandment of the team after the task is completed. Members may experience a sense of closure or loss.

Understanding these stages helps managers anticipate challenges and provide appropriate support to facilitate team development.

Types of Teams and Their Uses and Features:

Organizations utilize various types of teams to address specific needs:

- **Functional Teams:**

- Uses: Groups employees from the same department or functional area who work together on routine tasks or projects.
- Features: Deep expertise within a specific area, clear hierarchy, potential for "siloed" thinking.
- **Cross-Functional Teams:**
 - Uses: Bring together individuals from different departments or functional areas to work on a specific project or initiative.
 - Features: Diverse perspectives and skills, enhanced problem-solving, can face initial communication and coordination challenges.
- **Problem-Solving Teams:**
 - Uses: Temporary teams formed to address a specific problem or issue.
 - Features: Focused on analysis and generating solutions, disband once the problem is resolved.
- **Self-Managed Teams:**
 - Uses: Autonomous teams responsible for planning, organizing, and controlling their own work with minimal supervision.
 - Features: High levels of empowerment and ownership, require well-trained and motivated members, can lead to increased efficiency and flexibility.
- **Virtual Teams:**
 - Uses: Teams whose members are geographically dispersed and rely on technology to communicate and collaborate.
 - Features: Flexibility, access to diverse talent pools, require strong communication protocols and technology infrastructure, potential for challenges in building trust and cohesion.
- **Task Forces:**
 - Uses: Temporary teams created to accomplish a specific, well-defined task within a limited timeframe.
 - Features: Focused and goal-oriented, disband upon task completion.
- **Management Teams:**
 - Uses: Composed of managers from various functional areas who coordinate and integrate activities across the organization.
 - Features: Strategic focus, responsible for overall organizational performance.

Techniques for Making Teamwork More Effective:

Managers can employ various techniques to enhance team performance:

- **Careful Team Selection:** Recruiting individuals with not only the necessary skills but also a collaborative mindset and interpersonal compatibility.

- **Effective Team Meetings:** Structuring meetings with clear agendas, assigned roles, and action items to ensure productivity and engagement.
- **Establishing Clear Communication Protocols:** Defining how the team will share information, provide updates, and make decisions.
- **Team-Building Activities:** Organizing events and exercises that foster trust, communication, and camaraderie among team members.
- **Conflict Resolution Strategies:** Implementing processes for addressing disagreements constructively and facilitating mutually acceptable solutions.
- **Providing Regular Feedback:** Offering timely and specific feedback on both individual and team performance to encourage growth and improvement.
- **Recognizing and Rewarding Team Contributions:** Acknowledging and celebrating team successes to boost morale and reinforce positive behaviors.
- **Empowering Team Decision-Making:** Granting teams autonomy and authority to make decisions related to their work.
- **Facilitating Collaborative Tools and Technologies:** Providing access to platforms and software that support seamless communication and collaboration.
- **Promoting a Culture of Psychological Safety:** Creating an environment where team members feel comfortable taking risks, voicing opinions, and admitting mistakes without fear of reprisal.

The Roles of an Effective Team (Belbin's Team Roles):

Meredith Belbin's Team Role theory suggests that effective teams comprise individuals who fulfill different roles, contributing to the team's overall success:

- **Plant:** Creative, imaginative, unorthodox. Generates ideas and solves difficult problems.
- **Resource Investigator:** Extrovert, enthusiastic, communicative. Explores opportunities and develops contacts.
- **Coordinator:** Mature, confident, a good chairperson. Clarifies goals, promotes decision-making, and delegates well.
- **Shaper:** Challenging, dynamic, thrives on pressure. Has the drive and courage to overcome obstacles.
- **Monitor Evaluator:** Sober, strategic, discerning. Sees all options and judges accurately.
- **Teamworker:** Cooperative, perceptive, diplomatic. Listens, builds, averts friction, and calms the waters.
- **Implementer:** Disciplined, reliable, conservative, and efficient. Turns ideas into practical actions.
- **Completer Finisher:** Painstaking, conscientious, anxious. Searches out errors and omissions and delivers on time.
- **Specialist:** Single-minded, dedicated, provides knowledge and skills in rare supply.

Understanding these roles can help managers build balanced teams and leverage the diverse strengths of their members.

Features of an Effective Team:

High-performing teams exhibit several key characteristics:

- **High Levels of Trust:** Members feel safe and confident in each other's abilities and intentions.
- **Open and Honest Communication:** Information flows freely, and feedback is constructive.
- **Shared Leadership:** Leadership responsibilities may be distributed among team members based on expertise.
- **Clear Roles and Responsibilities:** Each member understands their contribution and accountabilities.
- **Constructive Conflict Resolution:** Disagreements are addressed openly and lead to better outcomes.
- **Mutual Support and Respect:** Members value each other's contributions and provide assistance when needed.
- **Focus on Shared Goals:** The team is unified in its commitment to achieving its objectives.
- **Effective Decision-Making:** The team has clear processes for making informed and timely decisions.
- **Continuous Improvement:** The team regularly reflects on its performance and seeks ways to enhance its effectiveness.
- **External Recognition and Support:** The team's achievements are acknowledged and valued by the wider organization.

Factors Influencing Team Function and Effectiveness (Revisited and Expanded):

(The previously provided list is excellent, and for a Master's level, we can emphasize the strategic implications of each factor):

- **A. Team Composition:** Strategic consideration of diversity (skills, knowledge, perspectives) to foster innovation, balanced against the need for cohesion and effective communication.
- **B. Team Size:** Balancing the need for sufficient resources and expertise with the potential for coordination challenges and social loafing.
- **C. Team Structure:** Designing structures (e.g., flat vs. hierarchical) that align with the team's tasks, goals, and the broader organizational context, enabling efficient workflow and clear accountability.
- **D. Team Processes:** Implementing and continuously refining processes for communication, decision-making, conflict management, and problem-solving that promote efficiency, inclusivity, and high-quality outcomes.
- **E. Leadership:** Cultivating leadership that empowers team members, fosters collaboration, navigates conflict effectively, and provides clear direction while adapting to the team's developmental stage.

- F. Trust: Building and maintaining a culture of trust through transparent communication, reliable actions, and the consistent demonstration of integrity.
- G. Communication: Establishing robust communication channels and protocols that ensure timely, accurate, and relevant information sharing, both internally and externally.
- H. Shared Vision and Goals: Articulating a compelling and unifying purpose that resonates with team members and aligns their efforts with the overall organizational strategy.
- I. Resources and Support: Ensuring the team has access to the necessary tools, information, training, and organizational backing to perform its tasks effectively and overcome obstacles.
- J. External Environment: Understanding and proactively managing the influence of organizational culture, management support, and other external factors on the team's functioning and effectiveness.